

Japan Equity Strategy

Outlook for 2H 2026: From “AI vs. non-AI” to an earnings-driven market — raising year-end targets amid broadening market participation

Equity Strategy

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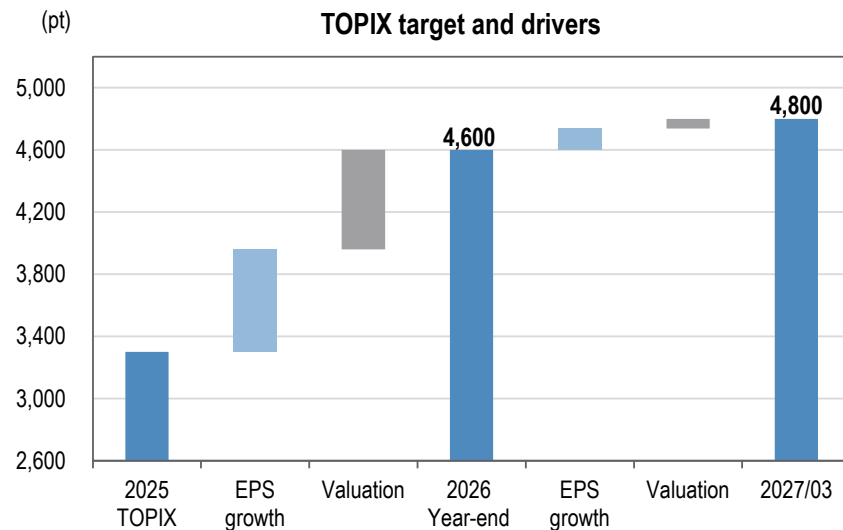
Summary

- **AI semiconductor dominance and the correction—where do we go from here?:** After the Nikkei 225 peaked in late June, semiconductor stocks corrected in July. While earnings across the AI semiconductor ecosystem continue to post solid growth across the US, Japan, Korea, and Taiwan, the rapid build-up in positioning during April–June triggered a subsequent unwinding that drove the correction. However, amid heightened volatility in memory and semiconductor stocks, the market is increasingly favoring names with stable earnings growth. The market is shifting away from an “AI vs. non-AI” investment axis toward an “earnings-driven market” in which investors seek names—whether AI or non-AI—that have earnings-based catalysts.
- **Raising targets: TOPIX/Nikkei to 4,600/75k by end-2026 and 4,800/80k by end-March 2027:** Apr–Jun results were strong, with TOPIX-company sales up +14% and net profit up +70%. The yen-weakness contribution to net-profit growth was around 5ppt, with the bulk of the upside reflecting demand and price pass-through. While the impact of higher oil is expected to widen in the Jul–Sep quarter, the earnings upside is still stronger, so we have raised our year-end TOPIX target (as of Aug 14).
- **Earnings growth is broadening beyond semiconductors:** In the Apr–Jun quarter, earnings beats extended beyond AI semiconductors (which contributed 25% of net-profit growth) to a wide range of sectors, including autos (20%), financials (15%), and trading houses/energy (15%). At the individual-company level, Advantest signaled positive developments pointing to further earnings growth, contributing to the recovery in semiconductor stocks. Meanwhile, “AI-threat names”—AI infrastructure, IT services, internet, and gaming stocks—also posted strong earnings. Recruit, in particular, after a May result that dispelled the market's view of it as an “AI-threatened” name, again delivered results well above expectations, demonstrating that the share-price recovery of non-AI companies successfully monetizing AI is sustainable. Aided by a pullback in US rate-hike expectations following the July 7 US payrolls release, both semiconductor and “AI-threat” names have risen together over the past week.
- **Corporate reform remains alive and well:** On shareholder returns, Toyota announced a ¥1trillion share buyback, and trading houses—on top of strong earnings—signaled a policy of swiftly achieving their ROE targets without ruling out capital-management measures, underscoring that corporate reform remains intact.
- **Japan: rising rates and a weaker yen as key concerns:** Against the backdrop of the “Basic Policy,” the food consumption-tax cut, and ¥370 trillion of growth investment, higher long-end yields and yen depreciation pressure are set to persist. While market pricing of BOJ rate hikes is progressing, a rising risk premium is pushing up both rates and USD/JPY. Attention is focused on the extent to which coordinated US–Japan FX intervention and a shift in GPIF's asset allocation could materialize. While growth-investment initiatives under a Takaichi administration could be supportive for corporate earnings and equities, maintaining medium-term fiscal discipline will be essential. With the BOJ's “underlying inflation” trending toward 2%, the market will closely watch whether the pace of rate hikes accelerates. We continue to see corporate restructuring, capital policy actions, and earnings growth—alongside inflows from households, pension money, and financial institutions—as the main catalysts.
- **Equity strategy for 2H26:** Stay selective in AI semis; increase non-AI exposure: We recommend selectively holding AI semiconductors while increasing the weight of non-AI exposures that have strong earnings. Within non-AI, we have financials (banks, securities) as our core holding, and—alongside AI infrastructure—have raised our stances on internet and gaming to Overweight. Within capital goods, in addition to tech, we have raised our stances trading houses and machinery to Overweight.

Year-end Targets for Japan Equities

New targets: TOPIX/Nikkei to 4,600/75k by end-2026 and 4,800/80k by March 2027

TOPIX price target



Source: Bloomberg Finance L.P., J.P. Morgan estimates

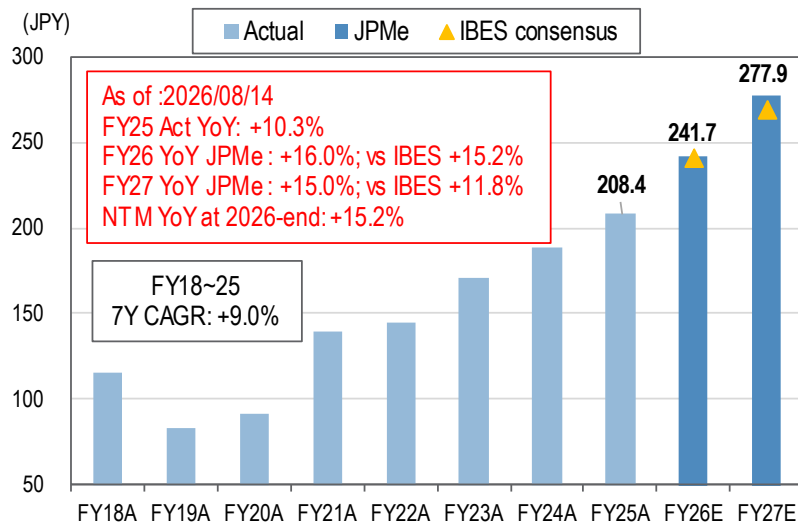
2026 year-end Japanese equities outlook

NT ratio: 16.3x	FY26-end			TOPIX 12-month forward PER (x)				
	YoY	EPS	NTM EPS	16.0x	16.5x	17.0x	17.5x	18.0x
EPS growth in FY2026 and FY-end NTM EPS (expect NTM growth of 15% at FY-end)	+20%	250	278	4,450 pt 72,500 Yen	4,600 pt 75,000 Yen	4,750 pt 77,500 Yen	4,850 pt 79,500 Yen	5,000 pt 81,500 Yen
	+18%	246	273	4,350 pt 71,500 Yen	4,500 pt 73,500 Yen	4,700 pt 76,000 Yen	4,800 pt 78,000 Yen	4,900 pt 80,000 Yen
	+16%	242	269	4,300 pt 70,000 Yen	4,450 pt 72,500 Yen	4,600 pt 75,000 Yen	4,700 pt 76,500 Yen	4,850 pt 79,000 Yen
	+14%	238	264	4,250 pt 69,000 Yen	4,350 pt 71,000 Yen	4,500 pt 73,500 Yen	4,600 pt 75,500 Yen	4,750 pt 77,500 Yen
	+12%	233	259	4,150 pt 67,500 Yen	4,300 pt 70,000 Yen	4,450 pt 72,500 Yen	4,550 pt 74,000 Yen	4,650 pt 76,000 Yen
	+10%	229	255	4,100 pt 66,500 Yen	4,200 pt 68,500 Yen	4,350 pt 71,000 Yen	4,450 pt 72,500 Yen	4,600 pt 75,000 Yen

Source: J.P. Morgan estimates

Note: Orange shading indicates the target stock price for end-2026

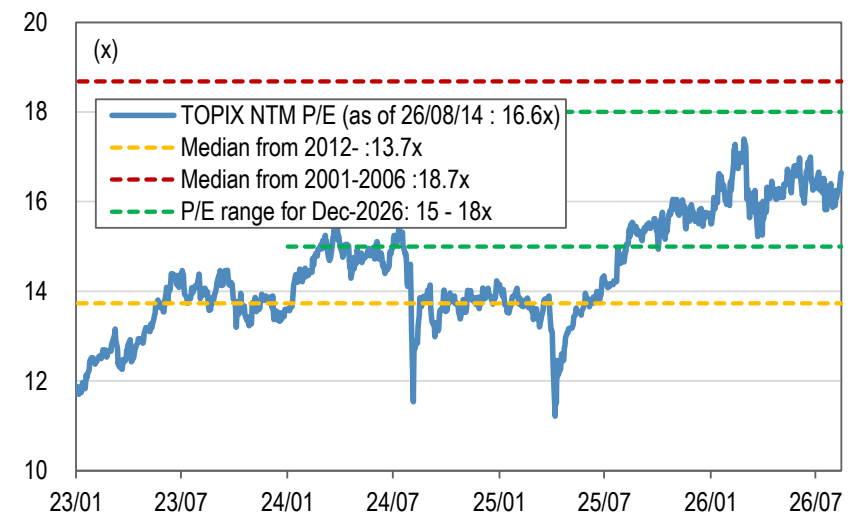
TOPIX EPS estimates



Source: Datastream, J.P. Morgan estimates

Note: CAGR is calculated from FY2018 to FY2025. EPS consensus is IBES.

TOPIX P/E estimates

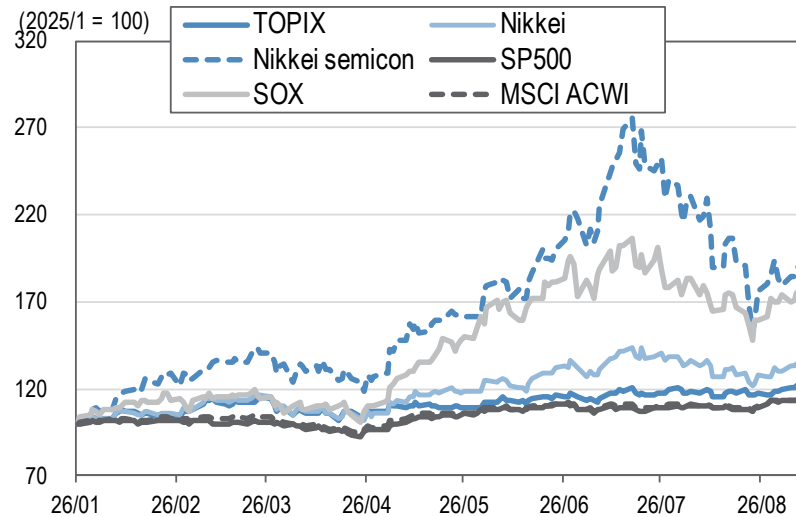


Source: Datastream, J.P. Morgan estimates

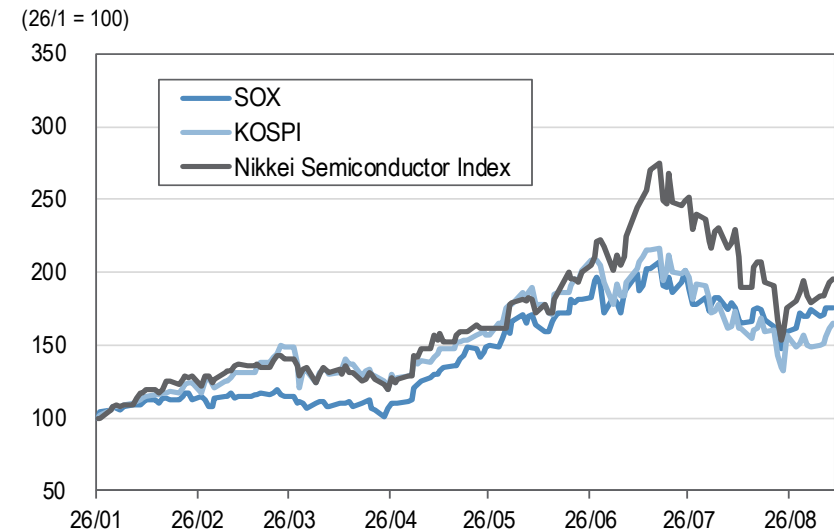
Note: NTM P/E is IBES consensus; P/E range for Dec 2026 is JP Morgan estimates

AI semiconductors are entering a correction

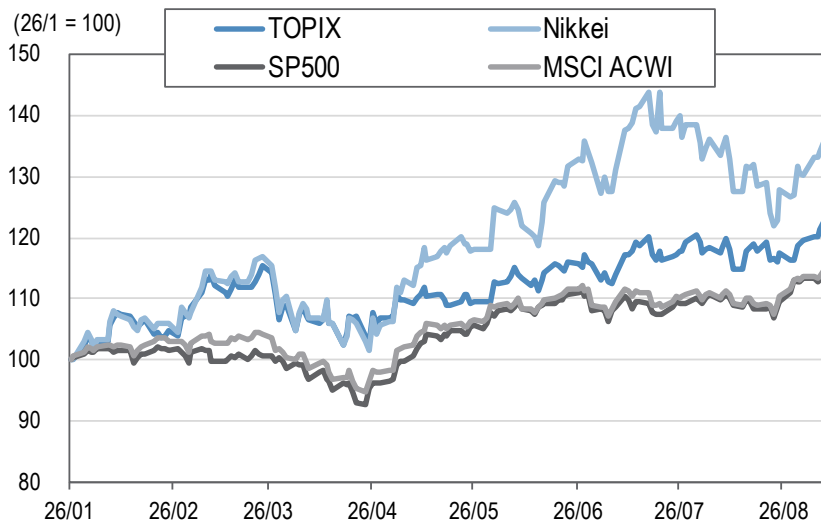
Global equities performance in 2206



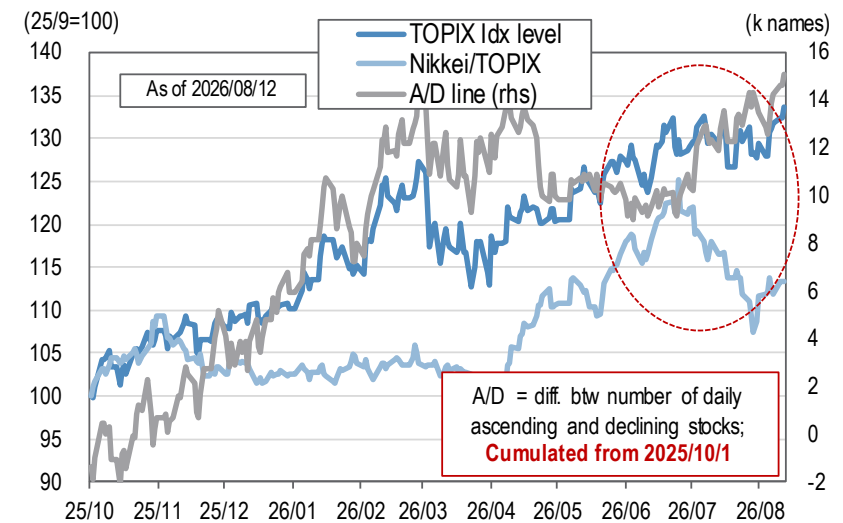
SOX, KOSPI, and Nikkei Semiconductors in 2026



Global equities performance

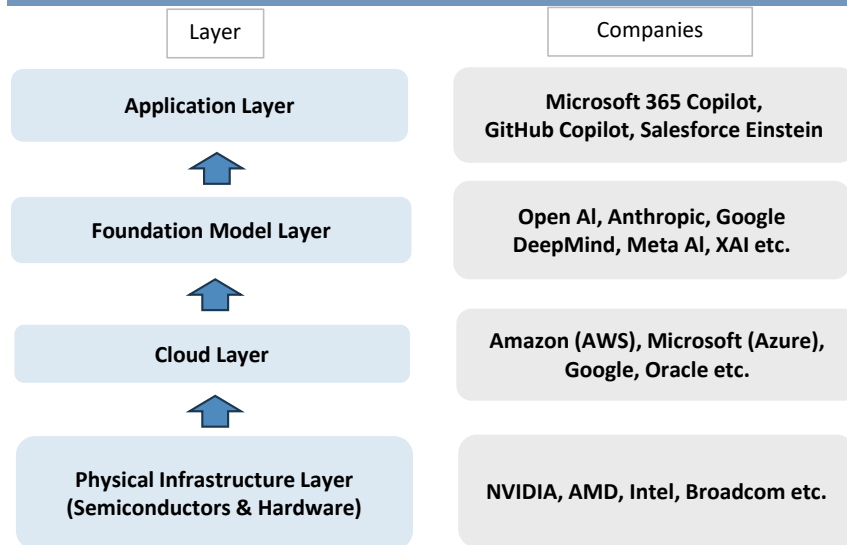


Market Breadth of TOPIX Index



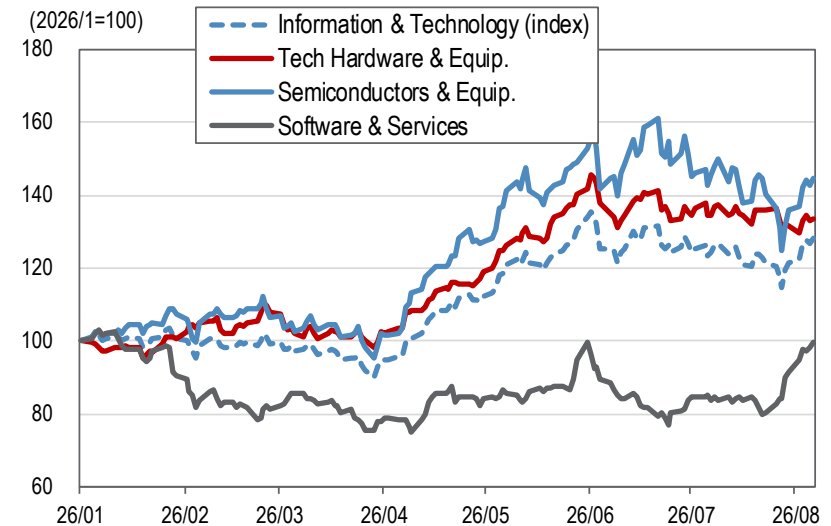
AI value chain led the market recovery after the Middle East disruption

AI value chain



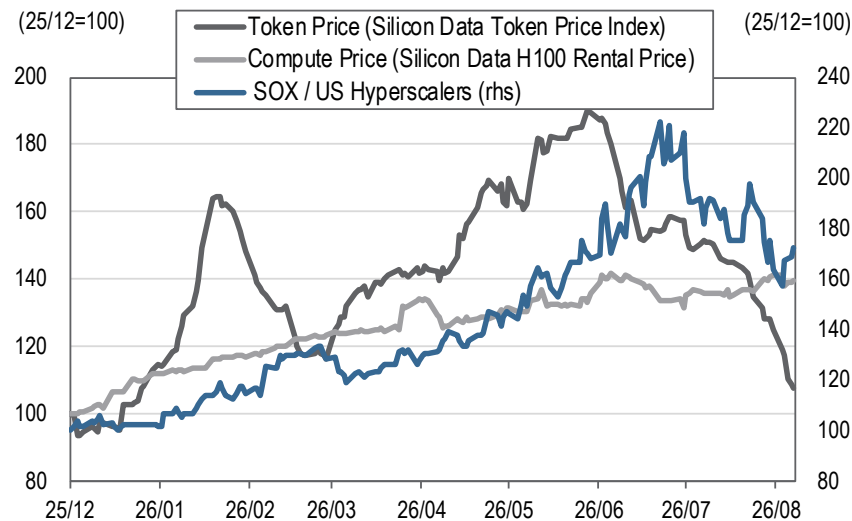
Source: J.P. Morgan

MSCI ACWI Tech sector performance



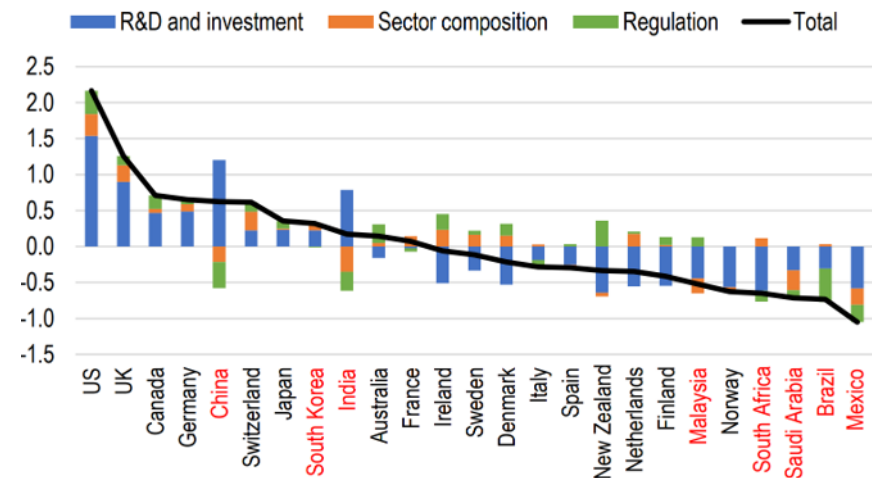
Source: Bloomberg Finance L.P., J.P. Morgan

US hyperscalers versus SOX index



Source: Silicon Data, Bloomberg Finance L.P., J.P. Morgan

Countries' potential of AI utilization



Source: J.P. Morgan Long-term Strategy "The race between AI and demographics" (2025 Dec 5)
Note: Weighted average of z-scores across countries

Tech Hardware (AI Upstream) vs. Hyperscalers (AI Midstream)

Hyperscalers and AI Upstream Financials

5 Hyperscalers: AMZN, GOOGL, META, MSFT, ORCL (\$B)

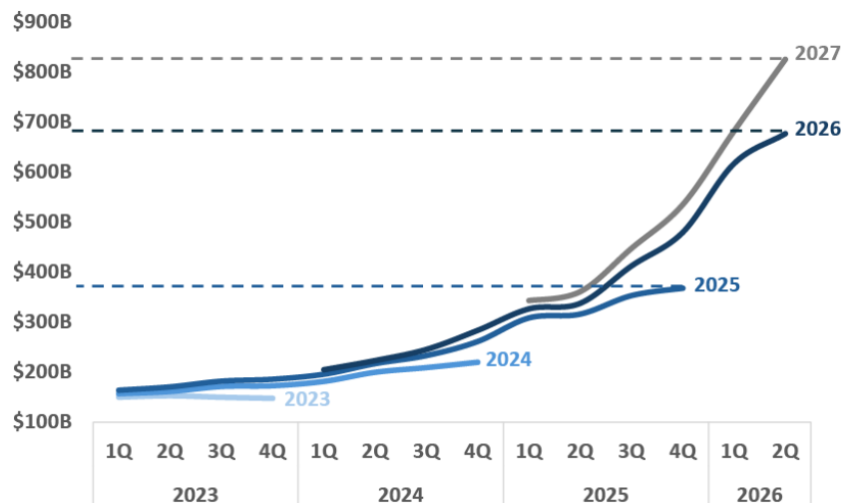
	CY '25A	CY '26E	CY '27E	CY '28E	CY '29E	CY '30E
Sales	\$1,690	\$1,998	\$2,343	\$2,752	\$3,149	\$3,654
YoY Growth	15%	18%	17%	17%	14%	16%
Cost of Sales	672	785	924	1,081	1,215	1,445
Gross Income	1,018	1,213	1,419	1,671	1,934	2,209
Gross Margin	60%	61%	61%	61%	61%	60%
Operating Costs	339	371	376	362	734	776
EBITDA	679	842	1,043	1,309	1,200	1,433
D&A	218	279	363	486	219	237
Operating Income	461	562	681	823	982	1,197
Interest + Tax	55	52	115	142	158	183
Net Income	406	510	566	681	824	1,014
Growth	22%	26%	11%	20%	21%	23%
Margin	24%	26%	24%	25%	26%	28%

Contains the following upstream names: NVDA, MU, AMD, INTC, LRCX (\$B)

	CY '24A	CY '25A	CY '26E	CY '27E	CY '28E
Sales	\$249	\$384	\$677	\$971	\$1,172
YoY Growth	47%	54%	76%	43%	21%
Cost of Sales	108	144	194	263	334
Gross Income	142	241	483	708	838
Gross Margin	57%	63%	71%	73%	71%
Operating Costs	22	36	48	59	65
EBITDA	119	204	435	649	773
D&A	21	14	24	35	58
Operating Income	99	190	411	614	715
Interest + Tax	15	28	64	100	106
Net Income	84	162	347	514	610
Growth	127%	93%	114%	48%	19%
Margin	34%	42%	51%	53%	52%

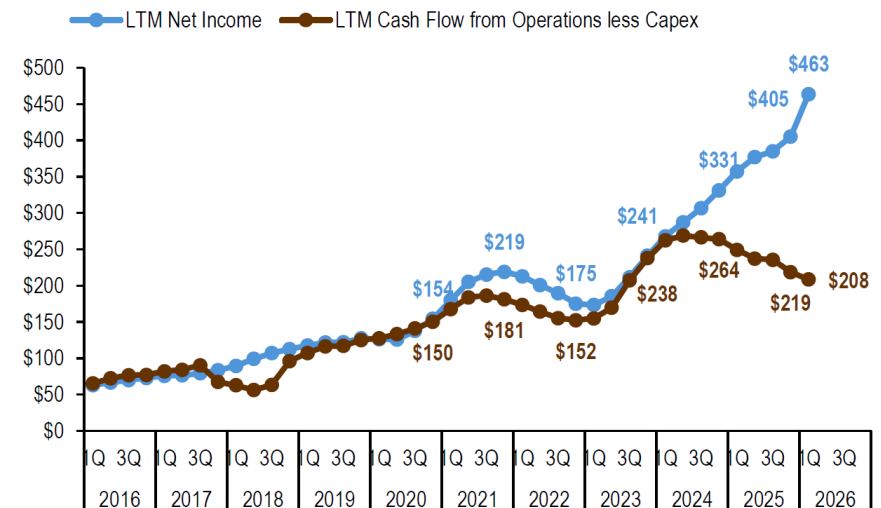
Source: J.P. Morgan Equity and Quantitative Strategy, Bloomberg Finance L.P., Factset.

Consensus of AI capex by hyperscalers



Source: J.P. Morgan Semi & Semi Equipment Research

Gap Between Hyperscalers Cash Flow and Earnings



Source: J.P. Morgan Equity and Quantitative Strategy, Bloomberg Finance L.P., Factset, I/B/E/S, Compustat.

AI Semis' contribution to Japanese stock markets

AI Semis' contribution YTD

TOPIX 2026 YTD Performance Breakdown

No.	Company (as of 2026/08/13)	Company (as of 2026/08/13)	2026	Quarterly			Monthly contribution							
			Contri	26Q1	26Q2	26Q3	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26
	TOPIX	TOPIX	22.5%	3.9%	13.7%	4.5%	4.6%	10.4%	-11.2%	6.6%	6.2%	0.9%	0.2%	4.3%
	AI・半導体 25 銘柄の寄与	AI/Semis related 25 names' contribution	7.5%	1.4%	8.6%	-2.6%	1.5%	1.7%	-1.8%	3.9%	3.1%	1.7%	-4.2%	1.6%
1	8035 東京エレクトロン	8035 TOKYO ELECTRON LTD	1.1%	0.2%	1.6%	-0.7%	0.3%	0.1%	-0.3%	0.3%	0.3%	0.9%	-0.3%	0.1%
2	6857 アドバンテス	6857 ADVANTEST CORP	1.0%	0.1%	0.7%	0.2%	0.4%	0.1%	-0.4%	0.5%	-0.1%	0.3%	0.0%	0.2%
3	6981 村田製作所	6981 MURATA MANUFACTURING CO LTD	1.0%	0.0%	1.5%	-0.5%	0.0%	0.2%	-0.1%	0.3%	0.3%	0.3%	-0.7%	0.2%
4	285A キオクシアホールディングス	285A KIOXIA HOLDINGS CORP	0.5%	0.1%	0.8%	-0.4%	0.1%	0.0%	0.0%	0.2%	0.3%	0.3%	-0.5%	0.1%
5	9984 ソフトバンクグループ	9984 SOFTBANK GROUP CORP	0.5%	-0.3%	1.0%	0.1%	-0.1%	-0.1%	-0.2%	0.6%	0.3%	-0.5%	-0.2%	0.1%
6	5803 フジクラ	5803 FUJIKURA LTD	0.5%	0.2%	0.3%	-0.1%	0.1%	0.2%	-0.1%	0.3%	-0.2%	0.2%	-0.3%	0.2%
7	4062 イビデン	4062 IBIDEN CO LTD	0.4%	0.0%	0.4%	-0.1%	0.0%	0.0%	0.0%	0.2%	0.2%	0.0%	-0.2%	0.1%
8	6723 ルネサスエレクトロニクス	6723 RENESAS ELECTRONICS CORP	0.3%	0.0%	0.5%	0.2%	0.1%	0.1%	-0.1%	0.2%	0.2%	0.1%	-0.2%	0.1%
9	4063 信越化学工業	4063 SHIN-ETSU CHEMICAL CO LTD	0.3%	0.2%	0.1%	-0.1%	0.0%	0.2%	0.0%	0.2%	0.1%	-0.1%	-0.2%	0.1%
10	5802 住友電気工業	5802 SUMITOMO ELECTRIC INDUSTRIES	0.2%	0.2%	0.2%	0.2%	0.0%	0.3%	-0.1%	0.1%	0.2%	-0.1%	-0.2%	0.0%

Source: Bloomberg Finance L.P., J.P. Morgan

Net Profit Growth of AI/Semis related names

As of 2026/07/31; Nikkei wgt as of 2026/07/31			Weight in TPX500 Index	Ref: Weight in Nikkei Index	Net profit growth BBGe consensus							Net profit growth contribution to TOPIX 500			
Code	Name	Name in English			FY26		FY27		FY28		3Y Growth	FY26	FY27	FY28	3Y Growth
					YoY	1M Rev	YoY	1M Rev	YoY	1M Rev	Growth	Contri.	Contri.	Contri.	Contri.
TOPIX 500 Index					18.9%	-0.6%	11.2%	1.0%	9.4%	0.6%	44.7%	18.9%	11.2%	9.4%	39.5%
TOPIX AI Semiconductor DC related 25 names					123.8%	-3.7%	27.2%	1.9%	15.9%	1.3%	230.1%	9.8%	4.1%	2.7%	16.6%
8035	東京エレクトロン	TOKYO ELECTRON LTD	2.2%	8.7%	26.6%	0.9%	32.7%	2.6%	22.3%	3.2%	105.4%	0.3%	0.4%	0.3%	0.9%
9984	ソフトバンクグループ	SOFTBANK GROUP CORP	1.9%	6.6%	17.2%	-42.0%	12.7%	3.1%	12.8%	-11.7%	49.0%	0.1%	0.1%	0.1%	0.3%
6857	アドバンテスト	ADVANTEST CORP	1.9%	12.2%	38.1%	0.3%	24.9%	0.9%	16.0%	2.6%	100.0%	0.3%	0.2%	0.1%	0.6%
6981	村田製作所	MURATA MANUFACTURING CO LTD	1.4%	0.9%	42.6%	0.0%	37.6%	-1.3%	33.1%	-6.4%	161.2%	0.2%	0.2%	0.2%	0.6%
4063	信越化学工業	SHIN-ETSU CHEMICAL CO LTD	1.0%	1.5%	19.8%	0.0%	10.5%	0.1%	9.1%	1.2%	44.3%	0.2%	0.1%	0.1%	0.3%
7741	ＨＯＹＡ	HOYA CORP	0.9%	0.6%	5.3%	0.2%	12.1%	0.2%	10.4%	0.1%	30.3%	0.0%	0.0%	0.0%	0.1%
6723	ルネサスエレクトロニクス	RENESAS ELECTRONICS CORP	0.6%	0.2%	-	0.3%	1.1%	0.9%	12.6%	1.5%	-	-	-	-	-
5803	フジクラ	FUJIKURA LTD	0.6%	1.3%	49.9%	0.1%	24.4%	-0.2%	24.9%	-0.1%	132.9%	0.1%	0.1%	0.1%	0.3%
5802	住友電気工業	SUMITOMO ELECTRIC INDUSTRIES	0.6%	0.5%	-7.5%	0.2%	21.6%	0.4%	18.2%	0.5%	33.0%	0.0%	0.1%	0.1%	0.2%
285A	キオクシアホールディングス	KIOXIA HOLDINGS CORP	0.6%	1.7%	836.7%	-0.6%	31.0%	2.9%	13.3%	3.3%	1290.9%	8.2%	2.4%	1.2%	11.8%
6146	ディスコ	DISCO CORP	0.5%	0.6%	33.1%	0.0%	19.5%	0.5%	16.1%	0.2%	84.7%	0.1%	0.1%	0.0%	0.2%
6762	ＴＤＫ	TDK CORP	0.5%	2.4%	19.6%	0.2%	18.2%	0.6%	18.6%	0.3%	67.6%	0.1%	0.1%	0.1%	0.2%
2802	味の素	AJINOMOTO CO INC	0.5%	0.5%	-0.9%	-1.0%	19.6%	-0.4%	16.7%	-0.6%	38.3%	0.0%	0.0%	0.0%	0.1%
4062	イビデン	IBIDEN CO LTD	0.4%	1.7%	13.1%	1.8%	52.3%	0.3%	39.8%	-0.5%	140.9%	0.0%	0.1%	0.1%	0.1%
6920	レーザーテック	LASERTEC CORP	0.3%	0.8%	-9.8%	-0.4%	27.1%	-0.8%	29.4%	0.0%	48.4%	0.0%	0.0%	0.0%	0.1%
6361	荏原製作所	EBARA CORP	0.3%	0.3%	33.8%	0.0%	12.0%	0.0%	18.8%	0.0%	78.0%	0.0%	0.0%	0.0%	0.1%
4004	レゾナックホールディングス	RESONAC HOLDINGS CORP	0.2%	0.1%	243.0%	0.0%	41.9%	0.0%	20.7%	0.0%	487.5%	0.1%	0.1%	0.0%	0.2%
5801	古河電気工業	FURUKAWA ELECTRIC CO LTD	0.2%	0.2%	22.8%	-0.2%	39.5%	-0.7%	31.0%	-0.9%	124.5%	0.0%	0.1%	0.1%	0.1%
7735	ＳＣＲＥＥＮホールディングス	SCREEN HOLDINGS CO LTD	0.2%	0.5%	27.0%	0.9%	25.1%	2.8%	14.4%	3.5%	81.7%	0.0%	0.0%	0.0%	0.1%
6525	KOKUSAI ELECTRIC	KOKUSAI ELECTRIC CORP	0.2%	-	61.7%	0.5%	41.7%	3.7%	23.9%	3.5%	183.8%	0.0%	0.0%	0.0%	0.1%
3436	ＳＵＭＣＯ	SUMCO CORP	0.1%	0.0%	-	-	-	7.3%	137.3%	3.6%	-	-	-	-	-
5201	ＡＧＣ	AGC INC	0.1%	0.1%	23.2%	0.0%	18.8%	0.6%	15.5%	0.0%	69.2%	0.0%	0.0%	0.0%	0.1%
4186	東京応化工業	TOKYO OHKA KOGYO CO LTD	0.1%	-	23.1%	1.6%	18.4%	1.1%	13.9%	-0.9%	66.1%	0.0%	0.0%	0.0%	0.0%
7729	東京精密	TOKYO SEIMITSU CO LTD	0.1%	-	22.5%	0.0%	15.6%	0.0%	12.5%	0.0%	59.3%	0.0%	0.0%	0.0%	0.0%

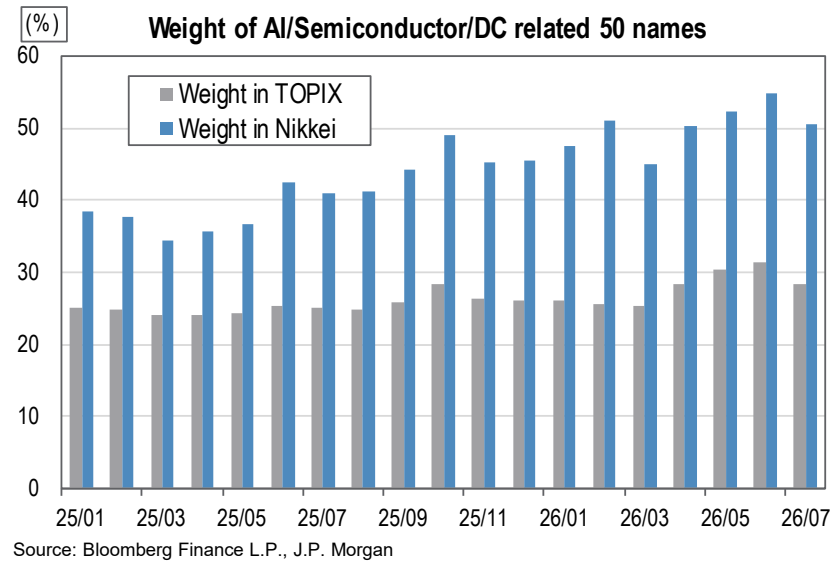
Source: Bloomberg Finance L.P., J.P. Morgan

Note: Net profit forecasts are based on Bloomberg consensus

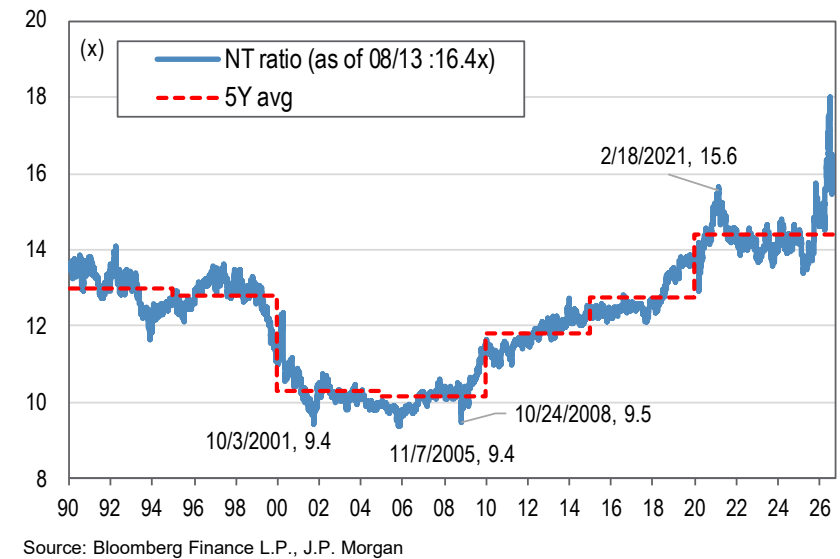
AI-Driven Rally

Nikkei has a high AI weighting of around 40-50%

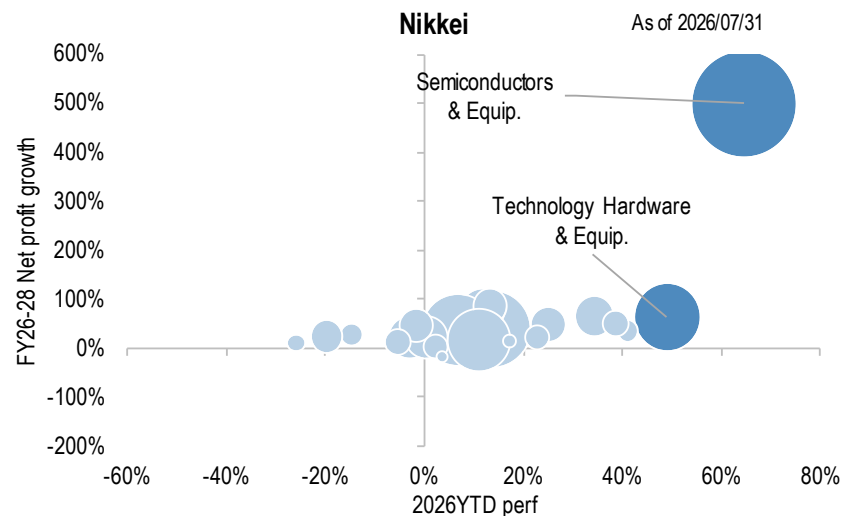
Index weight of AI/semiconductor/DC related 50 names



NT (Nikkei/TOPIX) ratio

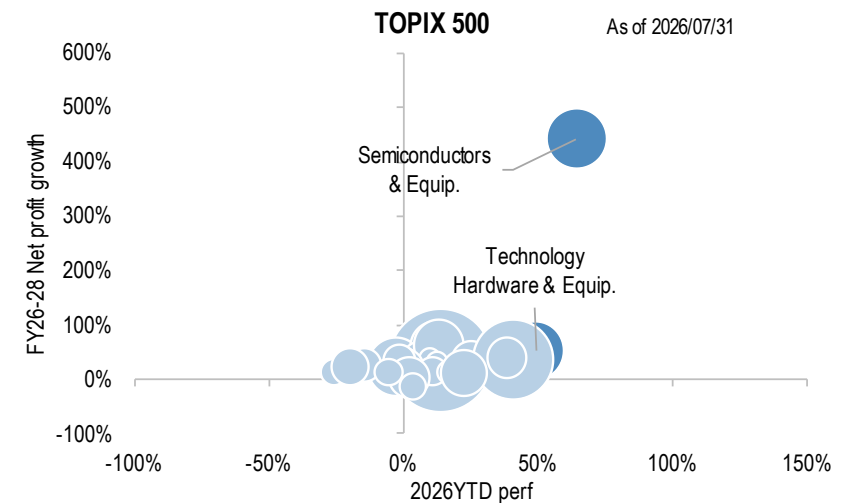


NP est. for the Nikkei and its constituents



Note: EPS forecasts are based on Bloomberg consensus. The size of the circles represents the

NP est. for the TOPIX 500 and its constituents



Note: EPS forecasts are based on Bloomberg consensus. The size of the circles represents the

AI growth's contribution to Japanese stock markets

Nikkei versus TOPIX

Net profit consensus for the Nikkei and TOPIX 500 index

As of 2026/07/31		BBGe NP growth (sector aggregate)			
Net profit YoY growth	Weight in Index	FY26 (YoY)	FY27 (YoY)	FY28 (YoY)	3Y growth
TOPIX 500 (cons. aggregate)	100.0%	17.8%	11.7%	9.3%	43.8%
TOPIX 500 (index weight)	100.0%	28.8%	11.3%	9.5%	62.2%
AI/semis/DC related 50 names	27.7%	58.8%	20.1%	13.9%	117.0%
Semiconductors & Equip.	7.0%	262.2%	29.9%	15.2%	442.2%
Technology Hardware & Equip.	6.5%	12.5%	16.6%	16.8%	53.3%
Capital Goods	21.0%	13.0%	8.4%	9.4%	33.9%
Automobiles & Components	6.5%	2.3%	12.4%	8.2%	24.4%
Materials	4.9%	30.8%	13.6%	7.5%	59.8%
Consumer Staples Distribution	1.2%	-4.2%	7.3%	10.1%	13.2%
Consumer Discretionary Distrib	3.3%	12.8%	8.2%	9.3%	33.4%
Consumer Durables & Apparel	4.9%	25.0%	14.1%	13.7%	62.2%
Consumer Services	0.8%	10.0%	12.5%	11.8%	38.3%
Food, Beverage & Tobacco	2.9%	13.5%	9.3%	8.8%	35.0%
Household & Personal Products	0.7%	12.5%	8.5%	8.2%	32.1%
Pharmaceuticals, Biotechnology	3.3%	7.6%	9.1%	0.7%	18.3%
Health Care Equipment & Servic	1.9%	9.4%	12.7%	10.0%	35.7%
Commercial & Professional Serv	2.3%	17.4%	12.2%	13.0%	48.9%
Software & Services	2.2%	2.5%	10.9%	12.1%	27.4%
Media & Entertainment	2.7%	2.3%	12.6%	7.6%	24.0%
Telecommunication Services	1.6%	1.7%	6.9%	6.3%	15.5%
Transportation	3.2%	-6.9%	4.4%	5.5%	2.5%
Utilities	1.3%	-18.6%	2.2%	6.0%	-11.8%
Energy	0.9%	19.3%	-7.2%	3.7%	14.7%
Banks	12.5%	12.5%	11.8%	7.9%	35.7%
Insurance	3.0%	18.2%	10.3%	7.0%	39.5%
Financial Services	4.0%	4.7%	-1.6%	7.5%	10.7%
Real Estate	1.3%	0.1%	7.8%	5.8%	14.1%
REIT	0.0%	-	-	-	-

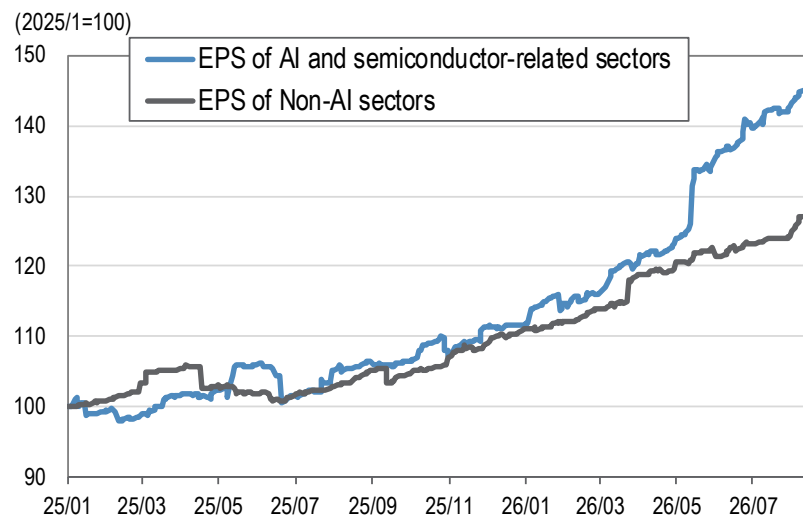
As of 2026/07/31		BBGe NP growth (sector aggregate)			
Net profit YoY growth	Weight in Index	FY26 (YoY)	FY27 (YoY)	FY28 (YoY)	3Y growth
Nikkei (cons. aggregate)	100.0%	24.9%	11.6%	9.2%	52.2%
Nikkei (index weight)	100.0%	87.0%	15.8%	10.6%	155.4%
AI/semis/DC related 50 names	50.4%	66.3%	21.2%	13.0%	127.7%
Semiconductors & Equip.	25.0%	301.1%	32.4%	13.0%	499.8%
Technology Hardware & Equip.	9.6%	19.3%	17.0%	17.1%	63.4%
Capital Goods	13.0%	16.9%	7.1%	9.7%	37.5%
Automobiles & Components	3.8%	2.6%	10.7%	8.9%	23.7%
Materials	4.0%	43.1%	14.4%	9.0%	78.4%
Consumer Staples Distribution	0.5%	-4.6%	4.1%	11.1%	10.4%
Consumer Discretionary Distrib	11.4%	14.1%	10.1%	10.0%	38.2%
Consumer Durables & Apparel	2.5%	42.4%	15.0%	14.2%	86.9%
Consumer Services	0.2%	5.9%	7.0%	7.8%	22.1%
Food, Beverage & Tobacco	2.4%	25.0%	8.4%	9.3%	48.0%
Household & Personal Products	0.5%	14.5%	6.3%	7.1%	30.4%
Pharmaceuticals, Biotechnology	3.8%	9.4%	10.0%	0.8%	21.3%
Health Care Equipment & Servic	2.2%	18.3%	12.1%	9.9%	45.8%
Commercial & Professional Serv	3.3%	22.8%	20.3%	12.5%	66.1%
Software & Services	0.9%	0.6%	12.9%	12.1%	27.4%
Media & Entertainment	2.1%	4.5%	7.6%	10.6%	24.3%
Telecommunication Services	8.6%	1.3%	6.8%	6.3%	15.0%
Transportation	1.1%	-5.3%	2.6%	6.5%	3.5%
Utilities	0.2%	-22.2%	0.5%	5.5%	-17.5%
Energy	0.3%	23.4%	-9.6%	2.3%	14.1%
Banks	0.9%	15.5%	9.9%	6.6%	35.3%
Insurance	1.3%	22.7%	12.9%	7.8%	49.3%
Financial Services	1.1%	39.2%	-16.8%	5.0%	21.7%
Real Estate	1.2%	-1.6%	8.0%	6.7%	13.4%
REIT	0.0%	-	-	-	-

Source: Bloomberg Finance L.P., J.P. Morgan

Note: Net profit forecasts are based on Bloomberg consensus

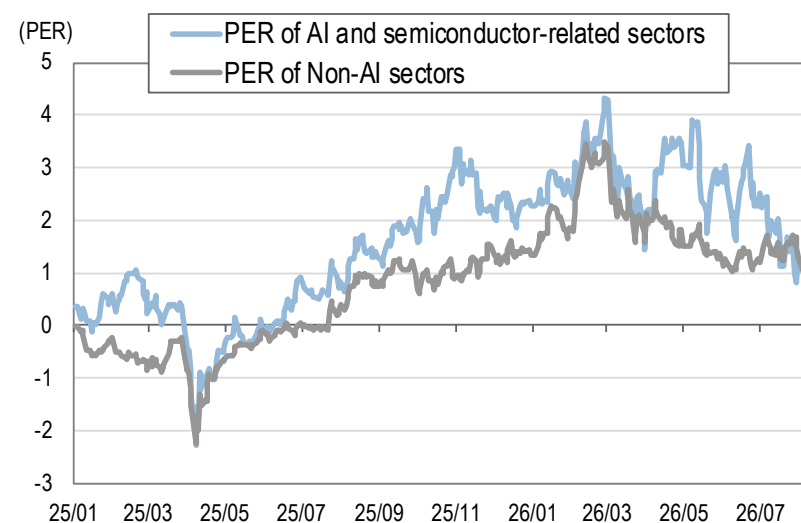
AI vs Non-AI

EPS of AI and Non-AI Sectors



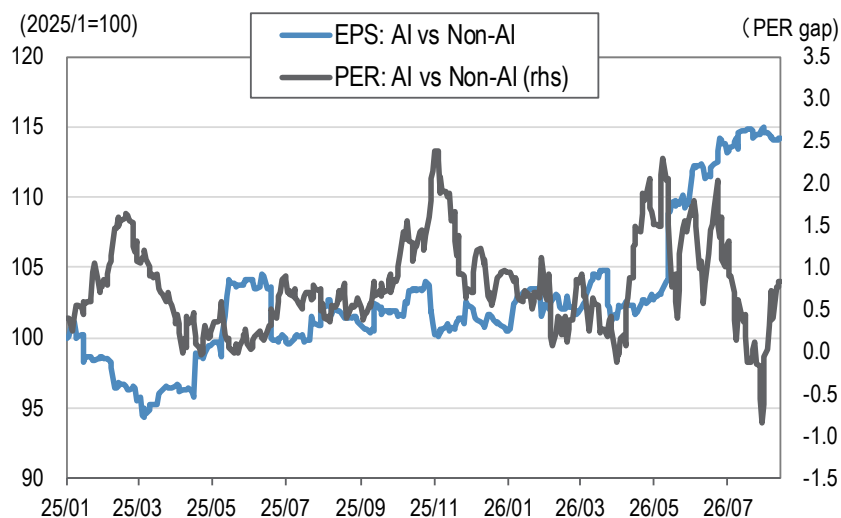
Source: Bloomberg Finance L.P., J.P. Morgan Note: EPS is 12-month forward Bloomberg consensus. PER is normalized using daily PER from October 2023 to end-September 2025.

PER of AI and Non-AI Sectors



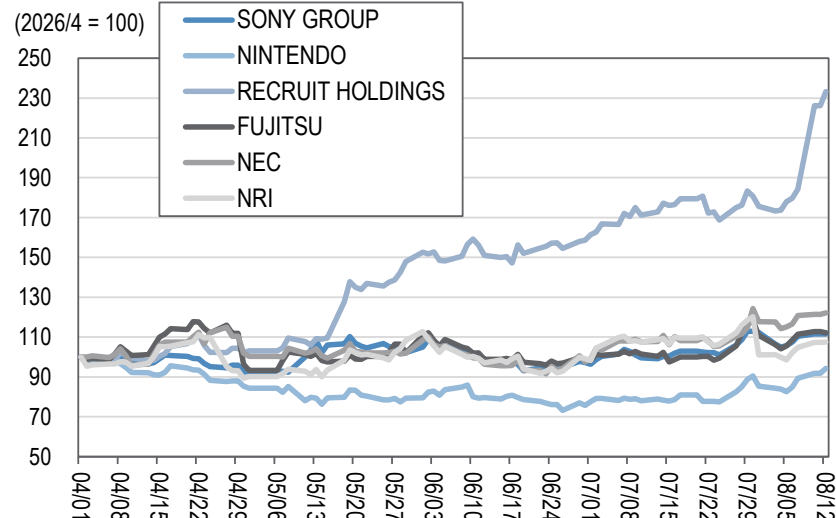
Source: Bloomberg Finance L.P., J.P. Morgan Note: PER is 12-month forward Bloomberg consensus. PER is normalized using daily PER from October 2023 to end-September 2025.

Relative EPS/PER Trends of AI vs Non-AI



Source: Bloomberg Finance L.P., J.P. Morgan Note: EPS, PER are 12-month forward Bloomberg consensus. PER is normalized using daily PER from October 2023 to end-September 2025. PER

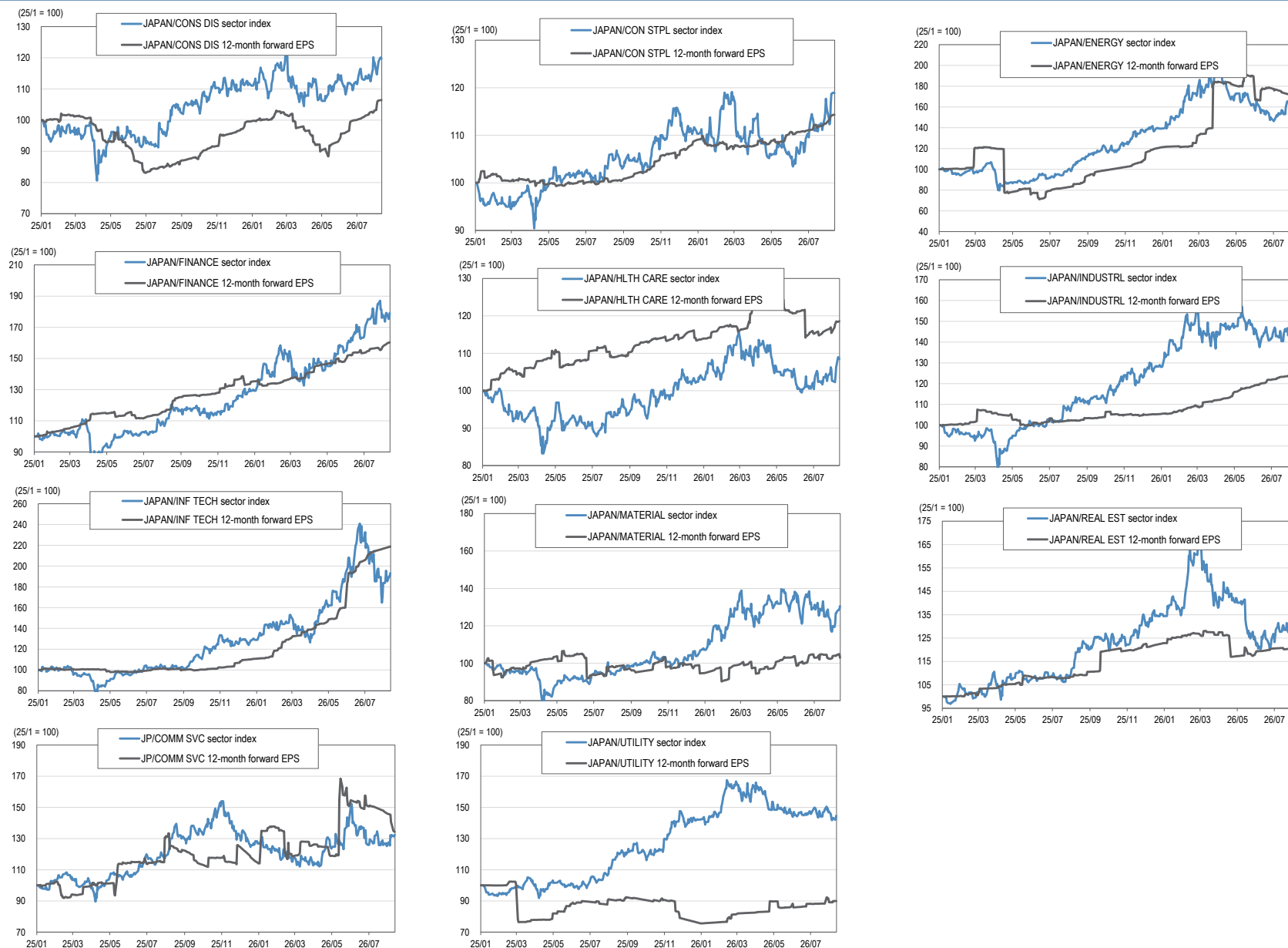
Some AI Disruptor Stocks Remain Firm



Source: Bloomberg Finance L.P., J.P. Morgan

AI vs Non-AI: Sectors Showing a Divergence Between Earnings and Stock Performance

MSCI Japan Sector Stock Prices and EPS Trends

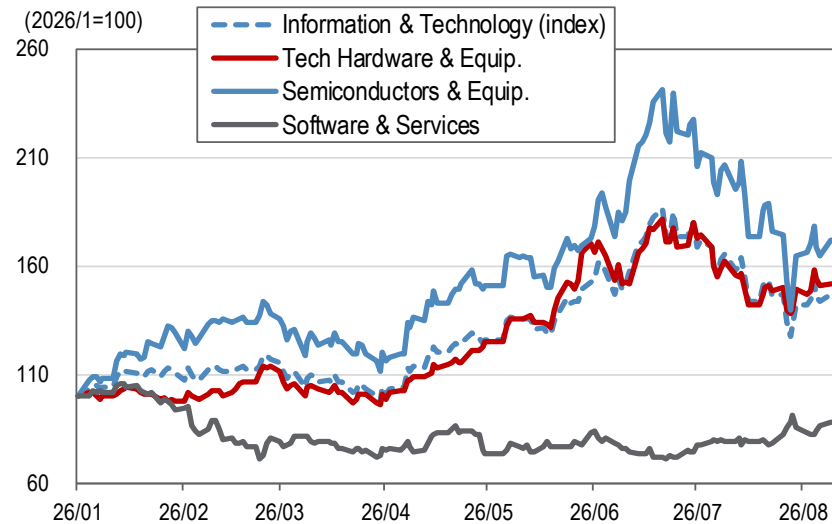


Source: Bloomberg Finance L.P., J.P. Morgan

Note : EPS is 12 months forward Bloomberg consensus

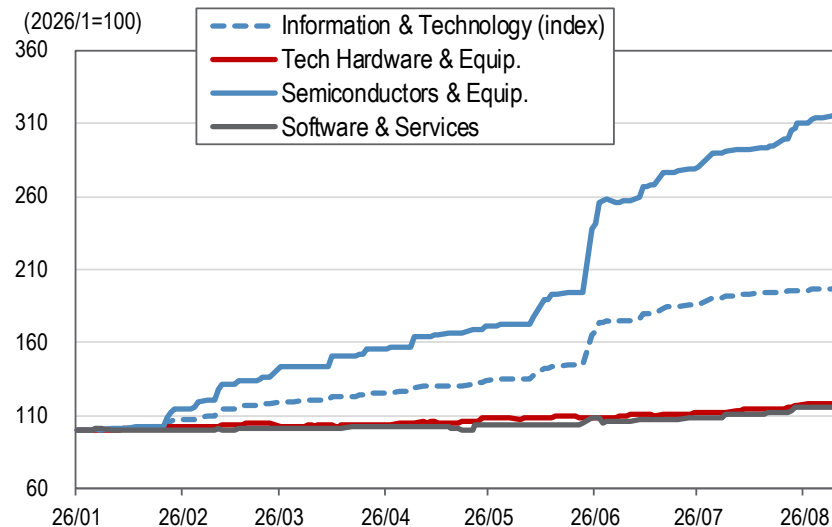
Increasing Divergence Within the AI Semiconductor Sector

Performance Divergence within Japanese Tech Sector



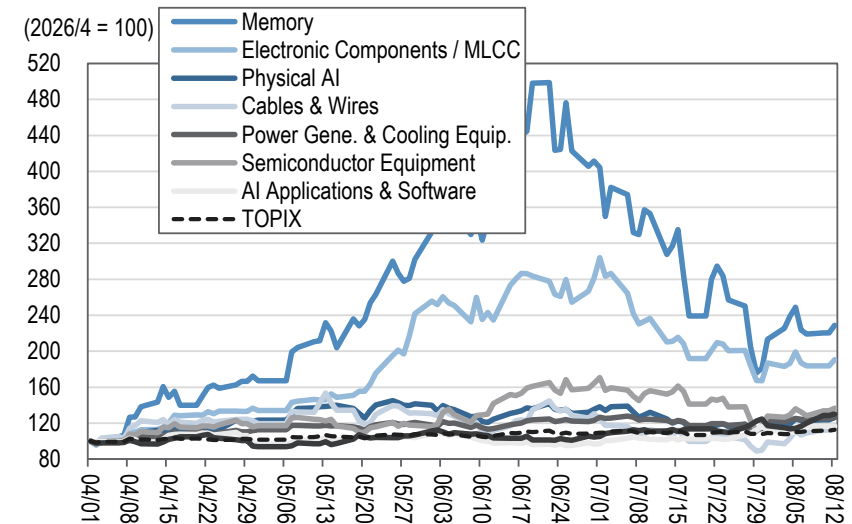
Source: Bloomberg Finance L.P., J.P. Morgan Note: EPS and PER are 12-month forward Bloomberg consensus. PER is normalized using daily PER from October 2023 to end-September 2025.

EPS Trend of Japanese Tech Sector



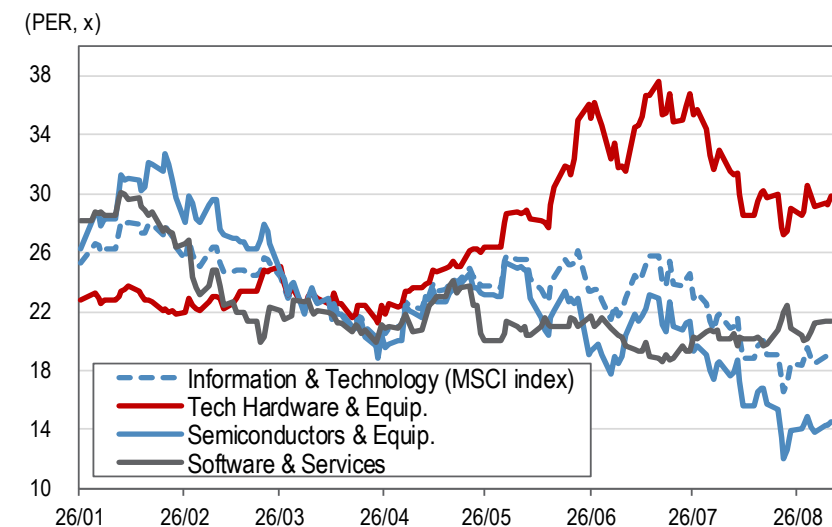
Source: Bloomberg Finance L.P., J.P. Morgan Note: EPS is 12-month forward Bloomberg consensus.

Sectoral Performance of the AI Value Chain



Source: Bloomberg Finance L.P., J.P. Morgan Estimates Note: Simple average performance of representative stocks by sector.

PER Trend of Japanese Tech Sector

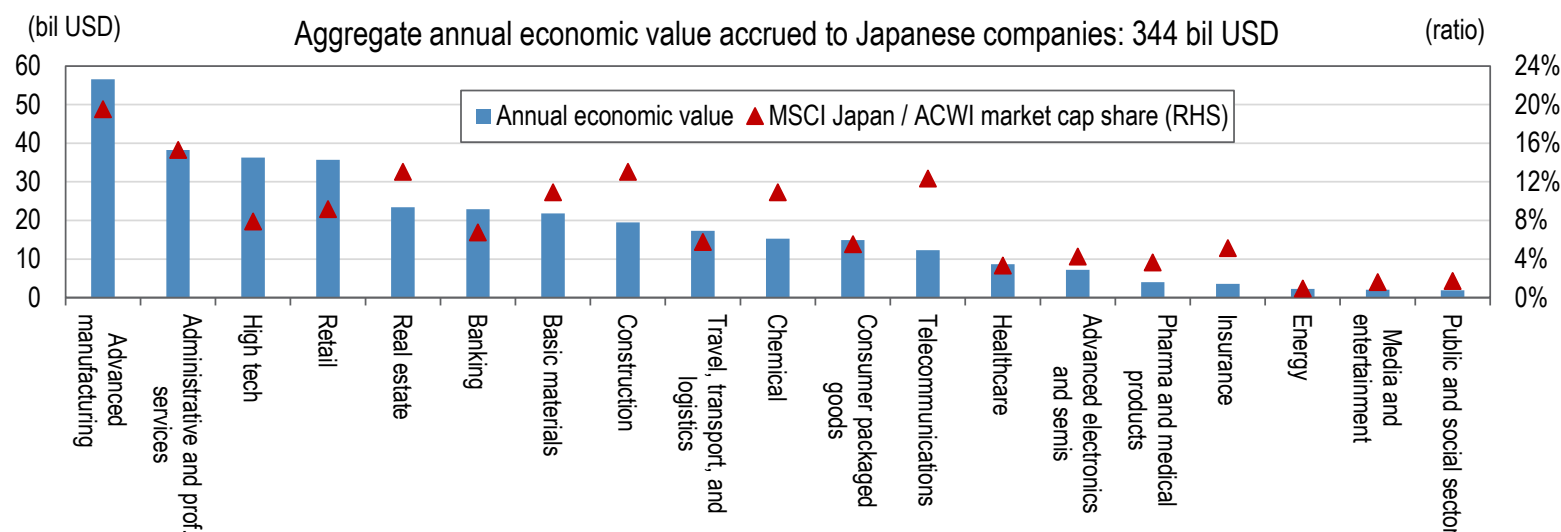


Source: Bloomberg Finance L.P., J.P. Morgan Note: PER is 12-month forward Bloomberg consensus.

AI Growth - AI Value Chain

AI user

Japan's Share in the Economic Value of Generative AI (J.P. Morgan Estimates)



Global Economic Value of New Generative AI Use Cases

Industry	Ann Economic Value		% of industry rev.	
High tech	240	~ 460	4.8%	~ 9.3%
Banking	200	~ 340	2.8%	~ 4.7%
Pharma and medical products	60	~ 110	2.6%	~ 4.5%
Education	120	~ 230	2.2%	~ 4.0%
Telecommunications	60	~ 100	2.3%	~ 3.7%
Healthcare	150	~ 260	1.8%	~ 3.2%
Media and entertainment	80	~ 130	1.8%	~ 3.1%
Insurance	50	~ 70	1.8%	~ 2.8%
Advanced manufacturing	170	~ 290	1.4%	~ 2.4%
Consumer packaged goods	160	~ 270	1.4%	~ 2.3%
Advanced electronics and semis	100	~ 170	1.3%	~ 2.3%
Total	2,600	~ 4,400	-	

Source: J.P. Morgan, based on estimates from McKinsey & Company ("The Economic Potential of Generative AI", June 2026). Note: Annual economic value is in USD billions. Only top 10 industries

AI use cases by industry

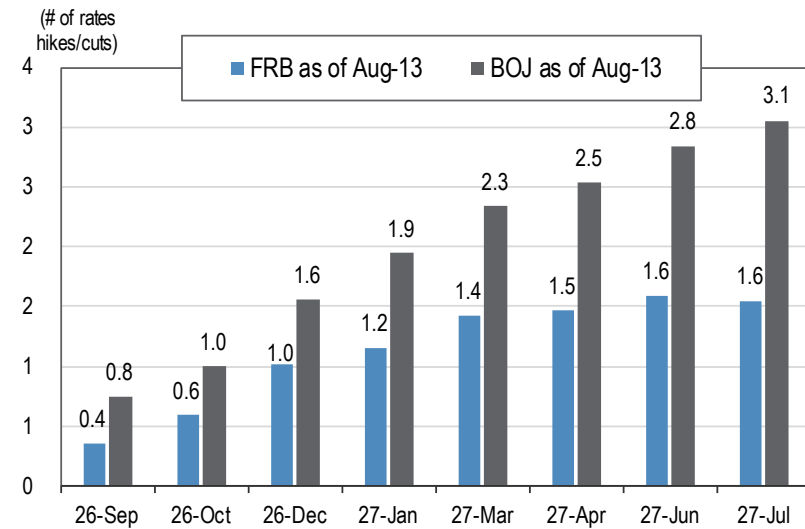
AI use cases by industry	
Software	Development effort drops sharply
Banks	Automation of underwriting/review, back-office operations, and customer service
Insurance	Automation of claims assessment and insurance payouts
Pharmaceuticals	Faster drug discovery and R&D
IT services	Automation of maintenance, operations, and development
Advertising / Marketing	Content creation and improved sales productivity
Call centers / BPO	Shift to AI agents (agentification)
Retail	Demand forecasting, price optimization, and inventory management

Source: J.P. Morgan, based on various major media companies' reports

Monetary Policy

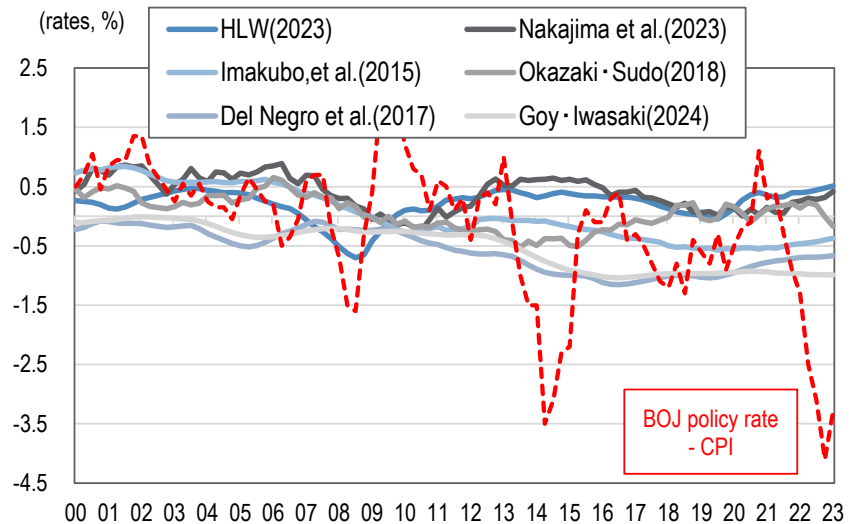
Rate hikes to continue

Japan and US monetary policy priced in OIS market



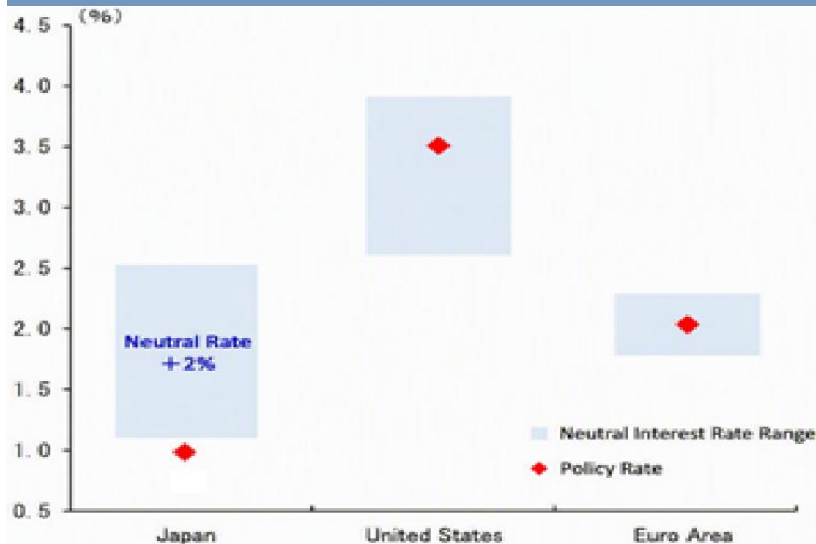
Source: Bloomberg Finance L.P., J.P. Morgan

Estimates of Japan terminal rate (neutral rate)



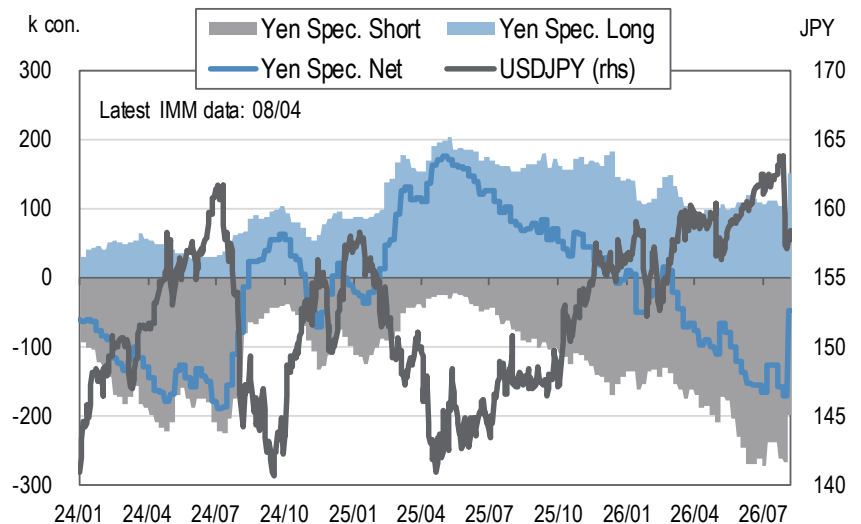
Source: BOJ, J.P. Morgan

Estimated neutral interest rates in Japan, US and Europe



Source: Bank of Japan, J.P. Morgan

CFTC Yen speculative position

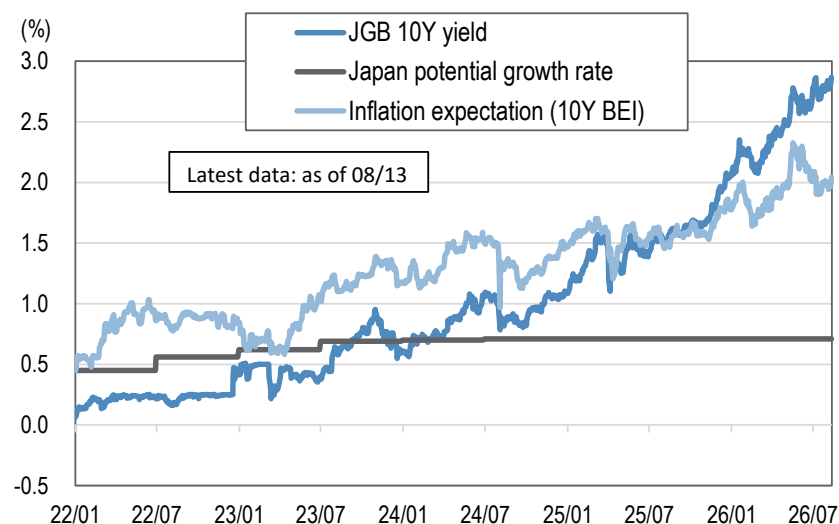


Source: CME, Bloomberg Finance L.P., J.P. Morgan

Rise in long-term interest rates

Consumption Tax Reduction and Fiscal Implications

JGB 10Y yield, Japan potential growth rate and inflation expectation



Source: Bank of Japan, Bloomberg Finance L.P., J.P. Morgan

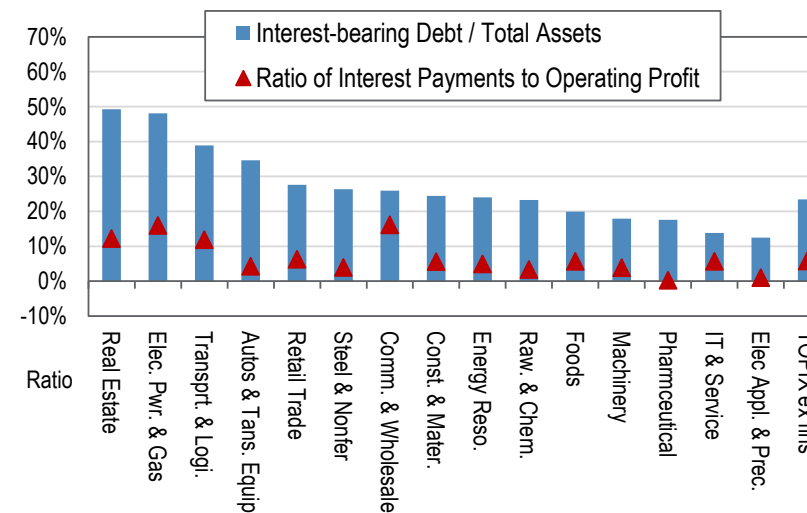
Potential Funding for Japan's Consumption Tax Cut

Potential Funding Sources to Cover the "5 Trillion Yen" Gap from Tax Reduction

Item	Scale	Available for Tax Cut Funding	Other Breakdown
Increased Tax Revenue	¥4.3 trillion	¥4.3 trillion	—
Budget Surplus	¥2.6 trillion	¥0.6 trillion	¥1.3 trillion allocated for JGB redemption; ¥0.7 trillion for defense
Foreign Exchange Fund Special Account Surplus	¥5 trillion	¥0.6 trillion	¥4.4 trillion already allocated for defense and special account
Review of Tax Preferences	Up to ¥1 trillion	Up to ¥1 trillion	—
Review of Subsidies & Funds	TBD	—	—
Social Security Reform	TBD	—	—

Source: J.P. Morgan created from Aug-7 Nikkei news

Lending ratio by sector



Source: Bloomberg Finance L.P., J.P. Morgan
Note: Aug-13 latest

Moody's Assessment of JGB and Fiscal Policy (Martin Petch)

- The Takaichi administration's gradual fiscal consolidation path is viewed positively. While debt levels remain high, they are largely supported by domestic savings, and upside/downside rating risks are broadly balanced.
- The consumption tax cut (limited to 2 years) is seen as having a limited fiscal impact, with no significant negative implications for the credit rating.
- The ¥370 trillion growth investment plan carries uncertainty regarding the scale of JGB issuance, but positive effects on productivity and economic growth are also anticipated; no fundamental change to Japan's fiscal assessment is seen at this stage.
- The shift to a multi-year evaluation framework for the primary balance target is not viewed as problematic, with emphasis placed on maintaining the direction of fiscal consolidation.
- The rise in long-term interest rates is assessed as a natural reflection of growth expectations and is considered within an acceptable range.

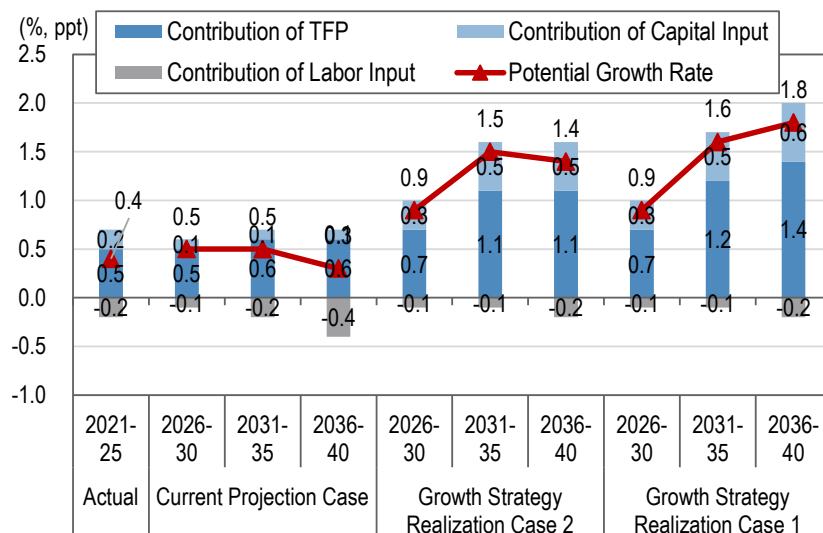
=> Moody's currently **has no major concerns regarding Japan's fiscal position or sovereign credit rating**. The temporary consumption tax cut and the revision to the primary balance target are not viewed as immediately negative; **the key assessment factor is whether Japan maintains its long-term commitment to fiscal consolidation**.

Source: August 10, 2026 Nikkei news interview of Martin Petch

Rise in long-term interest rates

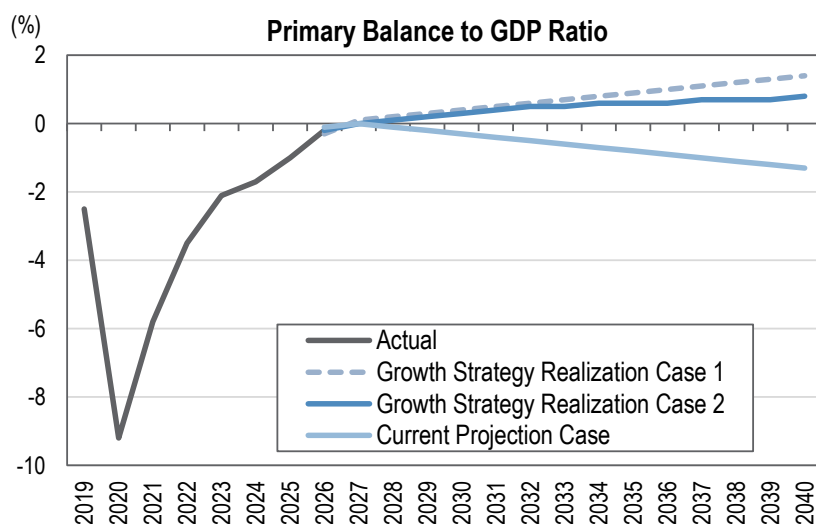
Fiscal policy outlook

Estimate of Japan's Potential Growth Rate



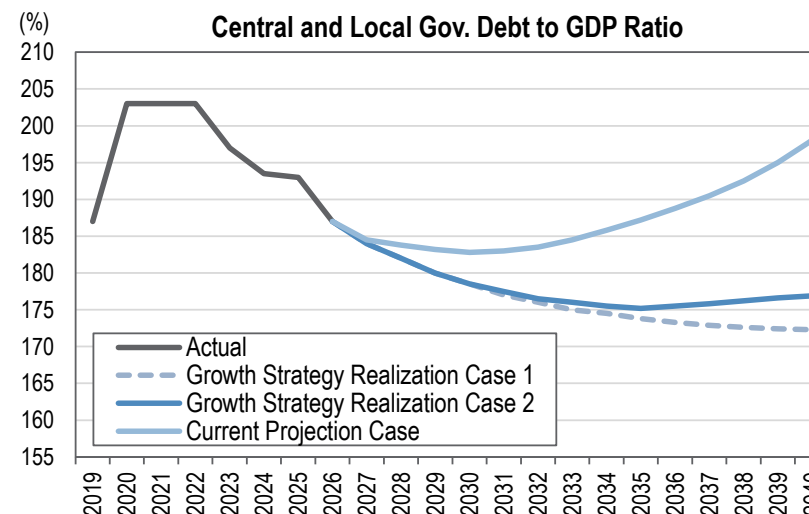
Source: Compiled by J.P. Morgan based on Cabinet Office estimates Note: For details of each case, please refer to the [Cabinet Office materials](#).

Central and Local Gov. Primary Balance to GDP Ratio



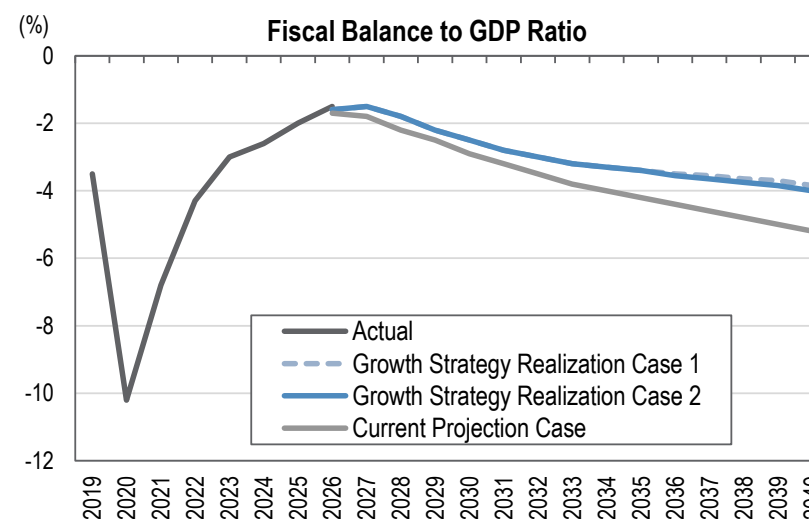
Source: Compiled by J.P. Morgan based on Cabinet Office estimates Note: For details of each case, please refer to the [Cabinet Office materials](#).

Central and Local Gov. Debt Outstanding to GDP Ratio



Source: Compiled by J.P. Morgan based on Cabinet Office estimates Note: For details of each case, please refer to the [Cabinet Office materials](#).

Central and Local Gov. Fiscal Balance to GDP Ratio



Source: Compiled by J.P. Morgan based on Cabinet Office estimates Note: For details of each case, please refer to the [Cabinet Office materials](#).

Rise in long-term interest rates

Japanese equities have historically remained resilient during previous periods of rising rates — Is this time different?

USDJPY, Japanese share prices, and economic conditions during past periods of super long-term rate increases

		Trust Fund Bureau shock (1998/09 ~ 1999/02)	VaR shock (2003/06 ~ 2003/09)	2024/10/01 ~ 2026/08/13
JGB 10Y yield	High	2.5%	1.6%	2.9%
JGB 10Y yield	Low	0.7%	0.4%	0.8%
JGB 10Y yield	Chg pt	1.7%	1.2%	2.0%
JGB 20Y yield	High	3.6%	2.1%	3.9%
JGB 20Y yield	Low	1.2%	0.8%	1.6%
JGB 20Y yield	Chg pt	2.4%	1.3%	2.2%
USDJPY net change (Yen)		-17.3 Strong Yen	-7.8 Strong Yen	15.8 Weak Yen
TOPIX return during the period		7.3%	21.6%	55.2%
Sectors with the best performance and stock price return	1	Banks (27.5%)	Banks (54.3%)	Steel & Nonfer (157.5%)
	2	Real Estate (27.4%)	Real Estate (47.1%)	Banks (150.7%)
	3	Comm. & Wholesale (16.8%)	Steel & Nonfer (45.0%)	Elec Appl. & Prec. (77.8%)
	4	Foods (12.8%)	Fin ex Bank (42.0%)	Fin ex Bank (63.2%)
	5	Elec Appl. & Prec. (9.2%)	Comm. & Wholesale (39.1%)	Machinery (60.2%)
Sectors with the worst performance and stock price return	1	Elec. Pwr. & Gas (-7.2%)	Elec. Pwr. & Gas (-3.5%)	Pharmceutical (6.9%)
	2	Transprt. & Logi. (-4.1%)	Pharmceutical (-0.5%)	Transprt. & Logi. (18.1%)
	3	Energy Reso. (-0.9%)	Foods (2.5%)	Autos & Tans. Equip. (18.4%)
	4	Steel & Nonfer (-0.6%)	Transprt. & Logi. (8.7%)	Raw. & Chem. (22.1%)
	5	Machinery (-0.5%)	Energy Reso. (11.5%)	Real Estate (26.5%)
Business cycle		Recovery/Expansion	Recovery/Expansion	Recovery

Source: CAO,
Bloomberg Finance
L.P., J.P. Morgan

Note: Sector return is
absolute return

Middle East Tensions and the Impact of Elevated Oil Prices

Impact of elevated oil prices on corporate earnings

Net Profit Impact from Rising Crude Oil Prices

TOPIX EPS impact (NTM, %pt)			Duration of peak oil prices				
Peak oil price (/bbl) Ref: As of 2/28: Dubai oil 72 USD, LTM 67 USD)	Oil price	vs 2/28	1M	3M	6M	9M	12M
	80	11%	-3.5%	-3.5%	-3.3%	-3.1%	-3.1%
	85	18%	-3.8%	-3.9%	-4.0%	-4.0%	-4.0%
	90	25%	-4.1%	-4.4%	-4.7%	-4.8%	-4.9%
	100	39%	-4.8%	-5.4%	-6.1%	-6.5%	-6.6%
	110	53%	-5.4%	-6.3%	-7.5%	-8.3%	-8.4%
	120	67%	-6.1%	-7.3%	-9.0%	-10.0%	-10.2%
	130	81%	-6.7%	-8.2%	-10.4%	-11.7%	-11.9%
	150	108%	-8.0%	-10.1%	-13.2%	-15.1%	-15.5%

Source: Based on J.P. Morgan estimates using sources such as QUICK, corporate disclosure materials, and the MIC "Input-Output Tables (2020)"

FY2026 corporate guidance by sector

FY2026 Guid. vs Act YoY% (as of 2026/08/03)	Sales		Operating Profit		Net Profit	
	Initial YoY	Current YoY	Initial YoY	Current YoY	Initial YoY	Current YoY
TOPIX	4.3%	5.1%	9.2%	11.4%	9.8%	12.0%
TOPIX ex. Elec Pwr. & Gas, Autos	4.3%	5.2%	10.3%	13.1%	11.0%	13.5%
Auto, Transport Equip	4.1%	4.2%	10.4%	10.4%	9.7%	9.7%
Machinery	5.1%	6.1%	8.6%	12.1%	7.9%	11.1%
Electronic, Precision	2.5%	4.6%	21.2%	29.7%	35.7%	56.2%
Steel & Nonferrous	8.4%	9.3%	1.7%	9.7%	11.2%	17.8%
Food	4.1%	4.1%	2.4%	2.4%	2.0%	2.0%
Retail Trade	5.7%	7.6%	9.8%	10.7%	4.9%	5.5%
Real Estate	7.8%	7.8%	7.2%	7.2%	5.4%	5.6%
Transport & Logistics	5.3%	6.8%	15.1%	13.0%	12.2%	7.1%
Construction, Material	6.2%	6.2%	12.3%	12.2%	16.1%	14.1%
IT & Services	4.2%	4.2%	7.5%	7.5%	1.0%	1.2%
Pharmaceutical	6.2%	6.6%	49.5%	49.7%	14.0%	33.0%
Electric Power & Gas	7.7%	8.1%	23.7%	23.7%	23.9%	23.9%
Energy Resources	8.4%	8.4%	14.8%	14.8%	7.0%	7.0%
Raw Material, Chemicals	5.4%	5.7%	25.3%	26.2%	22.4%	23.3%
Wholesale Trade	5.1%	7.0%	8.0%	8.6%	10.0%	11.4%
Banks	2.6%	3.0%	-	-	10.9%	12.4%
Financials ex Banks	-12.3%	-12.7%	0.3%	0.5%	4.1%	4.6%

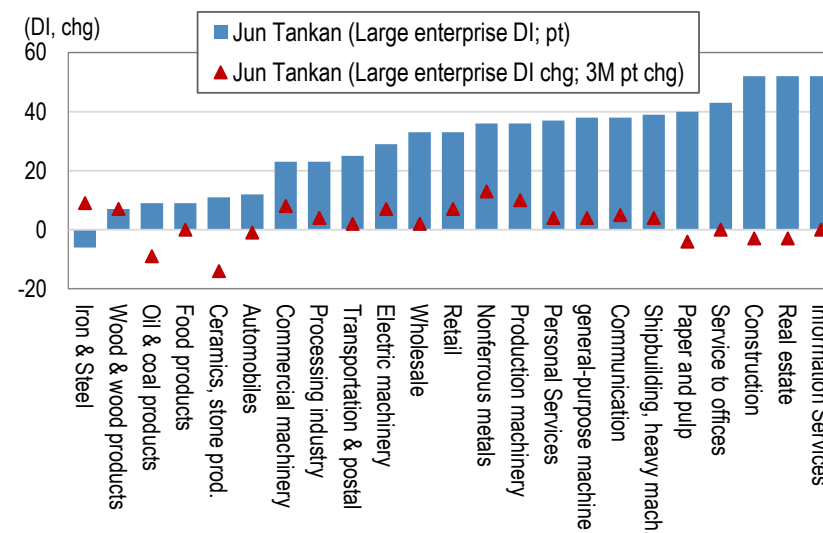
Source: QUICK, Bloomberg Finance L.P., J.P. Morgan Note: Includes only TSE Prime companies that have announced guidance with Feb and Mar as FY-end. Including Kioxia Holdings'

Net Profit Sensitivity to 10% Rise in Oil Price

Profit Impact: WTI price hike 10%	Impact on NP (ppt)		Profit Impact: WTI price hike 10%	Impact on NP (ppt)	
	Cost Impact	Sales + Cost Impact		Cost Impact	Sales + Cost Impact
Energy Reso.	0.0%	19.7%	Autos & Tans. Equip.	-8.1%	-0.4%
Fin ex Bank	-0.4%	1.3%	Foods	-4.7%	-0.9%
Comm. & Wholesale	0.0%	1.0%	Retail Trade	-9.8%	-1.2%
Elec Appl. & Prec.	-5.9%	1.0%	Const. & Mater.	-11.0%	-1.5%
Machinery	-7.8%	0.7%	Raw. & Chem.	-18.4%	-5.0%
IT & Service	-0.7%	0.1%	Transprt. & Logi.	-14.9%	-8.9%
Banks	0.0%	0.0%	Steel & Nonfer	-65.9%	-27.0%
Real Estate	-0.9%	-0.1%	Elec. Pwr. & Gas	-52.8%	-34.9%
Pharmaceutical	-3.1%	-0.1%	TOPIX total	-6.9%	-1.3%

Source: Based on J.P. Morgan estimates using sources such as QUICK, corporate disclosure materials, and the MIC "Input-Output Tables (2020)"

Business conditions DI and change by major sector



Source: Bank of Japan, J.P. Morgan

Major political and economic events in 2026

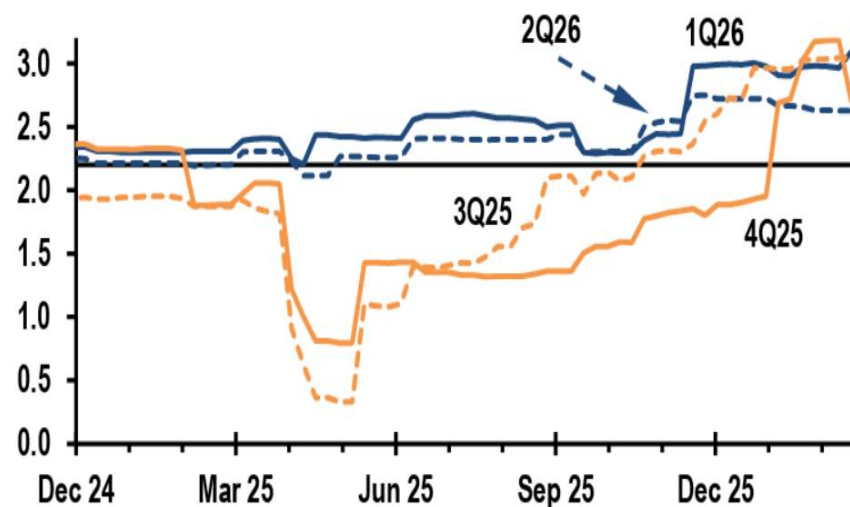
Major political and economic events in 2026		
	Japan	Overseas
Jan	> Ordinary Diet session convenes	
Feb	> Convening of the Ordinary Diet Session > National Council (newly established)	> Lunar New Year
Mar	> Concentrated responses for spring wage negotiations	> National People's Congress of China > NVIDIA GTC 2026
Apr	> Corporate tax and tobacco tax hikes (defense tax increase) > The LDP compiles recommendations for the revision of the three key security-related documents.	
May	> Peak of FY2025 earnings announcement	> End of Fed Chair Powell's term > President Trump's visit to China (tentative)
Jun	> Peak of shareholders' mtg	> G7 Summit
Jul	> Cabinet approval of Basic Policy > Possible revision of Corporate Governance Code (around Summer)	> NATO Summit
Aug	> Ministries submit FY2027 budget requests	> Jackson Hole Symposium
Sep	> Potential Cabinet Reshuffle in Aug-Sep	> United Nations General Assembly
Oct	> Formulation of the FY26 supplementary budget (around Oct-Dec)	> IMF and World Bank Annual Meetings > Brazilian presidential election
Nov		> US midterm elections > APEC Summit
Dec	> Passage of the FY26 supplementary budget in the Diet > Formulation of the initial budget for FY27 > Revision of the Three Key Security Documents	> G20 Summit
2027	> April, Constitutional Reform to Be a Key LDP Agenda at the April 2027 Party Convention	

Source: Created from media reports (Nikkei, etc.) by J.P. Morgan

Global economy outlook

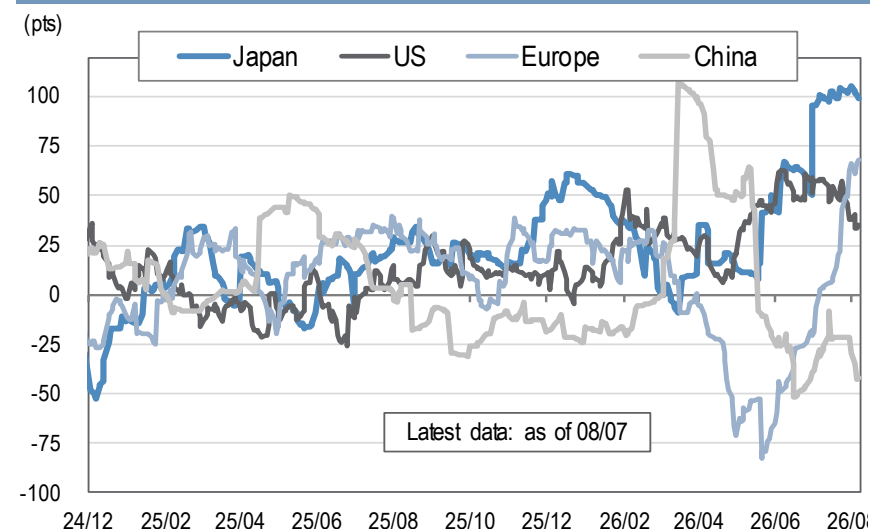
Economic, rates and FX outlook

Global GDP outlook (JPMe)



Source: J.P. Morgan Global Economics Research

Economic surprise index



Source: Bloomberg Finance L.P., J.P. Morgan

GDP growth and CPI outlook (JPMe)

As of Aug-14	Item	2025	2026	2027	4Q 25	1Q 26	2Q 26	3Q 26	4Q 26	1Q 27
Japan	Real GDP (QoQ, saar%)	1.1	<u>0.9</u>	<u>1.1</u>	0.7	<u>1.8</u>	<u>1.9</u>	<u>1.0</u>	<u>1.3</u>	<u>1.0</u>
	Core CPI (YoY%)	1.5	<u>1.8</u>	<u>3.0</u>	1.5	<u>1.4</u>	<u>1.1</u>	<u>1.8</u>	<u>2.7</u>	<u>3.1</u>
US	Real GDP	2.1	<u>2.1</u>	<u>2.0</u>	0.5	<u>2.1</u>	<u>1.5</u>	<u>2.5</u>	<u>1.8</u>	<u>2.3</u>
	Core CPI	2.9	<u>2.6</u>	<u>2.6</u>	2.7	<u>2.5</u>	<u>2.7</u>	<u>2.4</u>	<u>2.6</u>	<u>2.6</u>
Euro area	Real GDP	1.5	<u>0.9</u>	<u>1.4</u>	0.7	<u>0.0</u>	<u>1.8</u>	<u>1.3</u>	<u>1.5</u>	<u>1.5</u>
	Core CPI	2.4	<u>2.4</u>	<u>2.3</u>	2.4	<u>2.3</u>	<u>2.4</u>	<u>2.4</u>	<u>2.5</u>	<u>2.5</u>
China	Real GDP	5.0	<u>4.6</u>	<u>4.3</u>	5.2	<u>6.3</u>	<u>2.4</u>	<u>4.3</u>	<u>4.9</u>	<u>4.5</u>
	Core CPI	1.2	<u>0.7</u>	<u>0.3</u>	1.1	<u>1.1</u>	<u>0.9</u>	<u>0.7</u>	<u>0.8</u>	<u>0.9</u>

Source: J.P. Morgan Global Data Watch

Global rates and USDJPY outlook (JPMe)

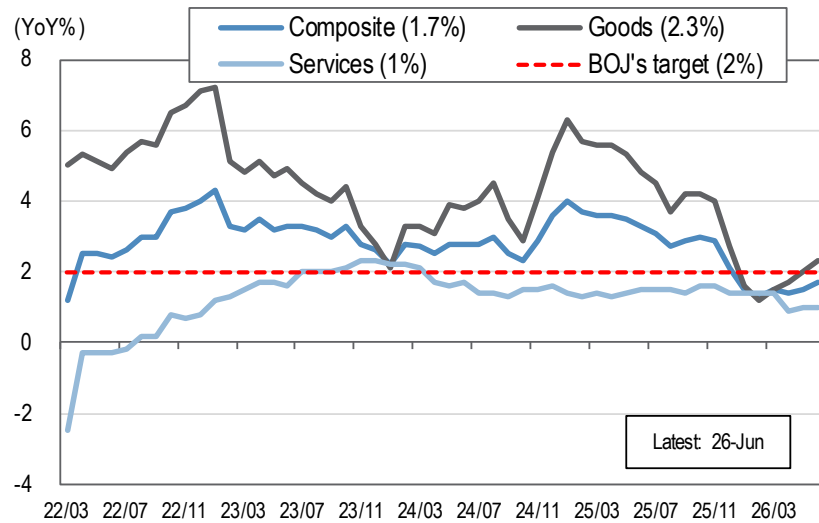
As of Aug-14		2026 Aug-14	26-Sep	26-Sep	26-Dec	27-Mar	27-Jun
FX (JPY)							
JPMe Forward curve	USDJPY	159.3	160	164	164	164	-
			157	156	155	154	-
Interest Rates (%)							
US	Fed funds	3.75	3.75	4.00	4.00	4.00	4.00
	2Y	4.17	4.25	4.30	4.30	4.30	-
	10Y	4.69	4.80	4.85	4.85	4.85	-
Japan	Policy rate	0.75	1.00	1.25	1.50	1.50	1.75
	2Y	1.66	1.45	1.50	1.50	1.60	-
	10y	2.87	2.95	2.95	2.95	3.05	-

Source: J.P. Morgan Rates Strategy, FX Strategy

Normalization of the Japanese Economy

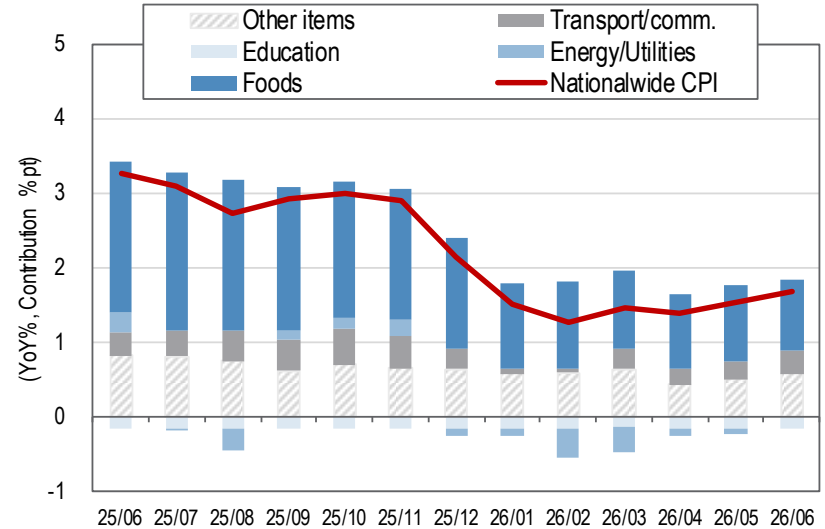
Inflation, real wage and consumer sentiment

Japan goods and service CPI



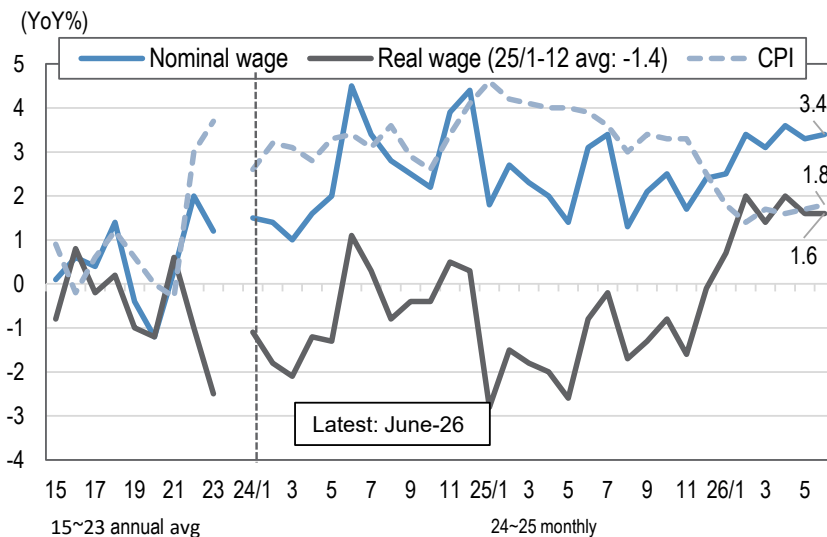
Source: BOJ, MIC, Bloomberg Finance L.P., J.P. Morgan

Japan CPI contribution breakdown



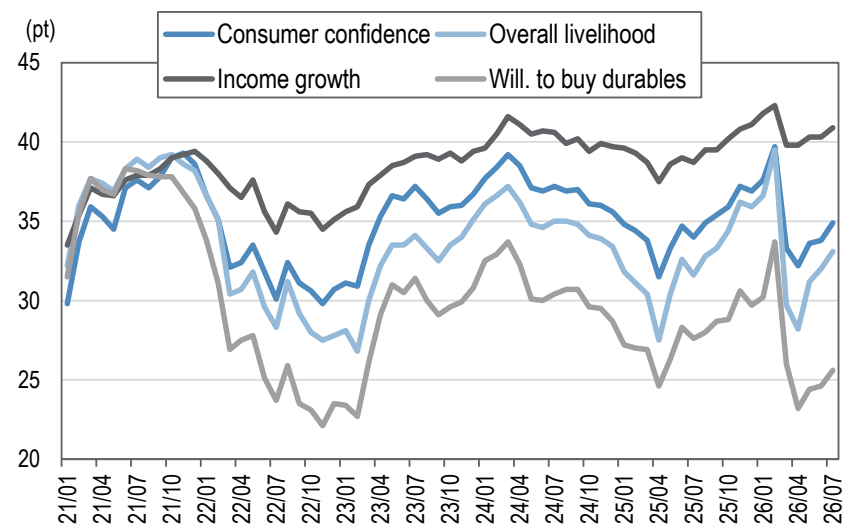
Source: MIC, Bloomberg Finance L.P., J.P. Morgan

Nominal wage, real wage (YoY %)



Source: MHLW, J.P. Morgan

Consumer confidence index



Source: CAO, Bloomberg Finance L.P., J.P. Morgan

FX scenarios and impact on earnings

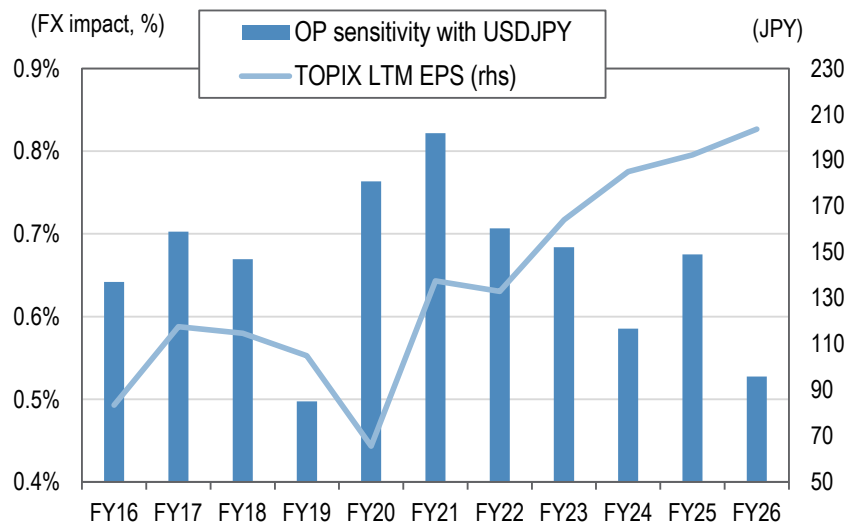
USDJPY FX rate movement and EPS impact

Period (as of 20260813)	25/04 ~ 06 act	25/07 ~ 09 act	25/10 ~ 12 act	26/01 ~ 03 act	26/04 ~ 06 act	26/07 ~ 09 est	26/10 ~ 12 est	27/01 ~ 03 est	27/04 ~ 06 est	25 FY act	26 FY est	26 FY Weak Yen scenario	26 FY Strong yen scenario
USDJPY period end	144.0	147.9	156.7	158.7	162.6	159	158	156	155	158.7	156.0	165	145
USDJPY period avg	144.5	147.5	154.2	156.9	159.4	160.8	158.5	157.0	155.5	150.8	157.8	160.8	154.2
Period avg YoY (as of 20260813)	25/04 ~ 06 act	25/07 ~ 09 act	25/10 ~ 12 act	26/01 ~ 03 act	26/04 ~ 06 act	26/07 ~ 09 est	26/10 ~ 12 est	27/01 ~ 03 est	27/04 ~ 06 est	25 FY act	26 FY est	26 FY Weak Yen scenario	26 FY Strong yen scenario
USDJPY avg chg (Yen)	-11.3	-1.7	1.7	4.3	14.9	13.3	4.3	0.1	-3.9	-1.8	7.1	10.0	3.4
JPMc EPS impact % pt	-5.8%	-0.9%	0.9%	2.2%	7.6%	6.8%	2.2%	0.1%	-2.0%	-0.9%	3.6%	5.1%	1.7%

Source: Bloomberg Finance L.P., J.P. Morgan forecasts/calculations

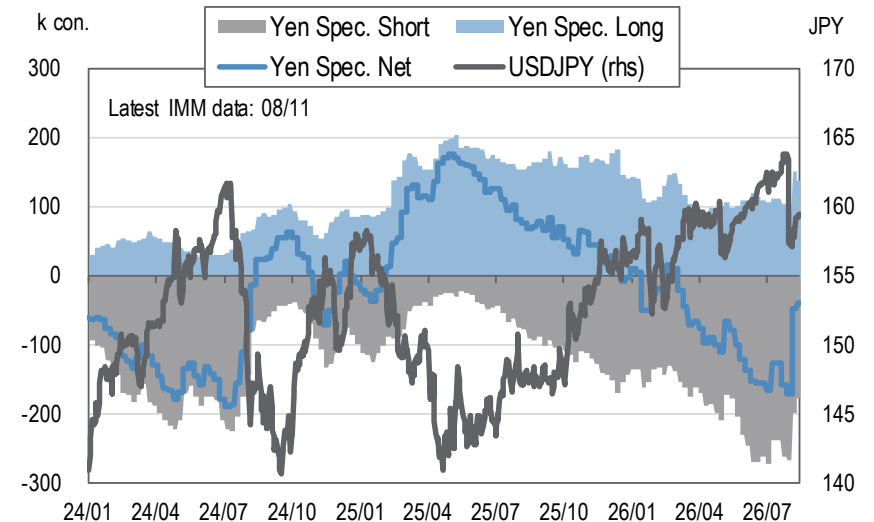
Note: FX estimates are Bloomberg calculation from forward curve

Operating profit sensitivity to USDJPY rate TOPIX names



Source: QUICK, Bloomberg Finance L.P., J.P. Morgan estimates Note: Estimates are based on TOPIX 500 names that disclose USD/JPY sensitivity. Sensitivity indicates the % change in

CFTC Yen speculative position



Source: CME, Bloomberg Finance L.P., J.P. Morgan

Japan-US forex intervention and the impact on Japan equities: Reversal of yen depreciation positive for stocks

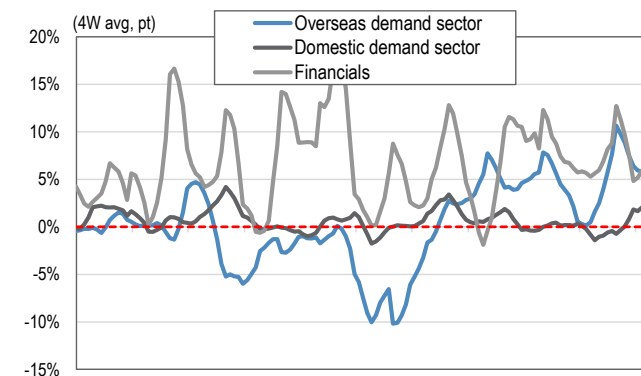
- **Japan-US coordinated forex intervention for the first time in 15 years:** On August 3, the Japanese and US governments announced that they had conducted coordinated forex intervention on July 31 for the first time in 15 years. This intervention was funded by a scheme described by Atsushi Mimura, Japan's Vice Minister of Finance for International Affairs, as the "completion of the Japan-US currency alliance," under which dollar funding was procured from the US government with US bonds held by the Japanese government as part of foreign currency reserves used as collateral. For Japan, this means it was able to expand its intervention funds while continuing to hold US Treasuries, which are considered difficult to sell from a security standpoint (foreign currency deposits → foreign currency deposits + long-term foreign bonds), thereby increasing its intervention capacity. For the US as well, there was a benefit in that the rise in Japanese long-term interest rates and yen depreciation would be prevented from spilling over into US long-term interest rates, and the need for Japan to sell US Treasuries would be reduced. Combined with the possibility of a shift in GPIF asset management, we think that going forward Japan will maintain stable holdings of US Treasuries, while efforts to accelerate BoJ interest rate hikes are likely to intensify further.
- **Impact on Japanese stocks: downward pressure on earnings limited despite yen appreciation:** After the intervention, the dollar-yen spot rate moved in the direction of yen appreciation, from the ¥164/\$ level to the ¥157/\$ level (as of Aug 4). If the effects continue, the average exchange rate in FY2026 will fall from the ¥162/\$ level to the ¥155/\$ level, a ¥7 appreciation, and the forex impact on TOPIX EPS is expected to be a negative 3.5% earnings impact (about a 0.5% decline per ¥1/\$ strengthening in the yen: JPMe). That said, the effect of yen depreciation boosting corporate earnings has lessened in recent years, so for overseas investors with low forex hedge ratios, further yen weakness has come to be viewed as negative for Japanese stock investments. We therefore view the current reversal of yen weakness as rather positive. Furthermore, we estimate the breakeven level of the yen exchange rate for real wages to turn positive in FY2026 at ¥160/\$ (JPMe), and the reversal of yen weakness can be described as a positive move in that it also reduces the risk of real wages continuing to decline.
- **By sector—downward pressure on external demand limited:** The reversal of yen weakness will not have zero impact on the earnings of external demand companies, but we do not see it exerting major downward pressure on earnings. Looking at revision trends for TOPIX EPS (IBES) since October 2025, upward revisions for external demand companies have been larger relative to those for domestic demand companies. However, this is due to growth in AI semiconductors, and we think the impact of exchange rates was limited (if yen weakness boosts the earnings of foreign-demand companies, then the earnings of domestic-demand companies should be revised down, but they have been almost flat).
- **Impact of reversal of yen weakness on share prices positive rather than negative:** Since the reports of coordinated intervention, increased forex volatility appears to have weighed on Japanese stocks recently. However, we believe the reversal of yen weakness from the ¥164/\$ level will not be negative for the stock market, but rather have a positive impact. The current ¥158/\$ level is likely to be acceptable from the perspective of the authorities, considering the average of ¥150/\$ for FY2025 and the FY2026 corporate guidance assumption of ¥152/\$, and the focus has now shifted to the extent to which various policies can sustain the current exchange rate level. Going forward, in addition to the shift in GPIF asset management, efforts to accelerate BoJ interest rate hikes are likely to intensify. Even if the rate hikes are accelerated, we would expect no more than an increase from once every six months to once every four months (JPM view). Amid increasing pass-through of yen depreciation, our stance is that the impact of the acceleration of interest rate hikes on Japanese stocks is likely to lead to a curtailment of both the excessive depreciation of the yen and sharp rises in long-term interest rates, so it will have a positive effect.

(Figure) Forex Rate Changes Following Japan-US Coordinated Intervention at End-July 2026

Period	Actual USDJPY Rate					Before Intervention (7/29)					After intervention (8/3)				
	25/04 ~ 06 act	25/07 ~ 09 act	25/10 ~ 12 act	26/01 ~ 03 act	26/04 ~ 06 act	26/07 ~ 09 est	26/10 ~ 12 est	27/01 ~ 03 est	27/04 ~ 06 est	FY2026 est	26/07 ~ 09 est	26/10 ~ 12 est	27/01 ~ 03 est	27/04 ~ 03 est	FY2026 est
USDJPY period end	144.0	147.9	156.7	158.7	162.6	163	162	161	159	159	156	155	154	153	153
USDJPY period avg	144.5	147.5	154.2	156.9	159.4	162.9	162.3	161.4	160.0	161.6	158.2	153.1	149.7	154.0	155.1
Period avg YoY	25/04 ~ 06 act	25/07 ~ 09 act	25/10 ~ 12 act	26/01 ~ 03 act	26/04 ~ 06 act	26/07 ~ 09 est	26/10 ~ 12 est	27/01 ~ 03 est	27/04 ~ 06 est	FY2026 est	26/07 ~ 09 est	26/10 ~ 12 est	27/01 ~ 03 est	27/04 ~ 03 est	FY2026 est
USDJPY avg chg (Yen)	-11.3	-1.7	1.7	4.3	14.9	15.5	8.2	4.6	0.6	10.8	10.7	-1.1	-7.2	-2.9	4.4
JPMe EPS impact % pt	-5.8%	-0.9%	0.9%	2.2%	7.6%	7.9%	4.2%	2.3%	0.3%	5.5%	5.5%	-0.5%	-3.7%	-1.5%	2.2%
US															

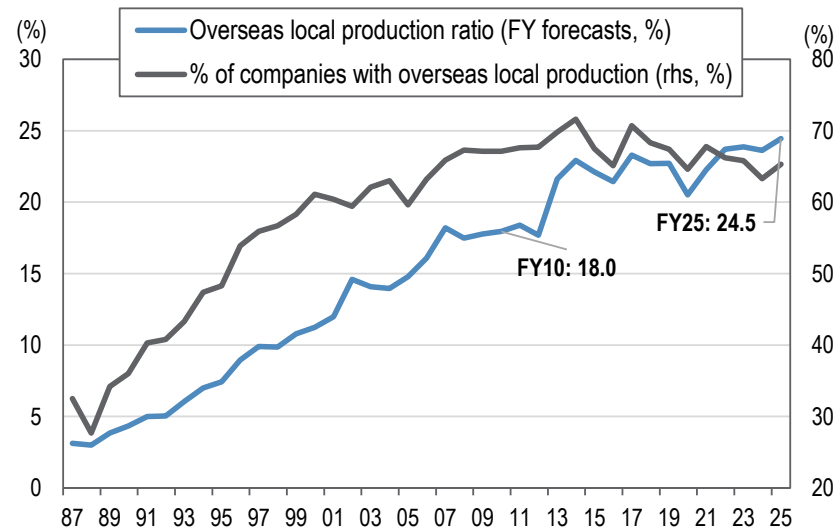
Source

(Figure) EPS Revision Index for External Demand, Domestic Demand, and Financials Sectors



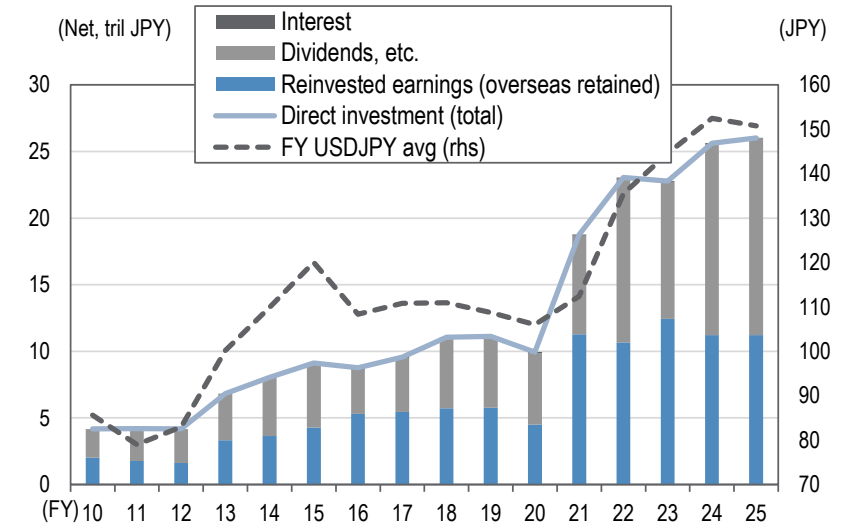
Structural reasons for yen depreciation

Overseas production ratios of manufacturing industry



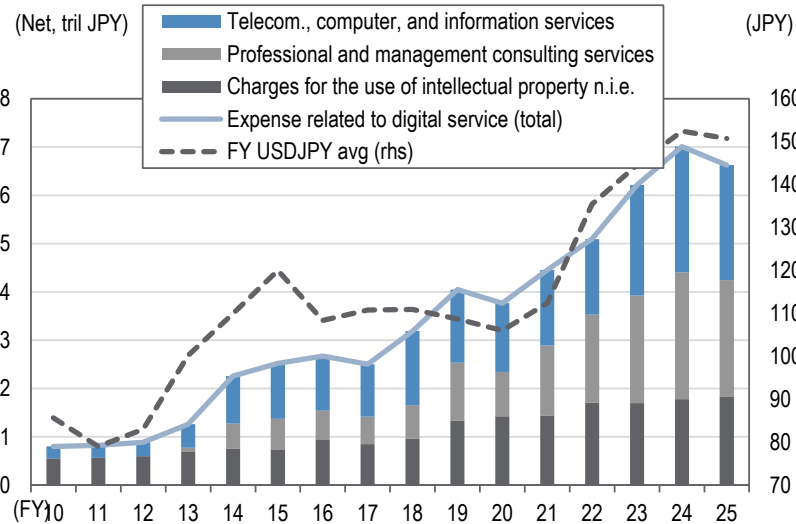
Source: CAO, ESRI, J.P. Morgan

Japanese companies' overseas direct investment earnings



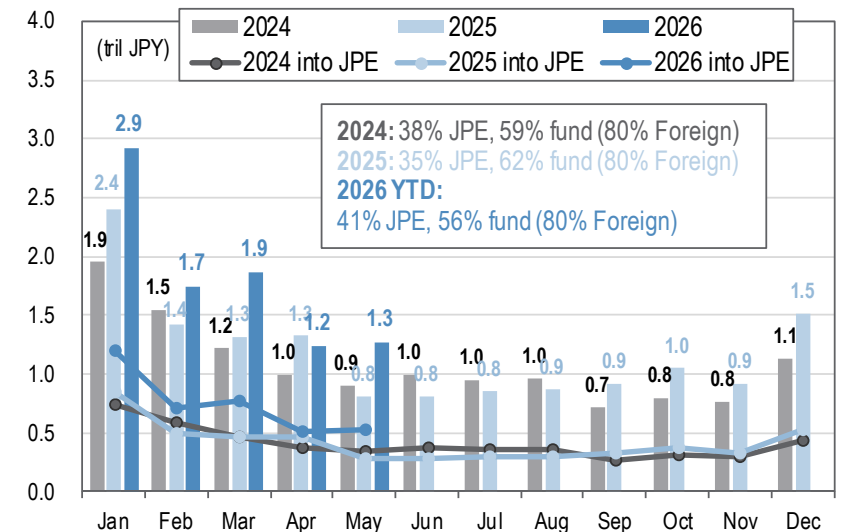
Source: MOF, BOJ, J.P. Morgan

Digital deficit



Source: MOF, BOJ, MRI, J.P. Morgan Note: Positive numbers are expenses

Details of NISA monthly purchase amount



Source: Japan Securities Dealers Association, J.P. Morgan

Apr - Jun earnings: Strong results, profit growth drivers broadening

Earnings scorecard for Apr-Jun 2026

Sector summary (As of 08/13, vs Bloomberg consensus, quaterly)		Ann. Ratio		Ret vs TOPIX, %	YoY growth, contribution and margin change (%pt)							Guidance progress		Surprise (YoY results versus consensu; Sector median)					
					Prime comps YoY, sector contribution						OP Margin chg	Sales progres s	NP progres s	Sales		OP		NP	
		# of comps	Mcap	1M	YoY	Sales	YoY	OP	YoY	NP				Beat ratio	Beat pt	Beat ratio	Beat pt	Beat ratio	Beat pt
TOPIX comp.		98%	99%	3.39	13.7%	13.7%	46.4%	46.4%	67.7%	67.7%	↑2.56	24.7%	34.0%	69%	2.5%	72%	11.4%	72%	15.9%
Overseas demand-related/Manu.	Elec Appl. & Prec.	97%	100%	(0.23)	20.4%	2.1%	113.4%	13.0%	91.2%	12.2%	↑7.27	24.2%	27.7%	79%	4.2%	77%	19.4%	75%	23.7%
	Autos & Trans.	100%	100%	2.59	11.4%	1.9%	35.3%	4.0%	109.2%	11.8%	↑1.27	25.2%	52.5%	81%	4.0%	59%	8.4%	57%	15.9%
	Machinery	98%	100%	(0.67)	11.7%	0.4%	38.7%	1.6%	52.8%	2.1%	↑2.40	24.2%	29.7%	70%	2.4%	65%	15.4%	64%	15.0%
	Steel & Nonfer	97%	100%	6.02	25.3%	1.1%	613.4%	3.9%	3492%	5.2%	↑6.61	25.7%	34.7%	75%	6.5%	76%	20.8%	71%	37.5%
Domestic demand-related/Manu.	Raw. & Chem.	99%	100%	(4.23)	10.3%	0.6%	37.3%	2.0%	54.0%	2.5%	↑2.34	25.0%	31.8%	71%	4.1%	87%	26.1%	77%	24.2%
	Pharmceutical	100%	100%	1.18	16.2%	0.3%	26.3%	0.8%	31.9%	1.1%	↑1.33	25.9%	39.7%	71%	3.5%	50%	5.9%	71%	12.7%
	Const. & Mater.	100%	100%	(7.71)	8.5%	0.4%	22.1%	0.8%	71.3%	2.6%	↑0.79	22.5%	29.6%	68%	1.9%	70%	16.5%	67%	17.6%
Domestic demand-related/Non-Manu.	IT & Service	96%	100%	2.15	8.4%	0.8%	24.0%	3.2%	25.6%	3.2%	↑6.00	24.4%	29.6%	58%	1.5%	72%	8.3%	71%	10.6%
	Retail Trade	95%	98%	(1.77)	6.6%	0.4%	21.7%	0.7%	22.1%	0.6%	↑0.71	24.6%	28.3%	55%	0.3%	67%	4.7%	65%	3.7%
	Foods	98%	98%	1.71	7.1%	0.2%	12.5%	0.2%	-1.8%	0.0%	↑0.30	24.6%	28.6%	58%	0.7%	62%	5.7%	67%	9.4%
	Transprt. & Logi.	100%	100%	(1.41)	12.4%	0.6%	0.8%	0.0%	-0.1%	0.0%	↓1.50	25.3%	30.0%	75%	1.9%	68%	2.4%	69%	9.7%
	Elec. Pwr. & Gas	100%	100%	(1.28)	8.1%	0.3%	-56.6%	2.4%	-	5.7%	↓5.70	22.4%	37.8%	57%	0.3%	58%	8.4%	80%	27.3%
	Real Estate	100%	100%	(8.91)	1.0%	0.0%	6.1%	0.2%	10.7%	0.3%	↑0.89	22.6%	29.5%	29%	-0.6%	88%	18.4%	81%	17.5%
Energy-related	Comm. & Whole.	99%	100%	4.13	20.0%	3.0%	39.8%	2.3%	31.9%	3.5%	↑0.48	25.5%	30.7%	88%	4.4%	70%	16.0%	79%	21.1%
	Energy Reso.	100%	100%	(0.03)	17.3%	0.3%	1226%	4.9%	2264%	5.8%	↑0.12	26.3%	117.7%	75%	2.7%	75%	11.5%	75%	24.7%
Financials	Banks	99%	100%	(0.34)	27.8%	0.7%	50.9%	7.8%	41.0%	6.7%	→0.01	-	30.7%	83%	9.8%	100%	22.6%	96%	27.2%
	Fin ex Bank	93%	81%	(1.50)	13.3%	0.6%	45.3%	3.3%	57.3%	4.3%	↑1.83	27.1%	34.5%	74%	2.9%	76%	10.5%	90%	17.4%
Simple average sector return	Overseas demand	98%	100%	1.93	15.8%	5.6%	81.7%	22.5%	110.4%	31.3%	↑3.94	24.9%	36.9%	77%	4.3%	71%	16.0%	69%	23.0%
	Domestic demand	98%	100%	(2.25)	8.7%	3.5%	12.8%	5.6%	44.0%	16.0%	↑1.73	24.2%	30.9%	61%	1.5%	72%	10.7%	71%	14.7%
	Defensive	98%	99%	(0.31)	9.1%	1.7%	-3.2%	-0.6%	58.4%	7.4%	↓0.81	24.6%	32.4%	62%	1.3%	63%	5.4%	68%	12.6%
	Cyclical	98%	98%	0.12	16.7%	10.2%	69.0%	41.0%	78.1%	52.0%	↑3.10	25.0%	35.6%	76%	4.0%	73%	15.9%	76%	22.2%

Source: Bloomberg Finance L.P., J.P. Morgan

Note: Progress is quarterly only. Beat, miss are versus Bloomberg consensus. Only companies with fiscal year-end in February or March.

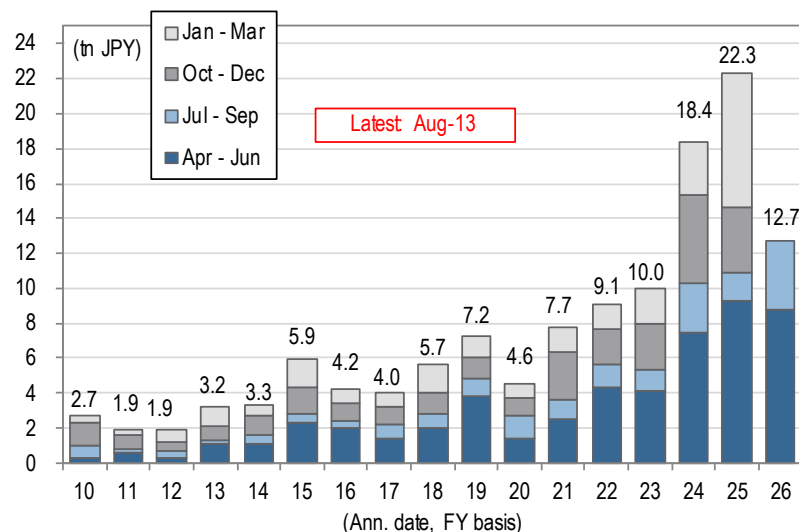
Apr - Jun earnings: Strong results, profit growth drivers broadening

FY2026 corporate guidance by sector

FY2026 Guid. vs Act YoY% (as of 2026/08/13)	Sales		Operating Profit		Net Profit		Contri- bution
	Initial YoY	Current YoY	Initial YoY	Current YoY	Initial YoY	Current YoY	
TOPIX	5.0%	6.8%	18.4%	26.6%	15.6%	22.4%	-
TOPIX ex. Elec Pwr. & Gas, Autos	5.1%	6.7%	21.3%	29.1%	17.6%	23.8%	-
Auto, Transport Equip	4.1%	7.3%	10.4%	23.6%	9.7%	24.0%	2.3%
Machinery	5.1%	6.3%	8.6%	13.5%	7.9%	12.5%	0.5%
Electronic, Precision	7.7%	11.8%	23.9%	37.8%	10.1%	37.5%	13.3%
Steel & Nonferrous	8.4%	13.8%	1.7%	30.1%	11.2%	44.7%	1.4%
Food	4.1%	4.3%	2.4%	2.6%	-2.0%	-0.8%	0.0%
Retail Trade	5.7%	7.6%	9.8%	11.2%	4.9%	5.9%	0.2%
Real Estate	7.8%	7.9%	7.2%	7.4%	5.4%	5.8%	0.1%
Transport & Logistics	5.3%	6.8%	5.1%	2.8%	12.2%	-7.0%	-0.4%
Construction, Material	6.2%	6.8%	2.3%	0.4%	6.1%	-1.2%	-0.1%
IT & Services	4.2%	4.5%	7.5%	9.8%	1.0%	3.8%	0.4%
Pharmaceutical	6.2%	6.6%	49.5%	49.8%	34.0%	33.1%	0.7%
Electric Power & Gas	7.7%	8.1%	23.7%	23.7%	23.9%	23.9%	-0.7%
Energy Resources	8.4%	8.5%	14.8%	15.5%	7.0%	7.8%	0.1%
Raw Material, Chemicals	5.7%	3.6%	24.0%	25.1%	22.3%	23.7%	0.9%
Wholesale Trade	5.0%	7.5%	6.1%	10.0%	10.0%	1.7%	1.2%
Banks	2.6%	4.2%	-	-	10.9%	12.8%	2.1%
Financials ex Banks	-12.9%	-12.6%	0.3%	6.5%	4.1%	5.7%	0.4%

Source: QUICK, Bloomberg Finance L.P., J.P. Morgan Note: Includes only TSE Prime companies that have announced guidance with Feb and Mar as FY-end. Including Kioxia Holdings' quarterly guidance on an annualized basis.

Amount of TOPIX share buyback announcements



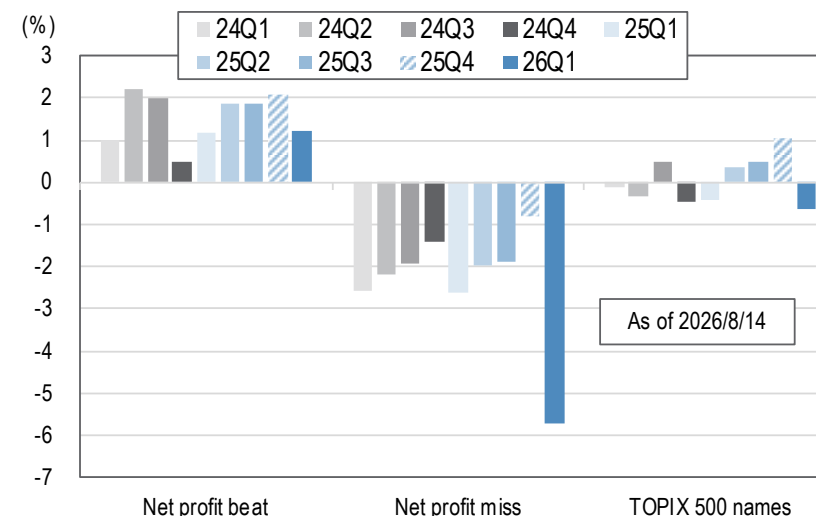
Source: QUICK, J.P. Morgan

Corporate USDJPY guidance by sector

As of 2026/08/13	FY2025				FY2026	
Est.FY, ann. Period	Initial	25Q1	25Q2	25Q3	Initial	26Q1
TOPIX coms. avg	144.3	144.3	145.8	147.5	151.9	153.2
Cons. Staples	148.8	148.4	148.1	148.7	152.9	154.4
Industrials	143.4	143.5	145.3	146.9	151.0	152.6
Cons. Discretionary	143.4	143.7	145.3	147.2	152.1	153.1
Real Estate	150.0	150.0	147.5	147.5	150.0	150.0
Materials	145.0	144.9	146.8	148.5	152.7	154.3
Energy	145.4	146.2	146.6	147.4	154.1	155.1
Utilities	147.3	146.3	147.7	150.2	157.4	158.3
Inf. Technology	142.5	142.7	144.6	146.9	150.7	151.9
Comm. Services	147.9	146.9	147.4	148.5	153.8	153.8
Health Care	143.7	144.1	145.3	147.4	151.7	152.7
Financials	144.7	144.0	144.4	144.7	150.8	150.8
Actual USDJPY (avg)	144.6	147.4	154.0	156.9	159.4	161.2

Source: QUICK, Bloomberg Finance L.P., J.P. Morgan Note: Includes only companies that have announced USDJPY guidance

Share price reaction following quarterly earnings

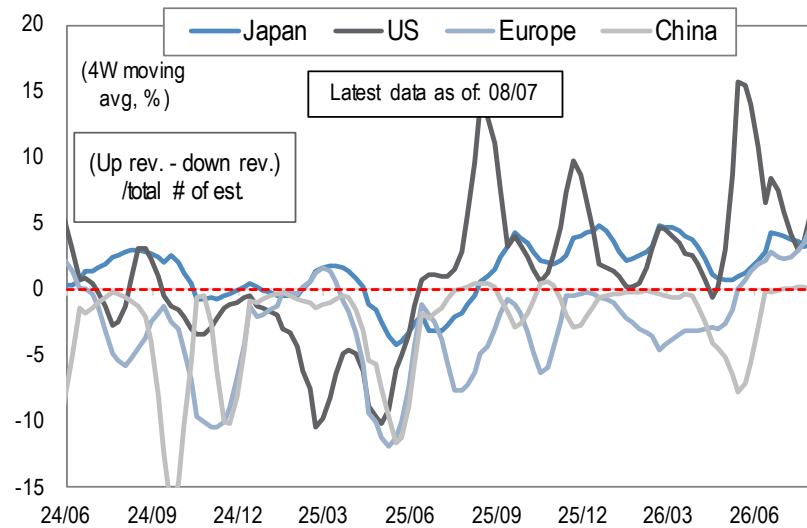


Source: Bloomberg Finance L.P., J.P. Morgan Note: Median of one-day post-earnings returns relative to TOPIX for TOPIX 500 constituents

Corporate Earnings

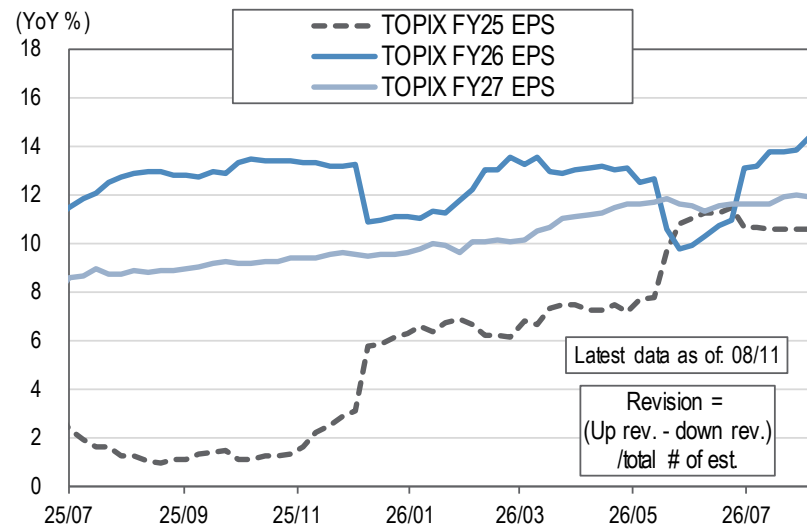
EPS revision and profit margins

Global EPS revision index



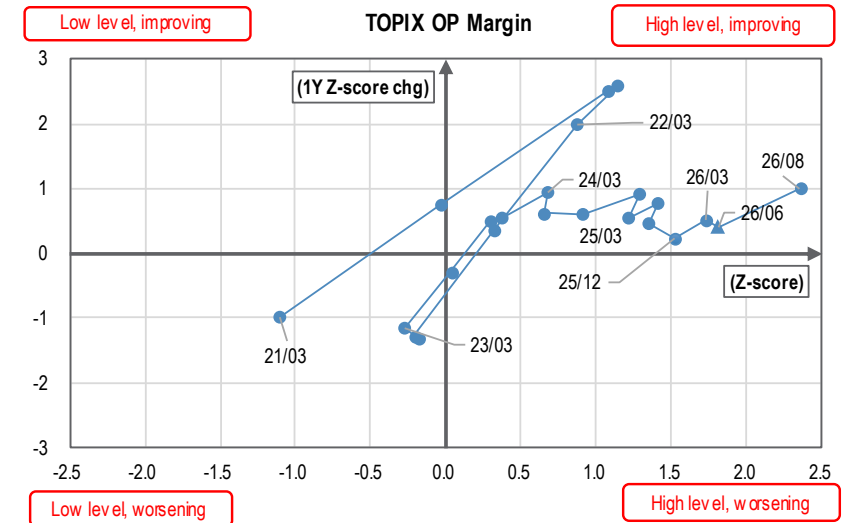
Source: DataStream, J.P. Morgan

TOPIX EPS estimates IBES base



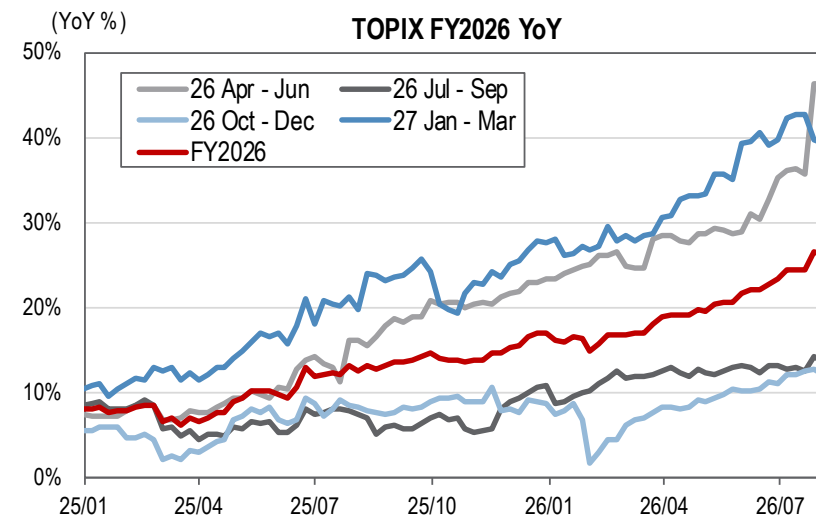
Source: Datastream, J.P. Morgan
Note: Estimates are IBES consensus

Change of TOPIX OP margin



Source: Bloomberg Finance L.P., J.P. Morgan
Note: Z-scores are calculated using the LTM results for each quarter since 2010.

TOPIX EPS estimates Bloomberg base



Source: Datastream, J.P. Morgan
Note: Estimates are Bloomberg consensus

Earnings forecasts are being revised upward

TOPIX 33 sector EPS/valuation

Updated: 2026/8/14		Perf.	Wgt	FY2025		FY2026				FY2027				FY2028				12m forward			
Units:		2026 YTD	Weight in	Mixed		Forecast				Forecast				Forecast				Forecast			
EPS: JPY		(%)	TOPIX	EPS	yoy%	EPS	yoy%	1M	3M	EPS	yoy%	1M	3M	EPS	yoy%	1M	3M	P/E (x)	P/B (x)	ROE (%)	Div. Yld(%)
YoY, revision: %, ppt		(%)	(%)					rev %	rev %			rev %	rev %			rev %	rev %				
TOPIX		21.4	100.0	208.4	10.3	240.0	15.2	1.1	5.0	268.4	11.8	0.2	0.1	297.6	10.9	0.5	2.3	15.7	1.6	10.4	2.3
Overseas demand	Electric Appliances	38.8	20.9	250.1	9.9	374.9	49.9	4.2	23.2	448.2	19.5	0.9	4.5	518.8	15.8	1.4	3.2	20.5	2.9	14.2	1.3
	Transportation Equipment	-4.8	5.0	295.1	-33.7	431.5	46.2	-1.4	-5.0	521.7	20.9	-0.6	-0.4	584.2	12.0	0.9	9.5	10.0	0.8	7.8	3.6
	Machinery	21.6	6.0	194.4	5.6	232.6	19.6	2.3	7.5	263.9	13.5	0.2	-0.9	294.4	11.6	0.3	5.5	20.3	2.2	11.0	1.7
	Precision Instruments	16.9	1.8	440.0	1.0	559.4	27.1	1.7	2.0	642.9	14.9	-0.3	0.2	720.7	12.1	0.4	2.4	24.2	3.2	13.3	1.5
	Iron & Steel	5.7	0.7	35.5	-55.8	72.2	103.7	-14.6	-29.2	84.0	16.2	5.6	10.2	88.9	5.9	11.3	1.5	10.4	0.6	5.8	3.8
	Rubber Products	16.5	0.6	439.2	22.6	496.4	13.0	-0.1	1.3	555.8	12.0	-0.2	-2.5	621.9	11.9	0.5	0.3	11.4	1.1	10.0	3.7
Domestic demand	Retail Trade	4.9	4.0	91.0	19.0	98.2	7.9	0.9	2.7	107.0	9.0	0.4	-1.1	118.1	10.4	0.3	1.8	23.3	2.3	10.0	1.6
	Foods	20.8	2.8	125.1	7.6	175.5	40.3	3.3	2.9	166.7	-5.0	0.9	-1.1	182.4	9.4	0.1	1.1	16.6	1.7	10.5	2.9
	Land Transportation	-2.9	1.8	180.5	-3.2	183.4	1.6	-0.1	0.3	193.7	5.6	0.2	-0.4	201.8	4.2	0.2	-5.5	11.9	1.0	8.2	2.4
	Air Transportation	3.9	0.3	27.1	16.4	18.9	-30.4	-0.4	0.5	24.9	31.7	0.2	4.7	26.8	7.8	1.4	-4	11.5	1.0	8.3	2.6
	Services	37.1	3.8	99.9	-1.4	168.0	68.2	1.7	7.2	202.0	20.2	0.5	2.3	236.4	17.0	0.2	1.3	20.8	2.5	12.0	1.3
	Construction	-5.3	2.0	220.9	27.4	213.9	-3.2	0.3	-0.7	231.6	8.3	0.6	0.2	256.8	10.9	0.4	-0.8	11.6	1.3	11.3	3.5
	Electric Power & Gas	0.8	1.2	50.2	-44.8	71.4	42.2	-1.0	-0.3	76.1	6.6	1.3	3.0	83.5	9.7	0.0	1.1	9.1	0.7	7.2	2.7
	Pharmaceutical	4.3	3.3	189.5	26.2	203.8	7.6	-0.8	-5.2	236.1	15.8	1.1	6.8	247.3	4.8	5.3	1.0	17.4	1.6	9.1	3.1
	Information & Communication	5.8	6.3	676.8	92.1	383.6	-43.3	0.0	0.4	414.2	8.0	0.1	5.1	457.5	10.5	0.2	-1.1	19.3	1.8	9.2	2.0
	Fishery, Agriculture & Forestry	4.0	0.1	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Glass & Ceramics Products	34.5	0.8	124.8	214.5	136.0	9.0	1.4	3.2	164.8	21.1	0.0	3.6	189.6	15.1	0.1	-1.1	15.5	1.3	8.5	2.4
	Textiles & Apparels	20.5	0.3	31.4	-28.0	66.6	112.2	2.3	12.2	68.5	2.8	5.5	11.1	81.4	18.8	1.0	10.3	13.9	1.0	7.0	2.8
	WHousing&Transpt	8.6	0.1	328.3	26.7	260.2	-20.7	0.2	0.8	286.5	10.1	-0.2	1.6	274.4	-4.2	1.0	4.8	17.7	1.3	7.4	3.0
	Pulp & Paper	11.3	0.1	45.1	23.1	41.6	-7.8	-4.3	-30.9	57.4	38.0	3.4	19.1	61.8	7.8	2.6	6.1	14.1	0.6	4.1	3.3
	Other Products	-1.2	2.1	291.1	21.5	297.3	2.1	0.4	-2.1	339.4	14.1	0.1	-3.5	369.1	8.8	0.5	-2.7	18.9	2.3	12.2	2.2
	Metal Products	25.2	0.5	88.9	-5.0	84.6	-4.8	2.5	-5.0	119.2	40.8	0.2	5.6	147.0	23.4	2.2	24.8	19.2	1.3	6.8	2.7
	Nonferrous Metals	75.2	2.4	241.8	94.9	282.2	16.7	3.1	12.9	318.1	12.7	2.1	0.9	373.0	17.2	0.5	7.1	18.3	2.6	14.0	1.8
Resource	Mining	19.3	0.3	97.9	-11.5	122.0	24.6	-0.5	7.8	117.6	-3.6	1.2	-0.6	115.4	-1.9	2.3	2.6	8.6	0.8	9.0	3.4
	Oil & Coal Products	12.3	0.5	230.9	33.2	295.4	28.0	-14.7	-5.6	267.0	-9.6	8.5	-0.5	300.9	12.7	0.4	0.8	9.6	0.9	9.3	3.3
	Chemicals	24.5	4.6	139.3	-2.3	180.0	29.2	-0.1	1.7	203.3	13.0	0.0	-0.1	227.4	11.9	0.3	3.6	16.0	1.5	9.3	2.4
	Marine Transportation	27.0	0.6	199.0	-51.1	195.7	-1.7	5.3	10.4	183.5	-6.2	3.6	-4.5	196.9	7.3	1.3	0.2	11.8	0.8	6.6	3.7
	Wholesale Trade	18.1	7.5	356.5	0.2	413.0	15.8	1.5	5.8	433.6	5.0	-0.4	-1.7	467.2	7.7	0.4	2.1	13.8	1.6	11.8	2.6
Financials	Banks	44.4	12.3	43.5	29.3	50.6	16.1	2.6	8.3	56.7	12.2	0.0	-0.3	61.8	9.0	0.7	-3.9	13.4	1.4	10.8	2.7
	Insurance	31.8	3.6	313.4	10.5	294.6	-6.0	-1.7	-3.5	332.4	12.9	2.6	5.8	361.0	8.6	1.8	7.2	12.9	1.5	11.7	3.5
	Secu & Comdty Futs	14.9	1.0	99.5	43.1	89.4	-10.1	8.6	11.4	90.6	1.3	6.5	16.2	94.6	4.5	3.0	-1.9	10.5	1.1	10.7	4.1
	Real Estate	-7.0	1.6	176.9	11.3	195.6	10.6	1.0	2.7	206.8	5.7	0.8	-2.2	224.4	8.5	0.0	2.7	12.2	1.3	10.5	2.7
	Other Financing Business	26.2	1.2	102.7	14.1	141.5	37.9	2.3	30.4	125.0	-11.7	0.8	-20.9	136.6	9.2	1.9	1.7	11.8	1.4	11.6	3.4

Note: Estimates are I/B/E/S consensus estimates.
Source: DataStream

Global equities EPS outlook

Global EPS outlook

8/13/2026	MSCI Japan			MSCI US			MSCI Eurozone			MSCI CHINA		
	26/3	27/3	28/3	25/12	26/12	27/12	25/12	26/12	27/12	25/12	26/12	27/12
Energy	26.7%	-7.5%	5.6%	70.0%	-8.8%	-1.2%	64.0%	-12.4%	-2.0%	25.6%	-1.3%	2.6%
Materials	49.6%	13.9%	11.3%	37.9%	11.3%	7.7%	13.8%	14.6%	10.6%	76.5%	7.5%	7.9%
Industrials	14.2%	9.1%	11.1%	16.1%	17.4%	15.3%	9.9%	17.2%	15.4%	20.1%	12.0%	11.3%
Discretionary	35.6%	17.6%	12.5%	34.8%	-0.4%	21.1%	277.6%	23.1%	16.6%	29.9%	38.4%	24.1%
Staples	25.2%	10.2%	10.8%	7.3%	7.3%	7.9%	4.4%	8.5%	8.4%	15.4%	15.4%	9.8%
Healthcare	9.8%	17.9%	6.1%	2.0%	22.6%	10.5%	5.0%	9.7%	12.9%	11.8%	18.0%	23.4%
Financials	10.6%	9.0%	8.6%	14.7%	9.1%	10.5%	11.4%	12.0%	11.3%	2.1%	4.7%	6.3%
IT	107.1%	25.4%	17.1%	52.3%	38.7%	20.5%	33.8%	32.3%	25.0%	37.4%	43.3%	30.7%
Telecom	-52.7%	8.2%	10.8%	55.1%	-11.1%	17.5%	11.5%	13.5%	9.9%	-7.2%	4.3%	5.9%
Utilities	-23.6%	4.2%	6.9%	12.0%	9.0%	9.8%	4.5%	6.0%	6.4%	-2.8%	5.9%	4.8%
Real Estate	-2.2%	9.5%	8.5%	13.7%	8.5%	10.4%	-4.5%	3.2%	1.3%	-	-	-
Market	16.6%	13.3%	11.4%	31.2%	15.0%	15.1%	21.8%	12.7%	12.3%	13.8%	14.3%	13.0%

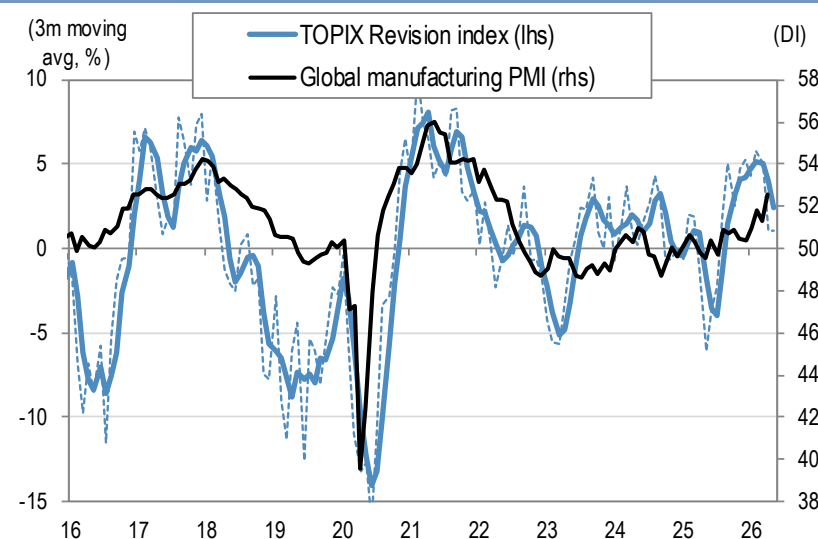
Note: Japan refers to fiscal year ending March 2023, 2024, 2025. IBES consensus estimates. YoY growth. Source: DataStream, J.P. Morgan

Global EPS outlook

YoY growth, as of: 2026/08/14	27/3 (26/12)		28/3 (27/12)		JPM estimates 27/3 (26/12)
	Cons.	YTD Rev	Cons.	YTD Rev	
Japan (TOPIX)	15.2%	3.3%	11.8%	3.0%	16%
US (S&P 500)	32.0%	15.1%	14.9%	1.7%	35%
Europe (Euro STOXX 600)	15.8%	5.1%	10.1%	0.2%	13% (MSCI Euro)

Note: Consensus estimates are IBES consensus estimates. YoY growth. Japan is March-end and US, Europe are December-end

Global PMI and TOPIX EPS revision

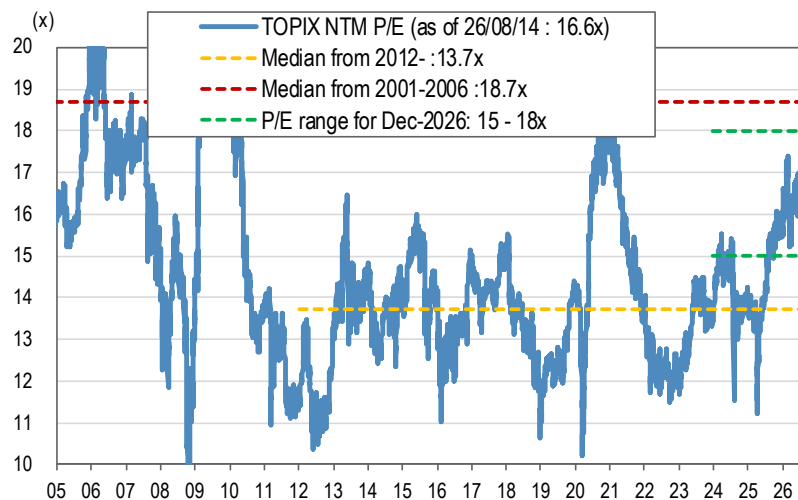


Source: Datastream, Bloomberg Finance L.P., J.P. Morgan

Valuations

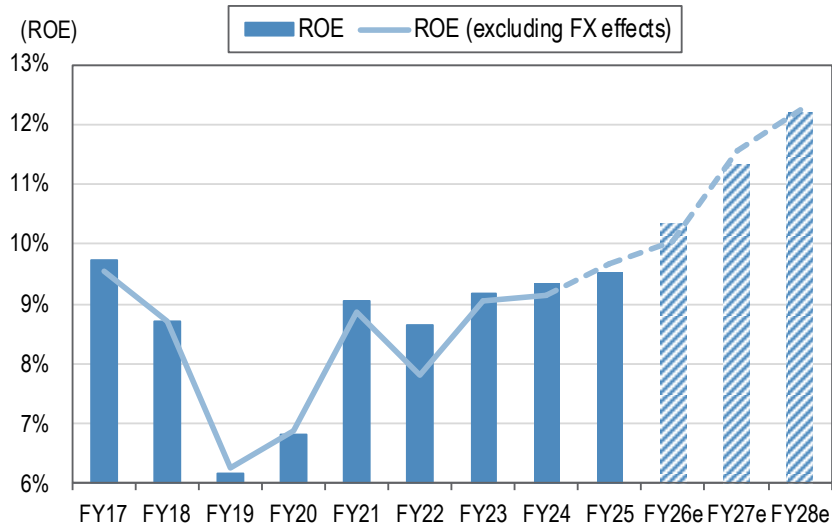
Valuations are structurally rising — P/E heading toward 19–20x

Japan equities P/E



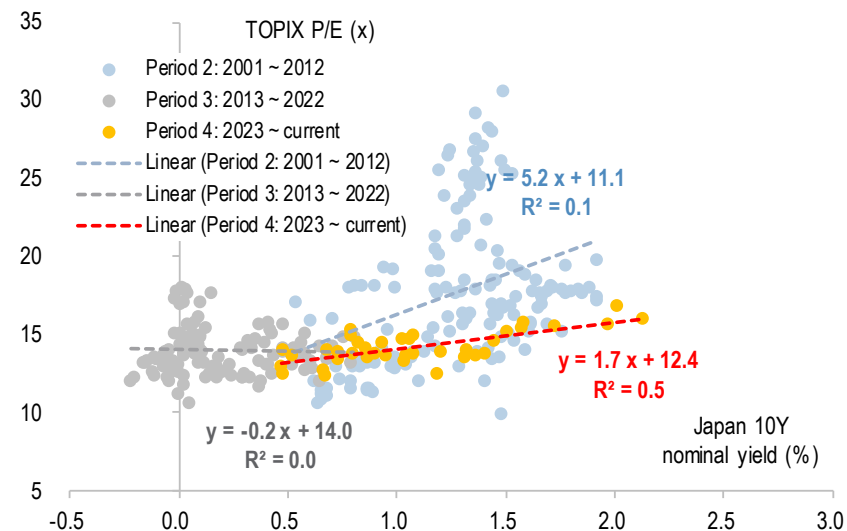
Source: Bank of Japan, Datastream, J.P. Morgan
Note: 12-month forward P/E is IBES consensus

TOPIX ROE estimates



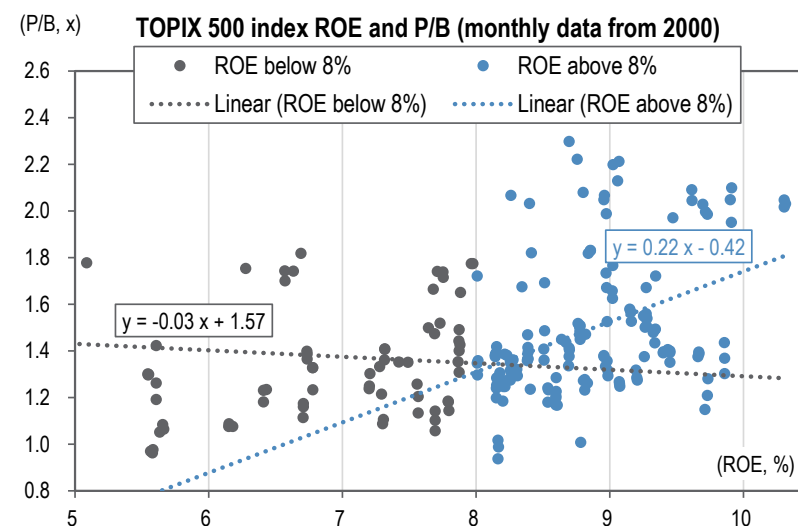
Source: Bloomberg Finance L.P., J.P. Morgan estimates

TOPIX P/E and JGB 10Y yield



Source: Bloomberg Finance L.P., Datastream, J.P. Morgan Note: 12-month forward P/E is IBES consensus until May 2005, and Bloomberg consensus thereafter.

TOPIX P/B and ROE



Source: Bloomberg Finance L.P., J.P. Morgan

Valuation

Valuations Since the Takaichi Administration

Japanese stocks valuation

Event/Indicators		Before LDP President Takaichi's Appointment (2025/10/01)	After the Launch of the Takaichi Administration (2025/10/21)	Dissolution of the Lower House (2026/01/23)	LDP Landslide Victory in the Snap Election (2026/02/08)	Recent Nikkei Peak (2026/06/25)	As of the latest date (2026/08/13)
Market index	TOPIX level	3,095	3,286	3,566	3,939	4,016	4,176
	Nikkei level	44,551	50,219.2	53,322.9	58,850.3	72,366	68,309
	TOPIX NTM PER	15.8	16.5	16.9	18.4	16.9	16.8
	TOPIX NTM EPS growth	10.8%	12.1%	10.6%	11.0%	15.4%	5.8%
TOPIX 17 sector NTM PER level (Z score)	TOPIX	1.16	2.16	2.65	4.57	2.66	2.46
	Elec Appl. & Prec.	0.69	2.26	2.63	3.12	4.17	1.54
	Autos & Tans. Equip.	1.70	2.24	1.86	2.64	0.71	0.61
	Machinery	1.80	3.37	4.16	6.75	3.01	2.22
	Steel & Nonfer	2.46	3.57	5.22	8.46	6.39	4.83
	Raw. & Chem.	-0.30	-0.16	0.59	1.94	1.97	1.82
	Retail Trade	1.28	1.87	1.75	3.51	1.15	1.58
	Foods	-0.20	-0.18	-2.32	0.30	0.19	1.17
	Transprt. & Logi.	0.26	0.39	0.58	1.12	0.13	0.49
	IT & Service	1.38	2.19	-1.65	-1.09	-2.67	-0.09
	Const. & Mater.	1.08	2.00	3.91	6.81	3.85	1.48
	Elec. Pwr. & Gas	3.16	3.16	4.83	5.59	1.60	1.61
	Pharmaceutical	-1.67	-1.50	-1.03	0.19	-0.95	-0.43
	Energy Reso.	1.67	1.91	2.51	2.97	-1.22	-0.52
	Comm. & Wholesale	1.07	2.19	4.43	7.02	1.86	2.86
	Banks	0.06	-0.18	3.07	3.93	3.01	3.88
	Fin ex Bank	-0.17	-0.37	0.45	1.85	0.17	1.44
	Real Estate	-0.14	-0.03	1.07	4.23	0.23	-0.32

Source: Bloomberg
Finance L.P., J.P.
Morgan

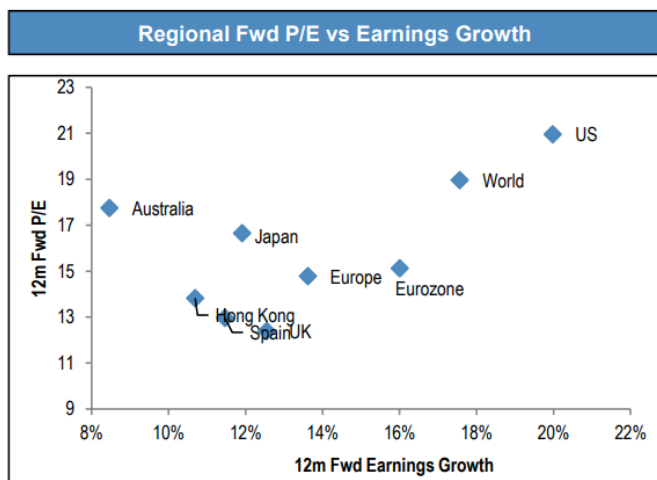
Note: Each metric is measured using data as of approximately one week after the event date. Metrics for the LDP landslide victory are as of end-February. The 12-month forward P/E is based on Bloomberg consensus estimates. Z-scores are normalized using daily P/E data from October 2023 through end-September 2025.

Global Valuation

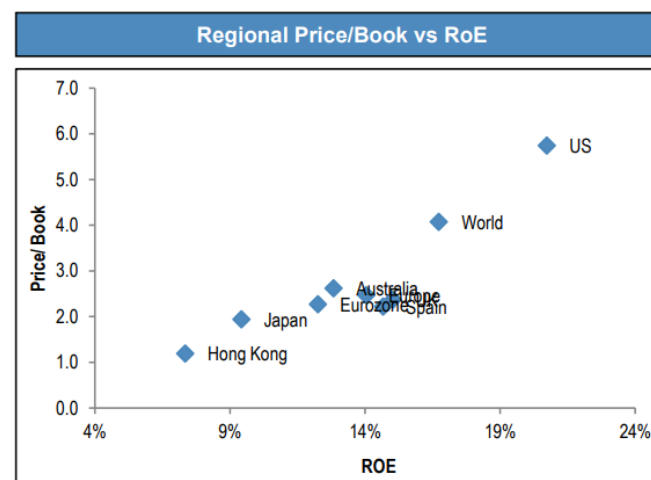
Global Valuation

	12-Jun-26 MSCI Index	12m Fwd P/E			Price/ Book			ROE			Dividend Yield			Cycle-adjusted P/E		
		Current	Median	Upside	Current	Median	Upside	Current	Median	Upside	Current	Median	Upside	Current	Median	Upside
World	3720	19.0	15.7	-17%	4.1	2.2	-46%	16.7	12.1	-28%	1.5	2.5	60%	25.2	24.5	-3%
US	7078	21.0	15.5	-26%	5.7	2.6	-54%	20.7	14.5	-30%	1.1	2.2	96%	30.0	25.1	-16%
Europe	2519	14.8	13.1	-11%	2.5	1.8	-28%	14.0	11.8	-16%	2.8	3.5	22%	18.8	19.6	4%
UK	2991	12.4	12.4	0%	2.4	1.8	-24%	15.0	13.4	-11%	3.1	4.0	28%	16.1	17.2	7%
Eurozone	382	15.1	12.9	-15%	2.3	1.7	-24%	12.3	10.7	-13%	2.8	3.1	13%	18.6	19.8	6%
Germany	1408	14.1	12.9	-9%	1.8	1.7	-9%	11.7	11.5	-2%	2.7	3.2	17%	19.3	19.3	0%
France	2962	14.6	13.1	-10%	2.1	1.6	-24%	11.1	10.0	-10%	3.0	3.3	10%	20.3	22.6	11%
Italy	1594	12.5	12.6	1%	2.0	1.2	-39%	13.1	9.5	-27%	4.0	3.2	-21%	16.7	20.9	25%
Spain	1955	13.0	11.6	-11%	2.2	1.3	-41%	14.7	10.2	-30%	3.3	4.1	23%	13.2	16.8	27%
Japan	2407	16.6	16.6	0%	1.9	1.8	-6%	9.4	8.4	-10%	1.9	1.8	-4%	26.3	34.4	30%
Australia	1731	17.7	14.4	-19%	2.6	1.9	-29%	12.8	11.6	-10%	3.4	4.1	20%	18.3	20.1	10%
Hong Kong	1716	11.7	11.9	1%	2.5	1.7	-33%	13.8	11.9	-14%	2.0	2.5	28%	16.3	15.9	-2%

Source: IBES, MSCI, Datastream. *Long term median.



Source: IBES, MSCI, Datastream.



Source: MSCI, Datastream.

Source: J.P. Morgan
Global Equity
Strategy

Sector allocation

Selective on AI semis; expand strong-earnings non-AI names with strong earnings

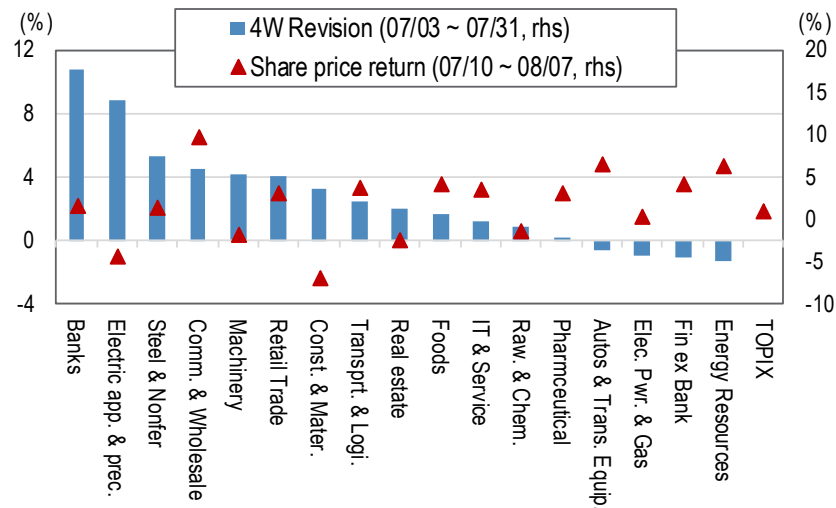
Sector allocation

Sector allocation

GICS 11 Sector	Energy	Materials	Industrials	Consumer Discretionary	Consumer Staples	Health Care	Financials	Information Technology	Comm. Services	Utilities	Real Estate
GICS 25 Industry Groups	Energy	Materials	Capital Goods	Automobiles & Components	Consumer Staples Distr. & Retail	Health Care Equip. & Serv.	Banks	Software & Services	Telecom Serv.	Utilities	Real Estate
			Commercial & Prof. Serv.	Consumer Durab. & Appar.	Food, Beverage & Tobacco	Pharms., Biotech. & Life Sciences	Financial Services	Tech. Hardware & Equip.	Media & Entertainment		
			Transportation	Consumer Services	Household & Personal Products		Insurance	Semicon. & Semicon. Equip.			
				Consumer Discr. Distri. & Retail							
Allocation	N	N	OW	N	UW	UW	OW	OW	OW	UW	N

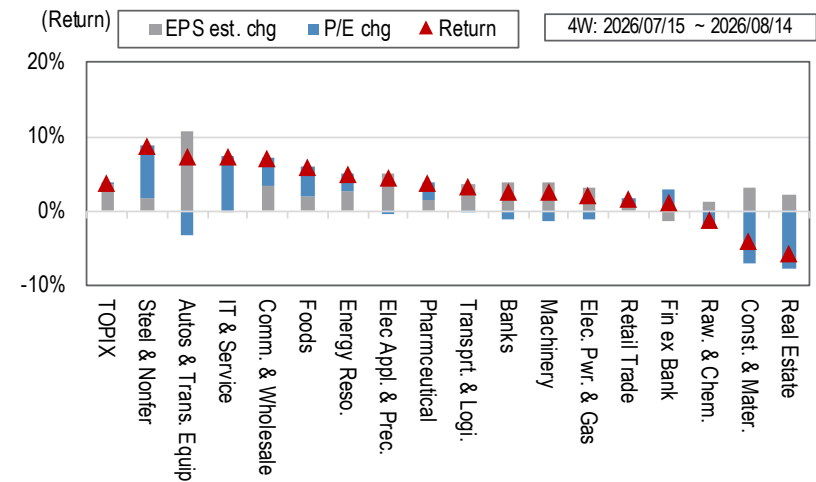
Source: J.P. Morgan

EPS revision index for TOPIX 17 sectors



Source: DataStream, J.P. Morgan

TOPIX performance breakdown (4W)

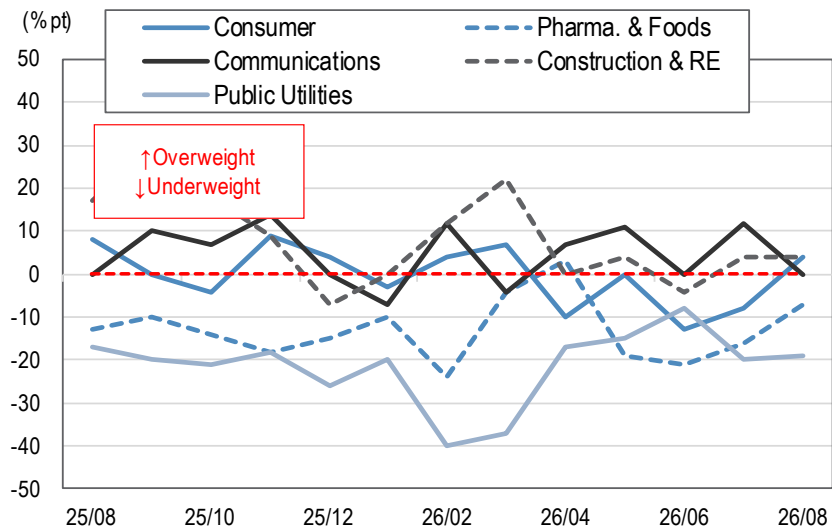


Source: Bloomberg Finance L.P., J.P. Morgan

Sector allocation

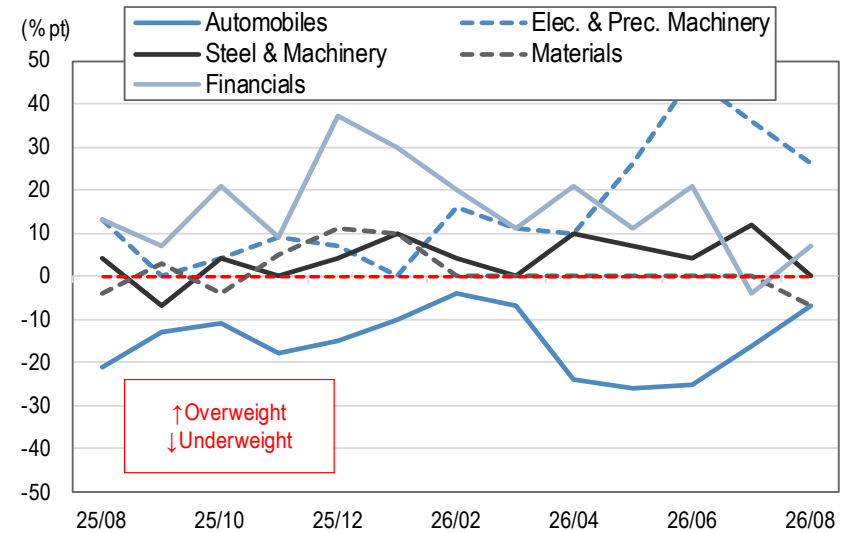
Sector positioning/sentiment (QUICK monthly Equity Survey)

QUICK survey: domestic demand, others



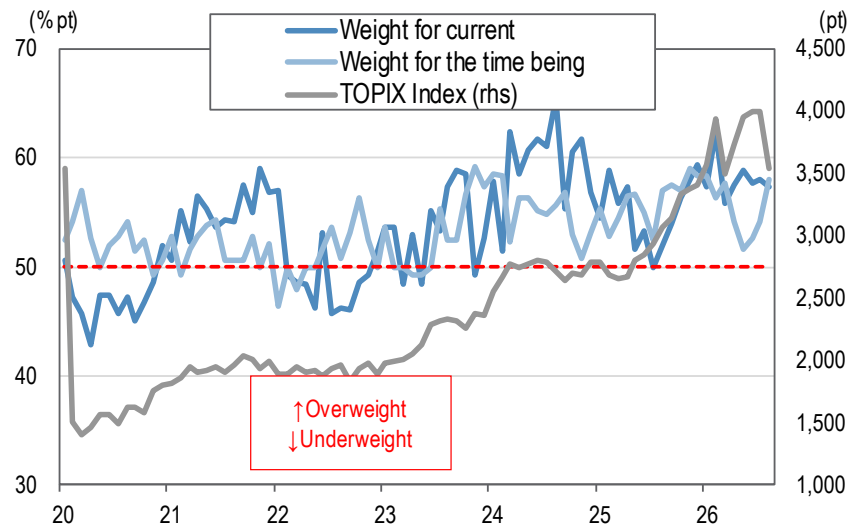
Source: QUICK, J.P. Morgan

QUICK survey: overseas demand, financials



Source: QUICK, J.P. Morgan

Investors' sentiment on Japanese stocks



Source: QUICK, J.P. Morgan

QUICK survey: table

	25/12	26/01	26/02	26/03	26/04	26/05	26/06	26/07	26/08
Materials	11	10	0	0	0	0	0	0	-7
mom	6	-1	-10	0	0	0	0	0	-7
Steel & Machinery	4	10	4	0	10	7	4	12	0
mom	4	6	-6	-4	10	-3	-3	8	-12
Automobiles	-15	-10	-4	-7	-24	-26	-25	-16	-7
mom	3	5	6	-3	-17	-2	1	9	9
Construction & Real Estate	-7	0	12	22	0	4	-4	4	4
mom	-16	7	12	10	-22	4	-8	8	0
Pharmaceuticals & Foods	-15	-10	-24	-4	3	-19	-21	-16	-7
mom	3	5	-14	20	7	-22	-2	5	9
Elec. & Prec. Machinery	7	0	16	11	10	26	46	36	26
mom	-2	-7	16	-5	-1	16	20	-10	-10
Public Utilities	-26	-20	-40	-37	-17	-15	-8	-20	-19
mom	-8	6	-20	3	20	2	7	-12	1
Communications	0	-7	12	-4	7	11	0	12	0
mom	-14	-7	19	-16	11	4	-11	12	-12
Consumer	4	-3	4	7	-10	0	-13	-8	4
mom	-5	-7	7	3	-17	10	-13	5	12
Financials	37	30	20	11	21	11	21	-4	7
mom	28	-7	-10	-9	10	-10	10	-25	11

Source: QUICK, J.P. Morgan

Sector and representative names

Key stocks in the Japanese stocks by sector

Sector weight in TOPIX index and Strategy team allocation (as of 2026/08/07)			Top 5 names with highest weight in sector as of 2026/08/07				
			Top1	Top2	Top3	Top4	Top5
Capital Goods	19.7%	OW	HITACHI LTD	mitsubishi corp	mitsubishi heavy industries	mitsui & co ltd	itochu corp
Banks	11.9%	OW	mitsubishi ufj financial gro	sumitomo mitsui financial gr	mizuho financial group inc	japan post bank co ltd	resona holdings inc
Semiconductors & Equip.	8.7%	OW	tokyo electron ltd	advantest corp	kioxia holdings corp	renesas electronics corp	disco corp
Tech Hardware & Equip.	7.4%	OW	murata manufacturing co ltd	keyence corp	tdk corp	ibiden co ltd	kyocera corp
Materials	5.2%	OW	shin-etsu chemical co ltd	resonac holdings corp	jx advanced metals corp	nippon steel corp	asahei kasei corp
Diversified Financials	2.3%	OW	orix corp	nomura holdings inc	daiwa securities group inc	japan exchange group inc	sbi holdings inc
Energy	0.8%	OW	eneos holdings inc	inpx corp	idemitsu kosan co ltd	modec inc	cosmo energy holdings co ltd
Consumer Services	0.7%	OW	oriental land co ltd	food & life companies ltd	zensho holdings co ltd	skylark holdings co ltd	resorttrust inc
Automobiles & Components	6.5%	N	toyota motor corp	sumitomo electric industries	honda motor co ltd	bridgestone corp	denso corp
Consumer Durables & Apparel	4.5%	N	sony group corp	panasonic holdings corp	asics corp	bandai namco holdings inc	sekisui house ltd
Insurance	3.9%	N	tokio marine holdings inc	daichi life group inc	sompo holdings inc	ms&ad insurance group holdin	japan post holdings co ltd
Pharm., Biotech	3.3%	N	takeda pharmaceutical co ltd	otsuka holdings co ltd	daichi sankyo co ltd	chugai pharmaceutical co ltd	astellas pharma inc
Food, Beverage & Tobacco	2.7%	N	japan tobacco inc	ajinomoto co inc	asahei group holdings ltd	kirin holdings co ltd	kikkoman corp
Transportation	2.7%	N	east japan railway co	central japan railway co	nippon yusen kk	mitsui osk lines ltd	ana holdings inc
Comm. & Prof. Services	2.4%	N	recruit holdings co ltd	secom co ltd	dai nippon printing co ltd	toppan holdings inc	baycurrent inc
Discretionary Retailing	2.4%	N	fast retailing co ltd	pan pacific international ho	ryohin keikaku co ltd	isetan mitsukoshi holdings l	rakuten group inc
Media & Entertainment	1.9%	N	nintendo co ltd	konami group corp	ly corp	capcom co ltd	nexon co ltd
Software & Services	1.8%	N	fujitsu limited	nec corp	nomura research institute lt	obic co ltd	trend micro inc
Real Estate	1.7%	N	mitsubishi estate co ltd	mitsui fudosan co ltd	daiwa house industry co ltd	sumitomo realty & developmen	daito trust construct co ltd
Telecom. Services	4.4%	UW	softbank group corp	ntt inc	kddi corp	softbank corp	internet initiative japan
Health Care Equip. & Services	1.9%	UW	hoaya corp	terumo corp	olympus corp	asahei intecc co ltd	sysmex corp
Utilities	1.2%	UW	kansai electric power co inc	chubu electric power co inc	tokyo gas co ltd	osaka gas co ltd	tokyo electric power company
Food & Staples Retailing	1.1%	UW	seven & i holdings co ltd	aeon co ltd	mitsukiyococokara & co	tsuruha holdings inc	kohe bussan co ltd
Household & Per. Prod.	0.7%	UW	kao corp	unicharm corp	shiseido co ltd	rohto pharmaceutical co ltd	lion corp

Source: Bloomberg Finance L.P., J.P. Morgan

Style allocation

Value still has advantages

Style allocation

Style		Value	Growth	Quality	Low Vol	High Beta	Size (L-Smid)	Momentum
Allocation		OW	UW	OW on Mid caps	UW	N	OW on Mid caps	Selective OW
Cycle (QMI)	Exp -> Slowing	EV/EBITDA	Earning Mom	Buy	UW	N	OW	Sticky
Position	Mild Heavy	Mild-Heavy	Less Heavy	Less Heavy	Light	Heavy	Concentrated	Heavy
Themes	Thems affecting Japan	Inflation/ROIC>WA CC/BO Hike	Quality- competitions/AI	Takaichi's Industrial Policy/AI	Defensive	Offensives	Concentration/ Passive flows	Concentration on AI- related names

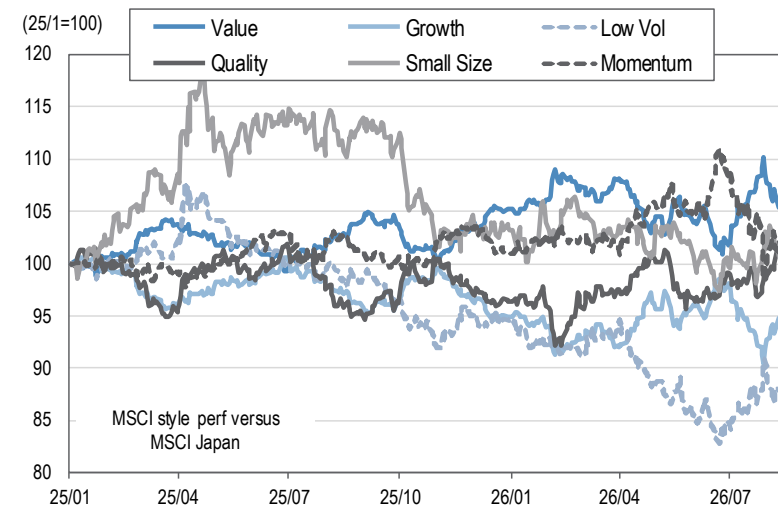
Source: J.P. Morgan
Quantitative and
Derivatives Strategy

Key factor returns in Japanese and US stocks

Long/short (Non sector-neutralized) as of 2026/08/14		Univ	TOPIX			S&P 500		
			1W	1M	YTD	1W	1M	YTD
Value	P/Book	L-H	-0.4%	4.3%	15.9%	0.4%	2.9%	8.5%
	12m fwd PER	L-H	0.1%	6.2%	6.4%	1.4%	8.3%	7.0%
Growth	12m EPS grw%	H-L	0.2%	-0.1%	2.8%	2.6%	4.7%	9.2%
	Market cap	H-L	-1.9%	-2.1%	9.3%	0.8%	2.7%	1.5%
Revision	3M Sales revision	H-L	0.9%	-0.2%	-4.4%	1.5%	0.1%	6.4%
	3M EPS revision	H-L	1.6%	0.7%	5.1%	1.5%	1.0%	1.5%
Quality	ROE (most recent 1y)	H-L	1.3%	-0.3%	-9.5%	0.1%	0.2%	-5.1%
	ROIC (most recent 1y)	H-L	1.2%	-0.1%	-14.4%	0.5%	0.2%	-2.6%
	ROE (5y average)	H-L	1.2%	1.4%	-3.6%	0.5%	0.5%	-8.7%
Dividend	Estimated dividend yield	H-L	-0.9%	4.1%	2.2%	1.1%	0.5%	5.6%
Leverage	Debt/Equity ratio	H-L	-1.6%	-0.6%	10.4%	2.3%	4.0%	-15.4%
Reversal	Long-Term Reversal	L-H	-0.3%	1.7%	3.6%	1.0%	1.0%	-6.3%
Momentum	6M total return	H-L	-0.2%	-5.2%	18.7%	1.5%	9.4%	5.4%
	3M Text Momentum	H-L	-0.1%	0.2%	1.3%	0.1%	0.1%	-5.1%
Risk	1M volatility	H-L	1.7%	-0.7%	26.0%	2.3%	4.9%	26.7%
	2Y beta	H-L	1.8%	1.1%	33.6%	1.8%	2.6%	23.5%
CAPEX	CAPEX/Sales	H-L	-1.8%	-3.8%	17.1%	0.0%	4.3%	11.4%

Source: Bloomberg Finance L.P., J.P. Morgan

Japanese stocks factor returns

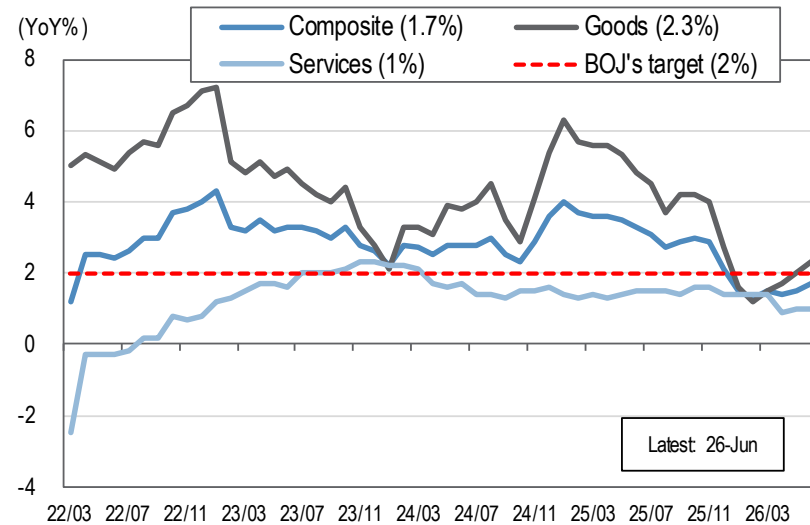


Source: Bloomberg Finance L.P., J.P. Morgan

Normalization of the Japanese Economy

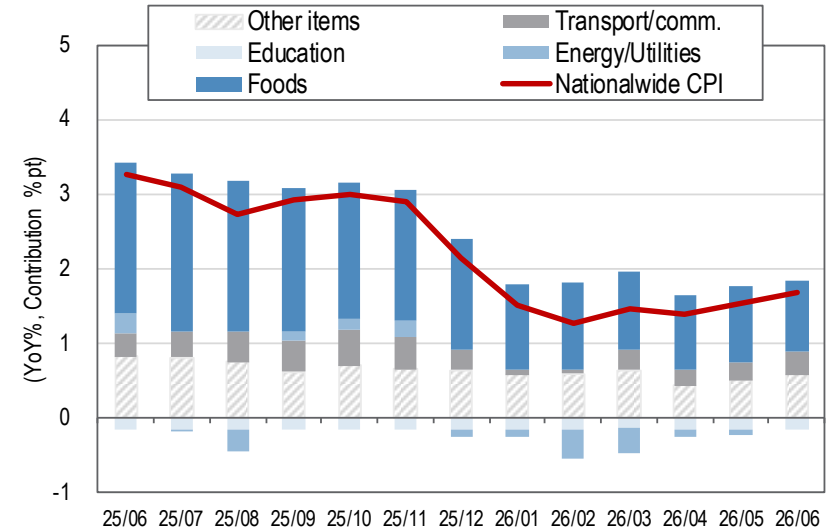
Easing inflation

Japan goods and service CPI



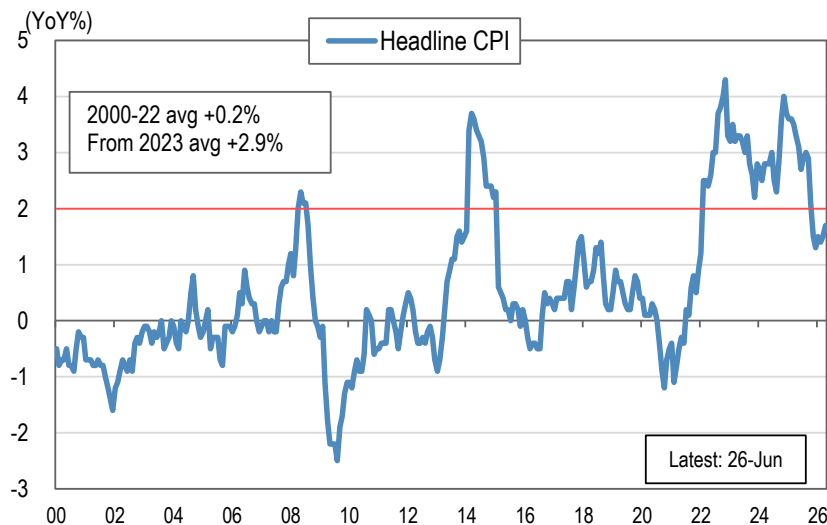
Source: BOJ, MIC, Bloomberg Finance L.P., J.P. Morgan

Japan CPI contribution breakdown



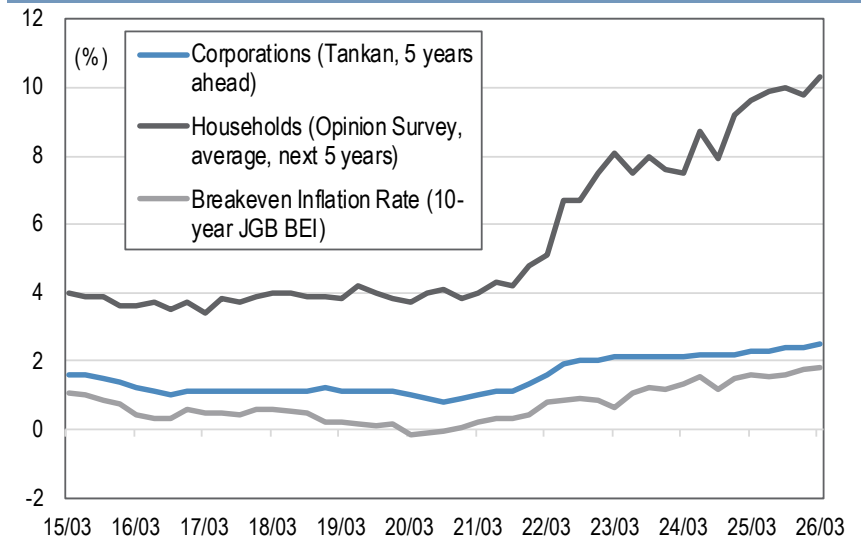
Source: MIC, Bloomberg Finance L.P., J.P. Morgan

Long-term CPI



Source: MIC, Bloomberg Finance L.P., J.P. Morgan

Inflation expectation

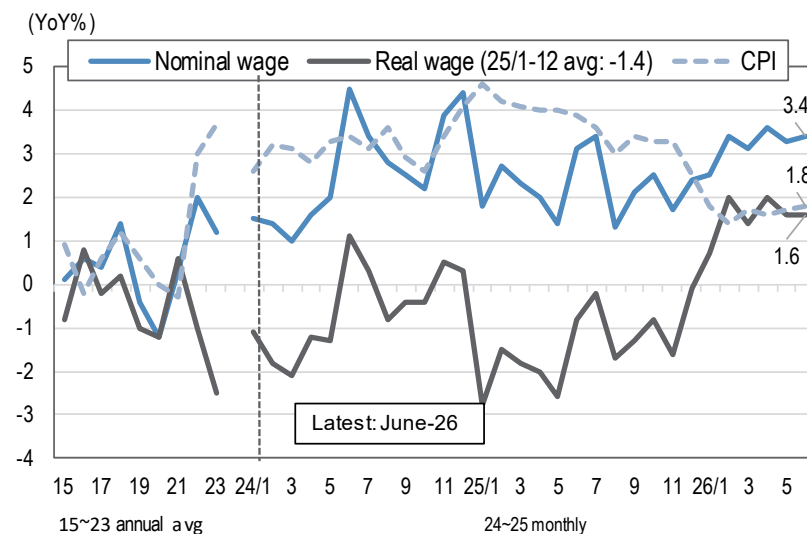


Source: BOJ, Bloomberg Finance L.P., J.P. Morgan

Normalization of the Japanese Economy

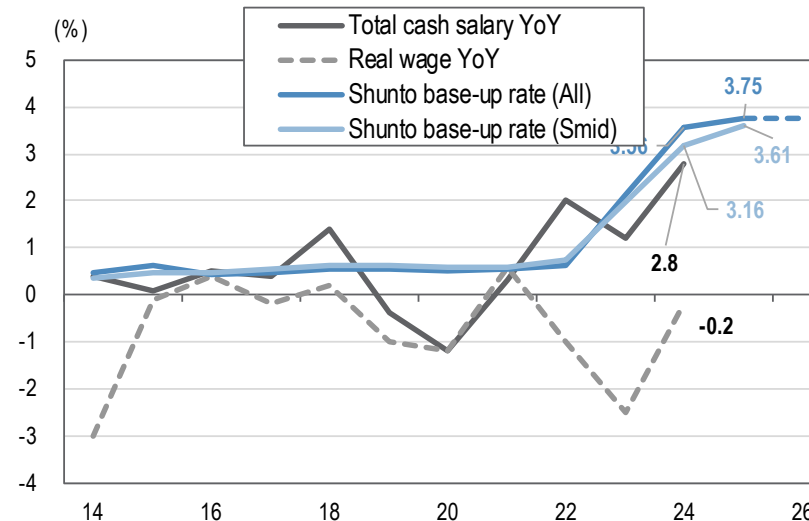
Wages

Nominal wage, real wage (YoY %)



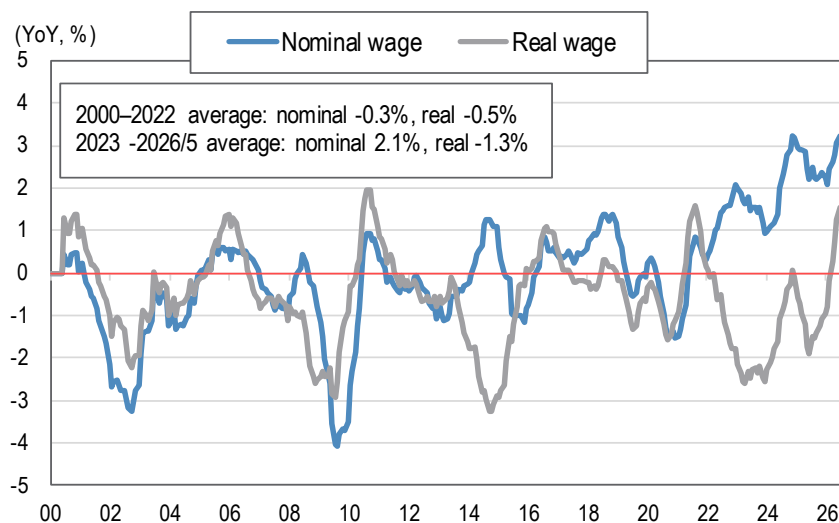
Source: MHLW, J.P. Morgan

Shunto results and nominal wages



Source: Rengo, MHLW, J.P. Morgan

Wage trend in the long term



Source: MHLW, J.P. Morgan

Wage growth by age

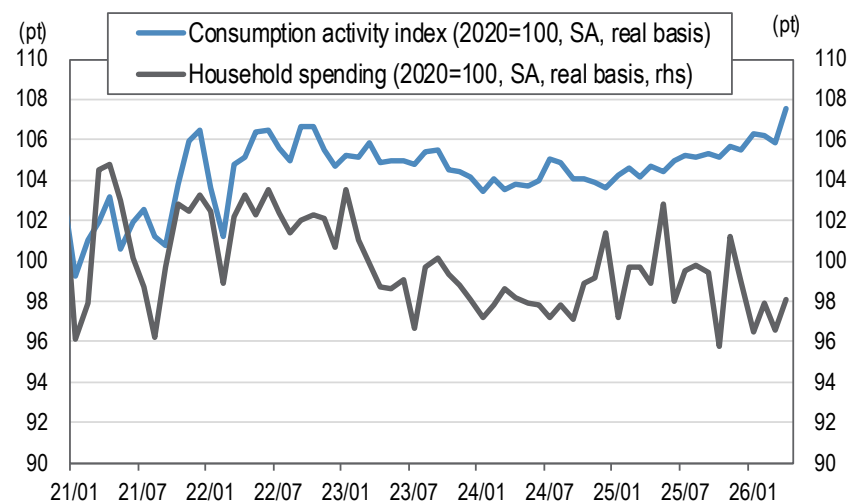
Age	Wage YoY growth					
	2025	2024	2023	2022	2021	2021 ~ 25
Total	3.1%	3.8%	2.1%	1.4%	-0.1%	10.7%
~ 19	4.5%	4.9%	3.1%	0.9%	1.6%	16.0%
20 ~ 24	4.4%	3.5%	2.8%	2.5%	0.5%	14.5%
25 ~ 29	4.6%	3.4%	2.8%	2.0%	0.7%	14.2%
30 ~ 34	4.3%	4.7%	1.8%	1.9%	0.5%	13.8%
35 ~ 39	3.6%	4.4%	0.7%	2.5%	-0.1%	11.6%
40 ~ 44	3.7%	3.7%	1.5%	1.7%	-0.5%	10.5%
45 ~ 49	1.4%	4.8%	1.9%	1.4%	-0.9%	8.8%
50 ~ 54	2.2%	2.5%	1.8%	-0.4%	-0.5%	5.7%
55 ~ 59	1.1%	4.1%	1.7%	1.2%	-0.8%	7.5%
60 ~ 64	3.7%	3.9%	3.5%	1.0%	1.2%	13.8%
65 ~ 69	3.6%	2.1%	4.7%	-0.8%	0.9%	10.8%
70 ~	2.9%	-0.1%	6.8%	-2.1%	-1.9%	5.4%

Source: MHLW, J.P. Morgan

Normalization of the Japanese Economy

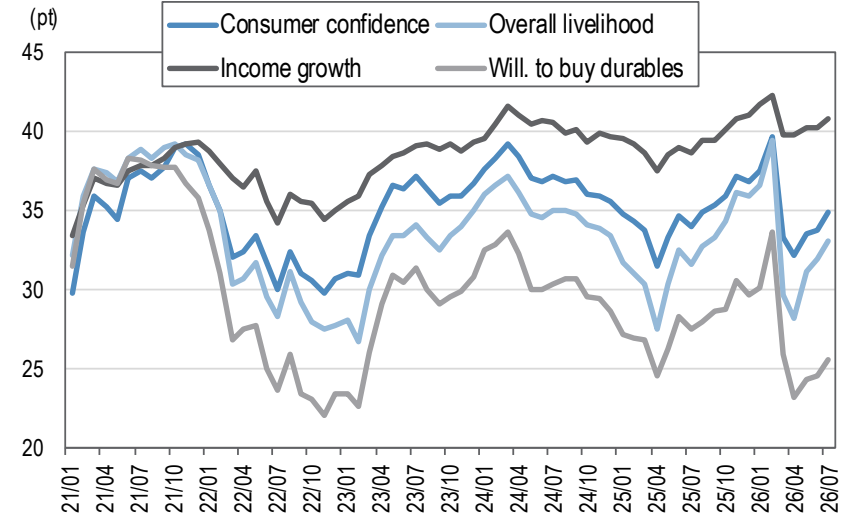
Consumer affordability challenged

Consumption activity index and real consumption



Source: BOJ, MIC, Bloomberg Finance L.P., J.P. Morgan

Consumer confidence index



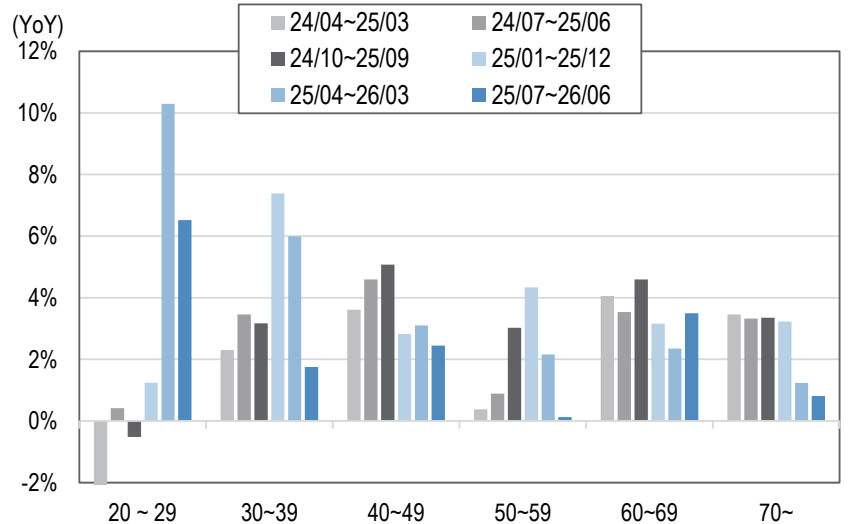
Source: CAO, Bloomberg Finance L.P., J.P. Morgan

Consumption changes by age in 2025

Age	Wage YoY increase (%)				Consumption YoY (%)	
	2025 nominal	2024 nominal	2025 real	2024 real	25/01~25/12	24/01~24/12
Average	3.09%	3.80%	-0.11%	1.10%	3.5	1.5
20 ~ 24	4.52%	4.89%	1.32%	2.19%	1.2	-1.4
25 ~ 29	4.43%	3.52%	1.23%	0.82%	7.4	1.8
30 ~ 34	4.57%	3.45%	1.37%	0.75%	2.8	1.4
35 ~ 39	4.27%	4.72%	1.07%	2.02%	4.3	1.0
40 ~ 44	3.62%	4.42%	0.42%	1.72%	3.2	3.1
45 ~ 49	3.67%	3.72%	0.47%	1.02%	3.2	1.8
50 ~ 54	1.40%	4.78%	-1.80%	2.08%		
55 ~ 59	2.21%	2.51%	-0.99%	-0.19%		
60 ~ 64	1.07%	4.14%	-2.13%	1.44%		
65 ~ 69	3.65%	3.86%	0.45%	1.16%		
70 ~	3.56%	2.11%	0.36%	-0.49%		

Source: MIC, MHLW, J. P. Morgan calculations Note: Real wage YoY is calculated based on nominal wages and the headline CPI. The consumption share is estimated by JPM based on the

Household consumption spending by age group

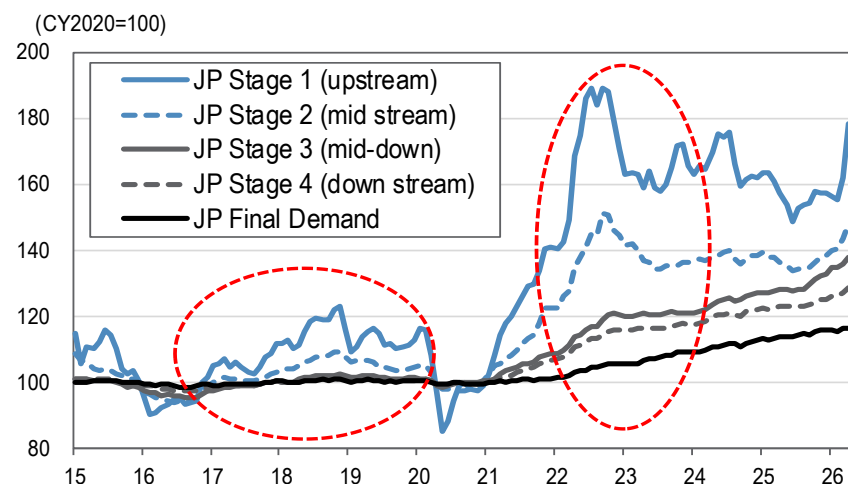


Source: MIC, J.P. Morgan

Normalization of the Japanese Economy

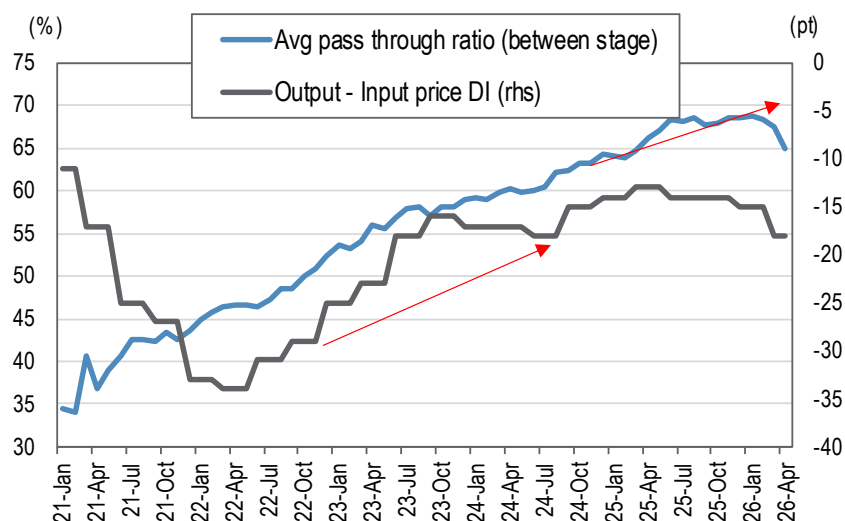
Price pass-through continues

Japan FD-ID index



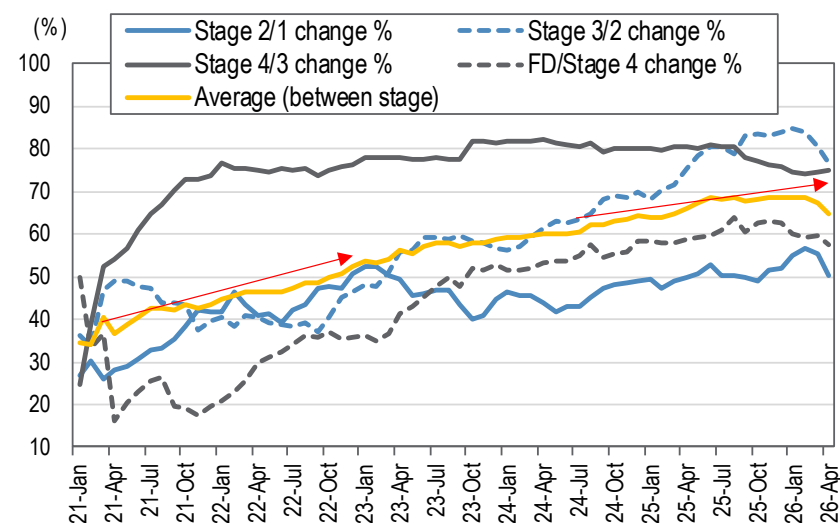
Source: BOJ, Bloomberg Finance L.P., J.P. Morgan Note: Sectors in stage 1 include Mining, Petroleum and coal products; 2: Transportation, Information and communication, Steel, Electric & Gas; 3: Industrial & Production machinery, Automobile, Wholesale business; 4: Service, Construction, Food, Retail business

Price pass-through ratio and output – input price



Source: BOJ, Bloomberg Finance L.P., J.P. Morgan

Price pass-through since 2021



Source: BOJ, Bloomberg Finance L.P., J.P. Morgan

Japan and US price pass-through ratio

Price pass through	Sep-2016 ~ Dec-2018		Jun-2020 ~ Dec-2025	
	Japan	US	Japan	US
Stage 2/1 change %	60.5	90.4	51.6	93.5
Stage 3/2 change %	48.7	84.5	82.7	92.8
Stage 4/3 change %	55.9	83.9	76.3	96.3
FD/Stage 4 change %	48.1	80.5	62.3	80.1
Stage 3/1 change %	29.5	76.3	42.7	86.7
FD/Stage 1 change %	7.9	51.6	20.3	66.9
Average (between stage)	53.3	84.8	68.2	90.7

Source: BLS, BOJ, Bloomberg Finance L.P., J.P. Morgan

17 priority strategic investment categories

17 priority strategic categories and public-private investment amounts

Public-Private Investment in 17 Strategic Fields: Total above ¥370 trillion

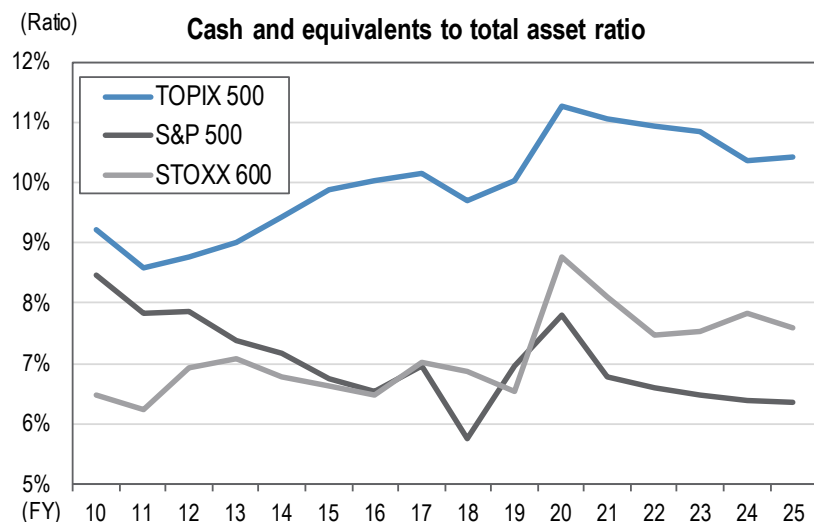
Strategic Field	Product / Technology	Amount (¥ trillion)	Share of Total (JPMe)	Timeline (till)
AI & Semiconductors (27.5%)	AI Semiconductors	68.0	18.4%	FY40
	Vertical AI	23.1	6.2%	FY40
	Physical AI	10.5	2.8%	FY40
Digital & Cybersecurity (15.0%)	Data Platforms	0.9	0.2%	FY35
	Government AX/DX Infrastructure	7.4	2.0%	FY35
	Advanced Cybersecurity Solutions	1.0	0.3%	FY35
	Cloud, Data Centers & Energy Storage	32.7	8.8%	FY35
	Healthcare DX Infrastructure	5.2	1.4%	FY40
	Autonomous Driving Technologies	8.2	2.2%	FY40
Information & Communications (7.8%)	AI-Photonics Network (APN)	5.9	1.6%	FY40
	Next-generation Wireless	20.5	5.5%	FY40
	Submarine Cables	2.4	0.6%	FY40
Quantum (3.6%)	Quantum Computing	10.3	2.8%	FY40
	Quantum Communication & Networks	1.5	0.4%	FY40
	Quantum Sensing	1.4	0.4%	FY40
Defense Industry (1.4%)	Small UAVs	0.4	0.1%	FY40
	Naval Vessels	0.3	0.1%	FY26 Budget
	Dual-use Technologies	4.3	1.2%	FY40
Aerospace (5.0%)	Commercial Aircraft	3.5	0.9%	FY40
	Unmanned Aircraft	0.3	0.1%	FY40
	Advanced Air Mobility (Flying Cars)	0.4	0.1%	FY40
	Rockets & Launch Sites	2.3	0.6%	FY40
	Satellites & Services	6.4	1.7%	FY40
	Lunar Exploration & LEO Technologies	5.6	1.5%	FY40
Marine (0.9%)	Maritime Drones	1.2	0.3%	FY40
	Maritime Domain Awareness	1.2	0.3%	FY40
	Advanced Seabed Development Technologies	0.9	0.2%	FY40
Shipbuilding (0.3%)	Next-generation Vessels	1.0	0.3%	FY40
	Ship Repair & Maintenance	0.1	0.0%	FY40
	LNG Carriers	Under consideration		
Ports & Logistics (0.3%)	Port Cargo Handling Equipment	0.4	0.1%	FY40
	Cyber Port (Port Logistics DX)	0.2	0.1%	FY40
	Next-generation Warehousing	0.6	0.2%	FY40

Strategic Field	Product / Technology	Amount (¥ trillion)	Share of Total (JPMe)	Timeline (till)
Materials (Critical Minerals & Components) (3.2%)	Permanent Magnets	0.2	0.1%	FY40
	Green Steel *	4.2	1.1%	FY40
	Advanced Metallic Materials	0.3	0.1%	FY40
	Low-carbon Metal Materials	0.7	0.2%	FY40
	Refining & Processing Technologies	6.3	1.7%	FY40
	AI-enabled Advanced Composite Materials	5.2	1.4%	FY40
Synthetic Biology & Bio(9.1%)	Biomufacturing	12.8	3.5%	FY40
	Biopharmaceuticals & Regenerative Medicine *	20.8	5.6%	FY40
Drug Discovery & Advanced Medicine (17.3%)	First-in-class / Best-in-class Therapies	23.4	6.3%	FY40
	Infectious Disease Countermeasures	7.2	1.9%	FY40
	Biopharmaceuticals & Regenerative Medicine *	20.8	5.6%	FY40
	Advanced Medical Technologies	11.6	3.1%	FY40
	Life-log Data-enabled Healthcare	1.1	0.3%	FY40
Resource & Energy Security / GX (7.8%)	Next-gen Solar	4.1	1.1%	FY40
	Hydrogen & Related Technologies	6.2	1.7%	FY40
	Green Steel *	4.2	1.1%	FY40
	Next-generation Geothermal	1.0	0.3%	FY40
	Offshore Wind	5.1	1.4%	FY40
	Next-generation Nuclear Reactors	5.0	1.4%	FY40
Nuclear Fusion (0.8%)	GX Chemicals	3.2	0.9%	FY40
	Fusion Energy	3.1	0.8%	FY40
Disaster Prevention & National Resilience(0.7%)	Disaster Prevention Technologies	2.6	0.7%	FY30
Food Technology (2.6%)	Controlled Environment Agriculture	4.6	1.2%	FY40
	Land-based Aquaculture	2.9	0.8%	FY40
	Food Machinery	1.2	0.3%	FY40
	Novel Foods	1.0	0.3%	FY40
Content (Anime, Games, etc.) (9.1%)	Gaming	24.5	6.6%	FY33
	Animation	3.3	0.9%	FY33
	Manga	1.6	0.4%	FY33
	Music	3.0	0.8%	FY33
	Live-action Content	1.3	0.4%	FY33

Source: Created by J.P. Morgan from CAO and Nikkei news report

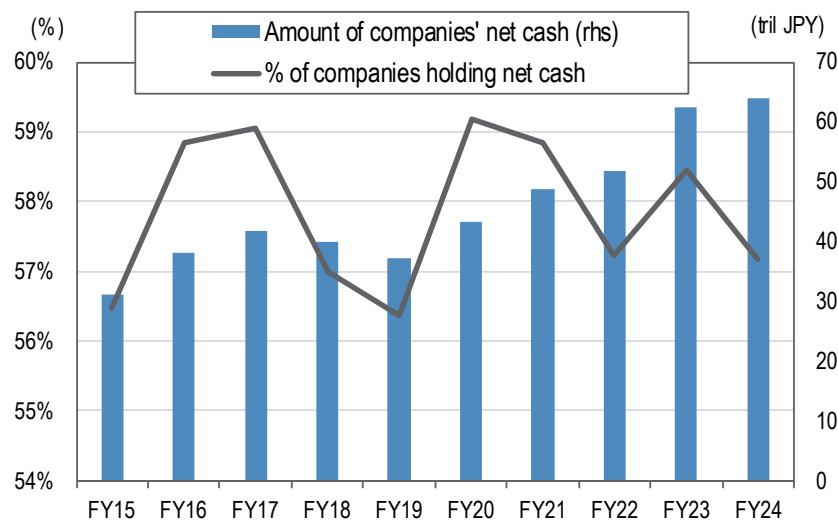
Corporate Reform—Focus on Cash Utilization

Japanese companies cash amounts versus US and Europe



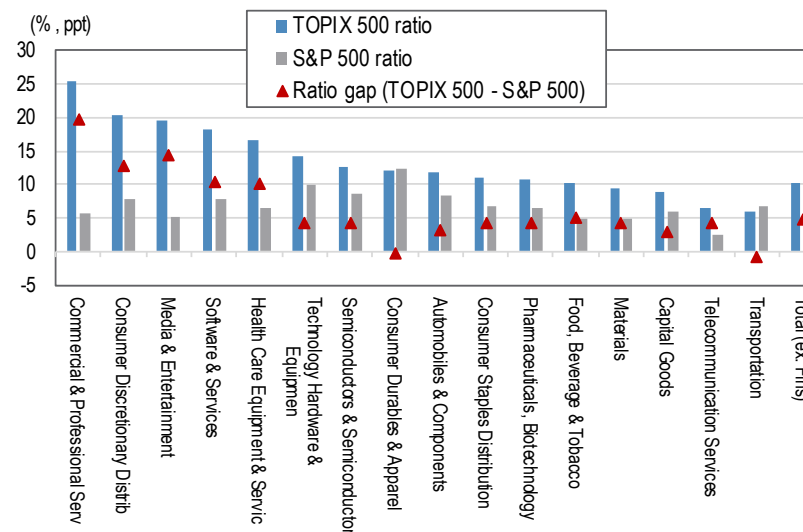
Source: Bloomberg Finance L.P., J.P. Morgan.
Note: Excludes financials.

Net cash status of TOPIX companies



Source: Bloomberg Finance L.P., J.P. Morgan Note: Consolidated basis for TOPIX constituents, excluding subsidiaries of parent-child listings; the calculation of net cash excludes financial

TOPIX 500 cash to total assets ratio by major sector



Source: Bloomberg Finance L.P., J.P. Morgan
Note: GICS 25 Industry Group

2026 Revision of the Corporate Governance Code — Key Points

2026 Revision of the Corporate Governance Code — Key Points

Streamlining and principle-based approach across the Code

Verification of appropriate corporate resource allocation and enhanced accountability regarding the use of cash and deposits

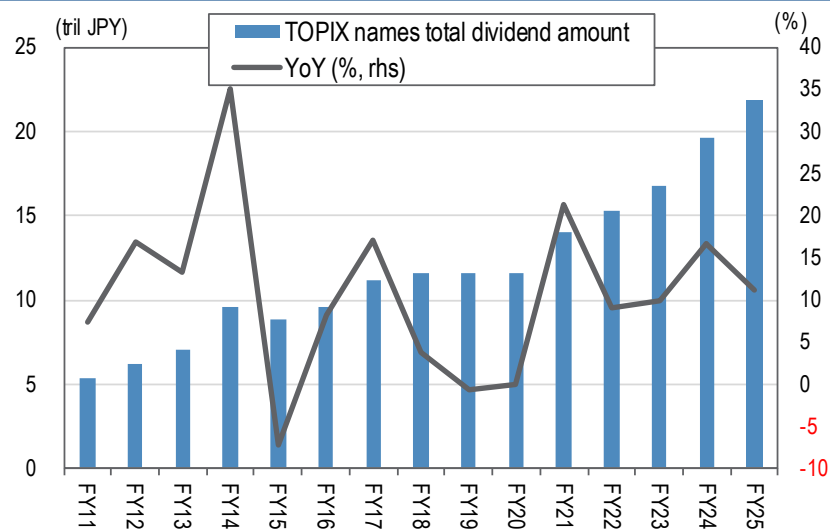
Disclosure of annual securities reports prior to the ordinary general shareholders' meeting

Strengthening the functions of the Board of Directors' secretariat

Source: Compiled by J.P. Morgan based on materials from FSA

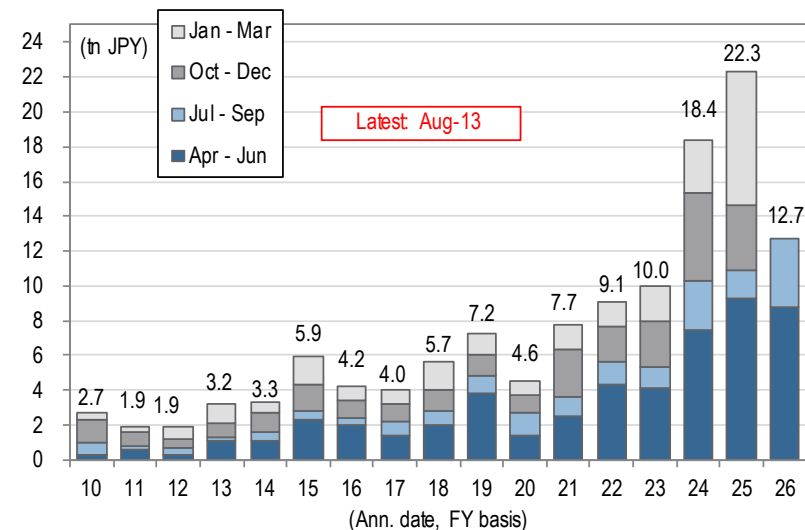
Surplus to shareholder returns and capex – Increasing shareholder returns

TOPIX names' total dividend payout amount



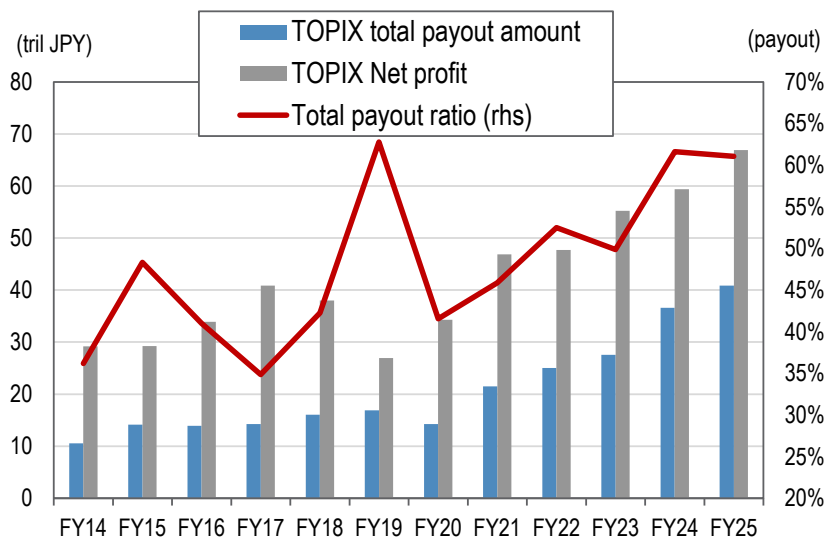
Source: QUICK, J.P. Morgan

Amount of TOPIX names' share buyback announcements



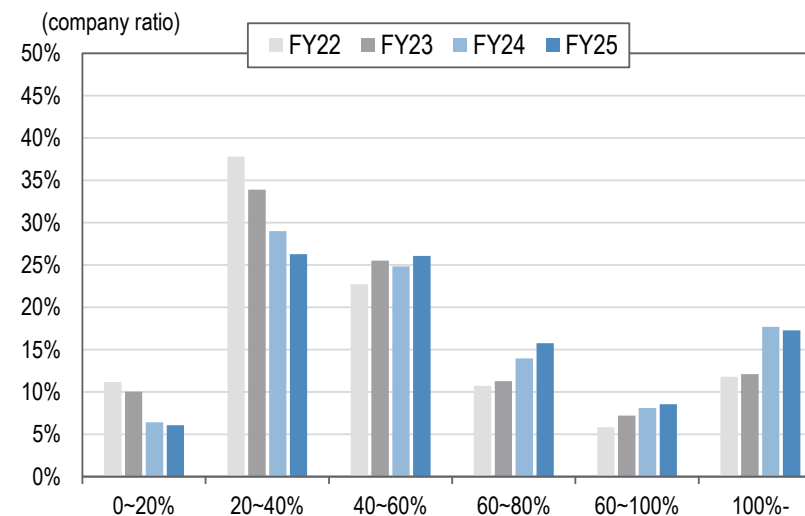
Source: QUICK, J.P. Morgan

TOPIX companies' total payout ratio



Source: QUICK, Bloomberg Finance L.P., J.P. Morgan

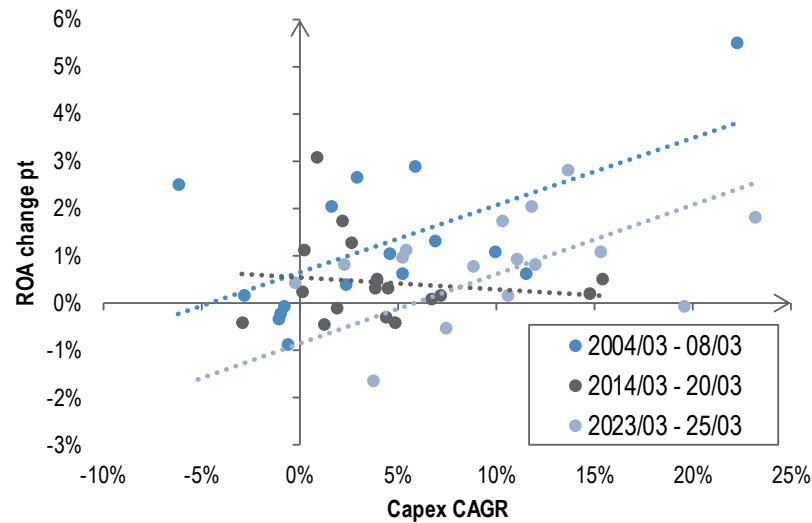
Distribution of TOPIX companies' total payout ratio



Source: QUICK, Bloomberg Finance L.P., J.P. Morgan

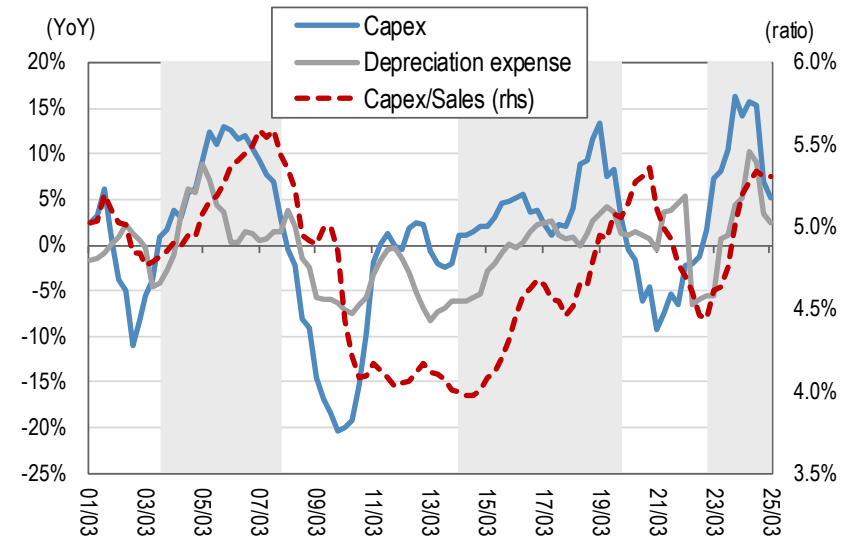
Capex continues to expand despite growing uncertainty

Correlation between capex growth rate and ROA by sector



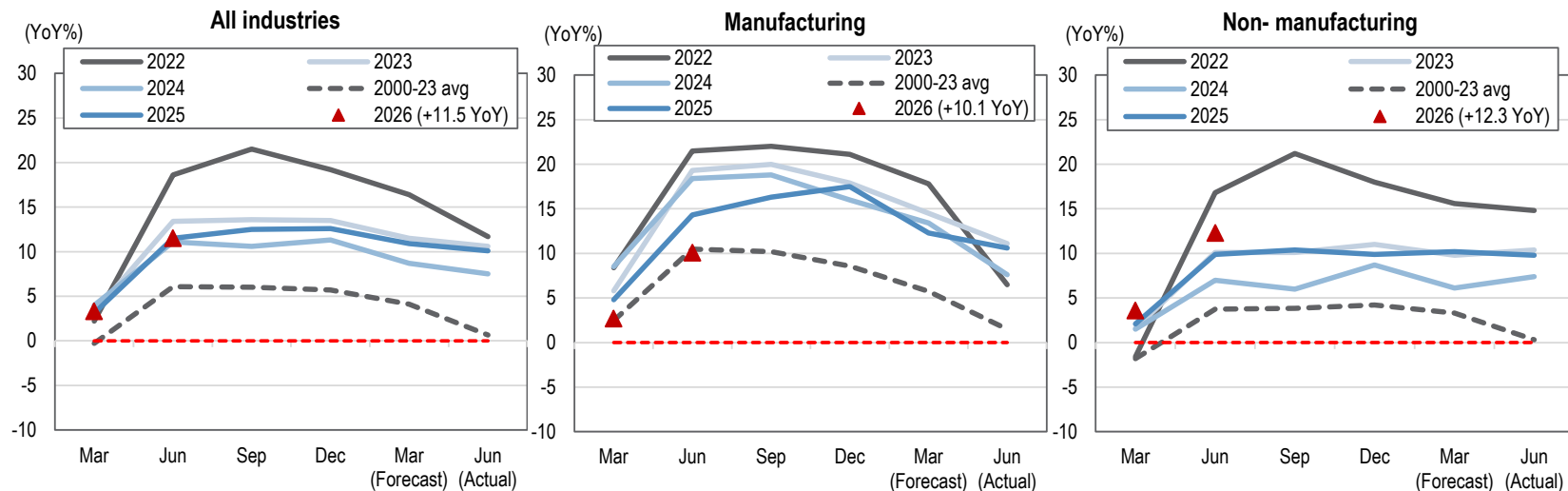
Source: MOF "Financial Statements Statistics of Corporations", J.P. Morgan Note: Sum of trailing 4Qs/average of period begin and end, large enterprises excluding financials and insurance. Assume an effective corporate tax rate of 30%. Capex includes software.

Capex YoY growth and to sales ratio



Source: MOF "Financial Statements Statistics of Corporations", J.P. Morgan Note: Sum of trailing 4Qs, large enterprises excluding financials and insurance. Capex includes software.

Capex plan by companies (Large enterprises)

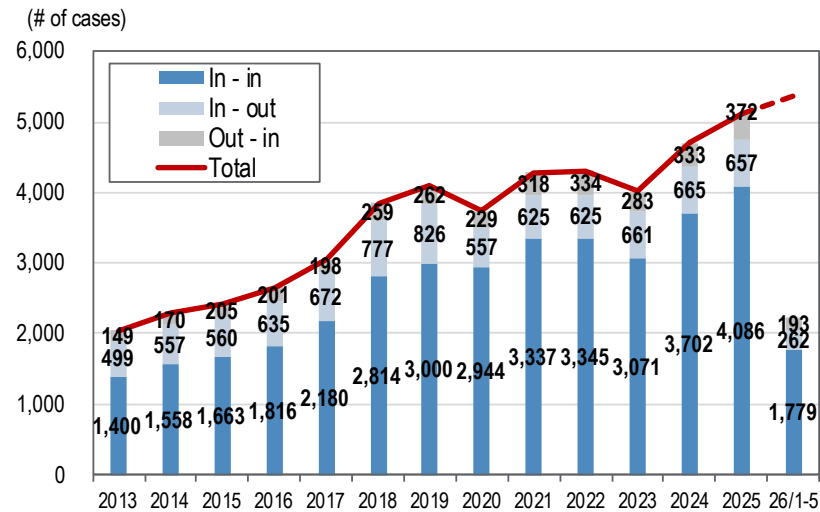


Source: Bank of Japan, J.P. Morgan

Corporate Reform

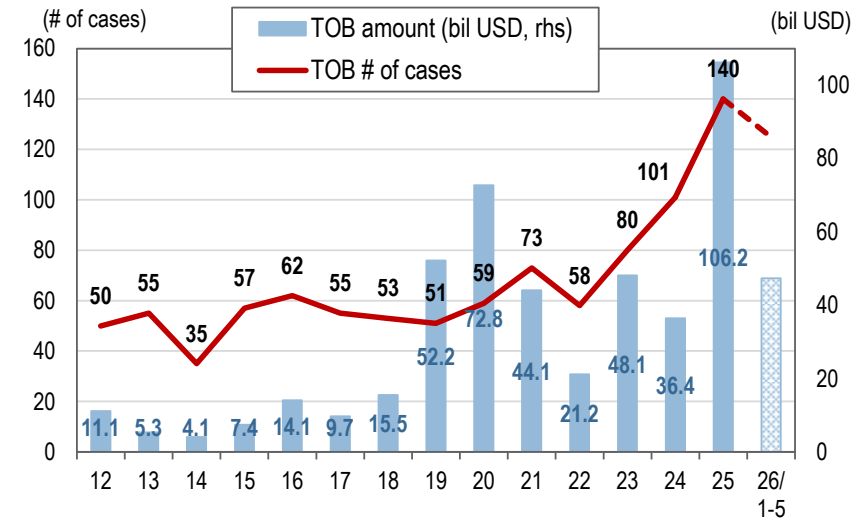
M&A, TOB, and activist cases are increasing; Business restructuring

of M&A deals in Japan market



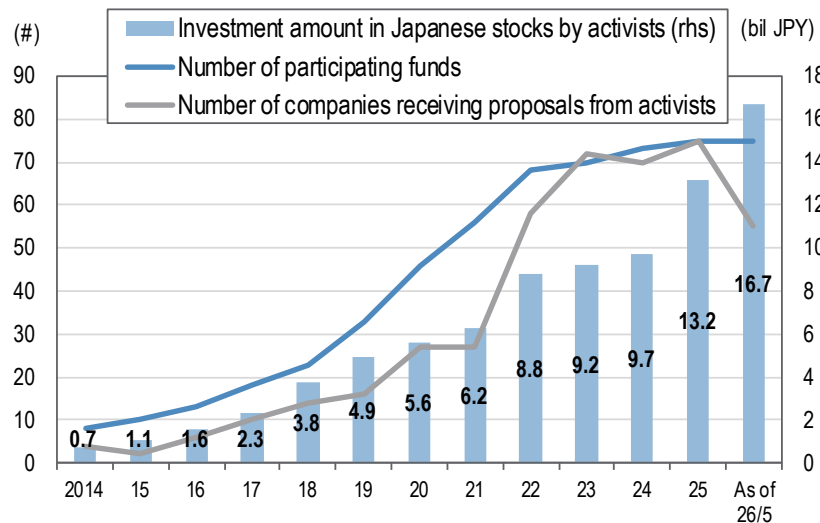
Source: Created from Recof data by J.P. Morgan
Note: The dotted line shows the 2026 YTD figures on an annualized basis

of TOB deals in Japan market



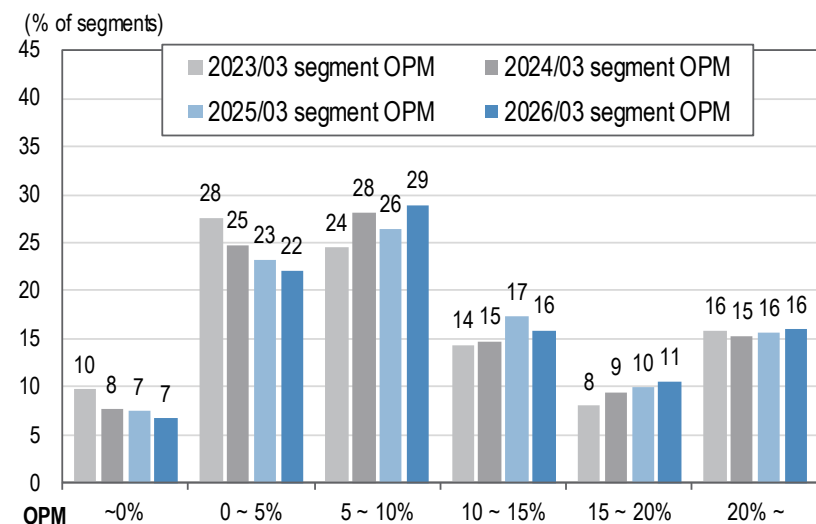
Source: Bloomberg Finance L.P., J.P. Morgan
Note: The dotted line/bar shows the 2026 YTD figures on an annualized basis

Investment in Japanese stocks by activists



Source: Created from IR Japan data by J.P. Morgan

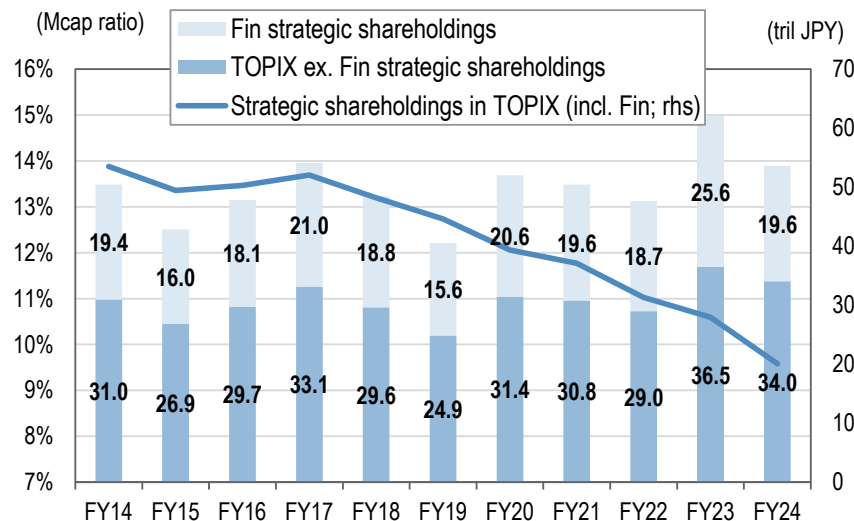
Distribution of profit margins by business segment



Source: Bloomberg Finance L.P., J. P. Morgan
Note: TOPIX 500 names

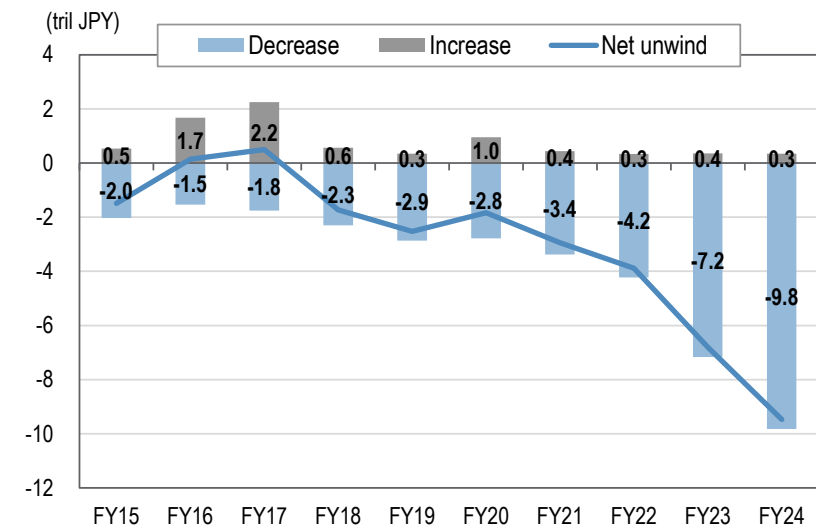
Strategic Shareholdings – increased pace of reduction

Strategic shareholding amount of TOPIX companies



Source: QUICK, Bloomberg Finance L.P., Company filings, J.P. Morgan calculations

Strategic shareholding unwinding results of TOPIX companies



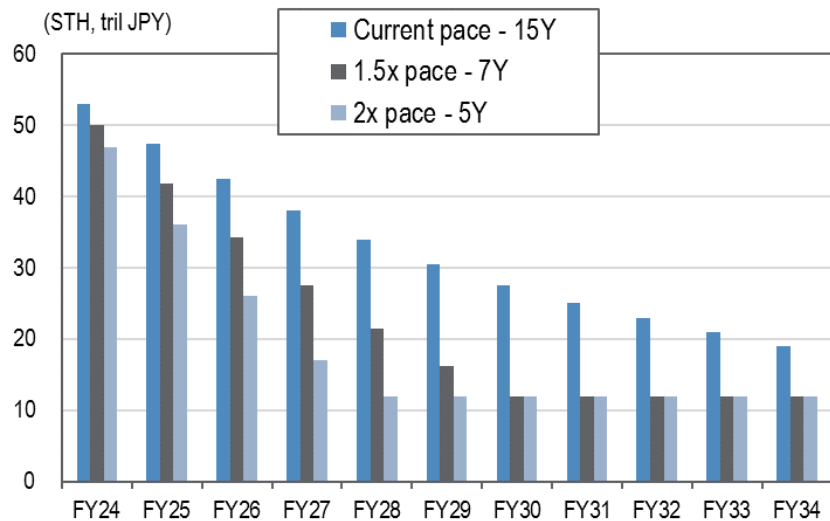
Source: QUICK, Bloomberg Finance L.P., Company filings, J.P. Morgan calculations

Strategic shareholding unwinding results of TOPIX companies by sector

FY unwind amount (tril JPY)	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24
TOPIX	0.1	0.5	-1.7	-2.5	-1.8	-2.9	-3.9	-6.8	-9.5
Elec Appl. & Prec.	-0.2	-0.1	-0.2	-0.2	-0.2	-0.1	-0.1	-1.0	-0.5
Autos & Tans. Equip.	0.0	0.3	-0.1	-0.2	0.2	0.0	-0.2	-1.2	-1.6
Machinery	0.1	-0.1	-0.1	-0.1	-0.1	-0.2	-0.4	-0.4	-0.1
Steel & Nonfer	0.1	0.0	-0.1	-0.2	-0.3	-0.1	-0.1	-0.2	-0.2
Raw. & Chem.	-0.1	0.0	0.0	-0.2	-0.2	-0.3	-0.3	-0.5	-0.4
Comm. & Wholesale	0.0	0.0	-0.1	-0.1	-0.2	-0.2	-0.2	-0.2	-0.4
Energy Reso.	0.0	0.0	0.0	0.0	0.0	-0.1	-0.1	0.0	-0.1
Retail Trade	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Foods	0.0	0.0	0.0	-0.1	0.0	-0.1	-0.1	-0.2	-0.2
Transprt. & Logi.	0.1	0.0	0.0	0.0	-0.1	-0.1	-0.1	-0.1	-0.2
IT & Service	-0.1	0.1	0.0	-0.4	-0.2	-0.3	-0.2	-0.4	-0.7
Const. & Mater.	0.0	0.0	0.0	-0.1	-0.1	-0.1	-0.2	-0.4	-0.6
Elec. Pwr. & Gas	0.0	0.0	0.0	0.0	0.0	0.0	-0.1	0.0	-0.1
Pharmaceutical	-0.1	-0.1	-0.1	-0.1	-0.1	0.0	0.0	-0.1	-0.1
Banks	-0.1	0.7	-0.6	-0.4	-0.3	-0.8	-0.7	-1.5	-2.3
Fin ex Bank	0.5	-0.4	-0.4	-0.3	-0.2	-0.3	-0.6	-0.5	-1.9
Real Estate	0.0	0.0	0.0	0.0	0.0	-0.1	-0.6	-0.1	-0.2

Source: QUICK, Company filings, J.P. Morgan calculations

Strategic shareholding unwinding pace from FY25

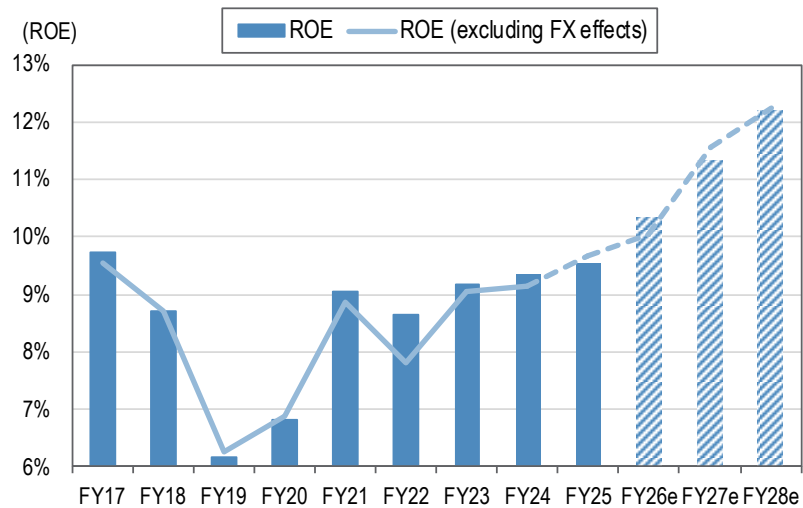


Source: QUICK, Company filings, J.P. Morgan calculations

Corporate Reform

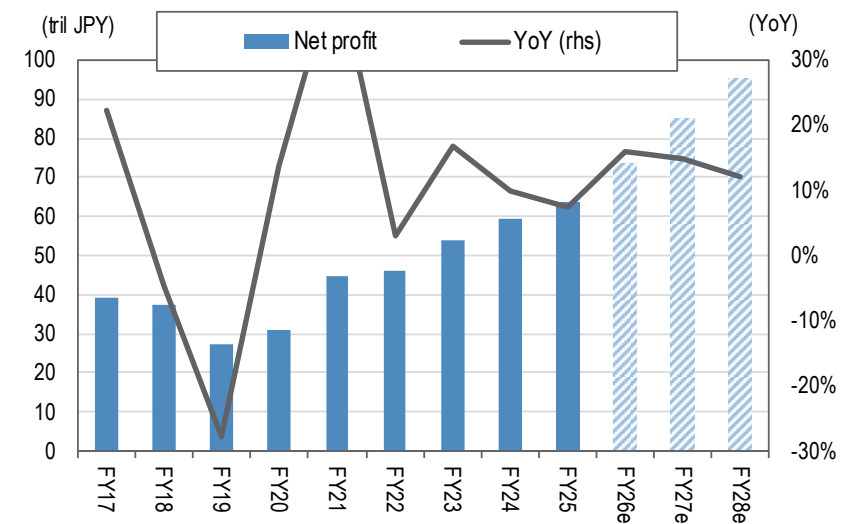
Trends in TOPIX ROE, net profit, share buybacks, and capex

TOPIX ROE



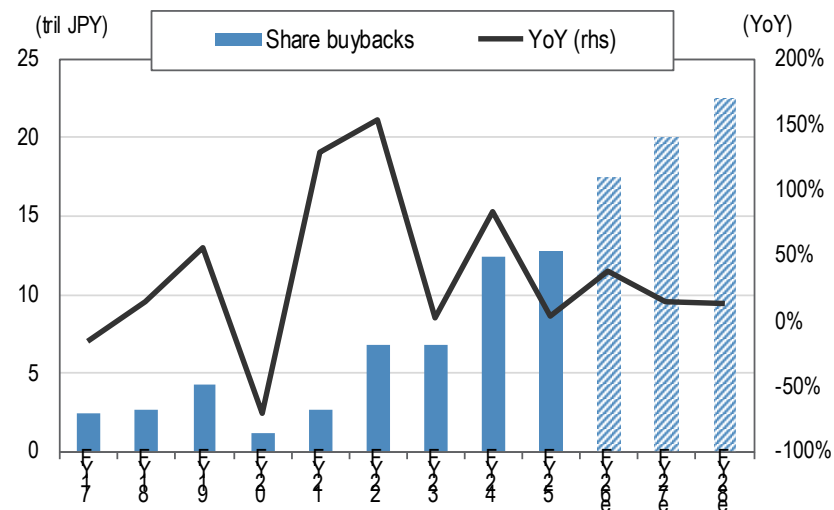
Source: Bloomberg Finance L.P., J.P. Morgan

TOPIX net profit



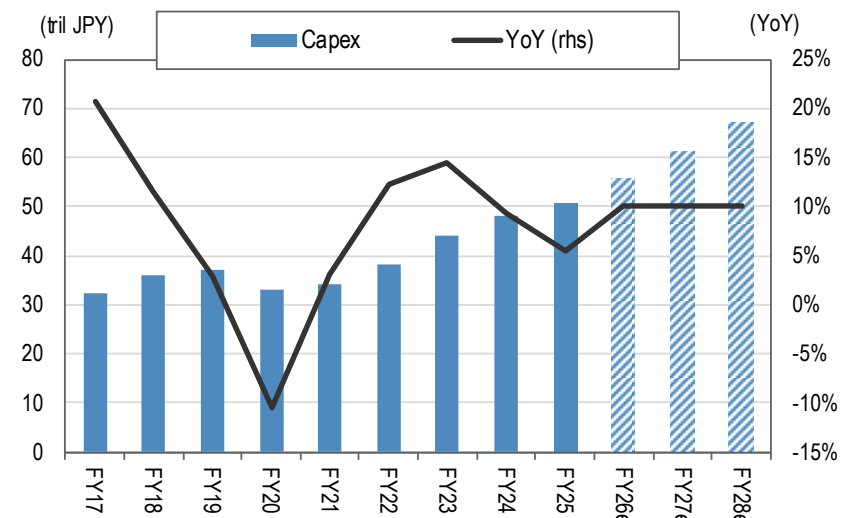
Source: Bloomberg Finance L.P., J.P. Morgan

TOPIX share buybacks



Source: Bloomberg Finance L.P., J.P. Morgan

TOPIX capex



Source: Bloomberg Finance L.P., J.P. Morgan

Ongoing reforms drive ROE to 10–11%, prompting a revaluation of Japanese equities

Japanese corporates' balance sheet and ROE

TOPIX Constituents (FY; tril JPY, YoY)	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26	FY27	FY28
Revenue (A)	700(-2%)	653(-7%)	729(+12%)	844(+16%)	895(+6%)	935(+4%)	956(+2%)	1032(+8%)	1094(+6%)	1149(+5%)
Operating Profit (B)	43(-22%)	47(+8%)	54(+16%)	60(+11%)	70(+17%)	82(+16%)	-	-	-	-
Operating Profit Margin (A/B; %, ppt)	6.2% (-1.6%)	7.2% (+1.0%)	7.4% (+0.3%)	7.1% (-0.3%)	7.9% (+0.8%)	8.8% (+0.9%)	-	-	-	-
Net Profit (C)	27(-28%)	31(+14%)	45(+45%)	46(+3%)	54(+17%)	59(+10%)	64(+7%)	74(+16%)	85(+15%)	95(+12%)
Shareholders' Equity (D)	435(-2%)	469(+8%)	519(+11%)	547(+6%)	626(+14%)	641(+2%)	694(+8%)	734(+6%)	764(+4%)	798(+4%)
Retained Earnings	313(+3%)	327(+4%)	357(+9%)	382(+7%)	417(+9%)	445(+7%)	-	-	-	-
Total Payout (E)	17(+9%)	13(-21%)	18(+34%)	23(+31%)	25(+9%)	34(+34%)	36(+8%)	44(+20%)	51(+17%)	58(+14%)
Dividends	12(-1%)	12(-3%)	15(+25%)	16(+9%)	18(+12%)	21(+16%)	24(+12%)	26(+10%)	31(+19%)	36(+15%)
Amount of Share Buybacks	4(+56%)	1(-72%)	3(+128%)	7(+154%)	7(+1%)	12(+82%)	13(+3%)	18(+37%)	20(+14%)	23(+13%)
Total payout ratio (E/C)	61.0%	42.5%	39.5%	50.0%	46.6%	56.8%	57.3%	59.0%	60.0%	61.0%
Retained Earnings (C-E)	11(-53%)	18(+68%)	27(+52%)	23(-15%)	29(+25%)	26(-11%)	27(+6%)	30(+11%)	34(+12%)	37(+9%)
ROE (C/Avg of Begin and End of Year D; %, ppt)	6.2% (-2.5%)	6.8% (+0.6%)	9.0% (+2.2%)	8.6% (-0.4%)	9.2% (+0.5%)	9.4% (+0.2%)	9.5% (+0.2%)	10.3% (+0.8%)	11.3% (+1.0%)	12.2% (+0.8%)
ROE (Excluding FX Impact; JPMe; %, ppt)	6.3% (-2.4%)	6.9% (+0.6%)	8.9% (+2.0%)	7.8% (-1.1%)	9.0% (+1.3%)	9.1% (+0.1%)	9.7% (+0.6%)	10.0% (+0.4%)	11.5% (+1.5%)	12.2% (+0.7%)
FX Contri. to ROE (Net Profit; ppt)	-0.1%	-0.1%	0.2%	1.1%	0.4%	0.4%	-0.1%	0.4%	-0.2%	-0.1%
FX Contri. to ROE (Shareholders' Equity; ppt)	0.0%	0.0%	0.0%	-0.2%	-0.3%	-0.1%	-0.1%	-0.1%	0.0%	0.1%
Capex	37(+3%)	33(-11%)	34(+3%)	38(+12%)	44(+14%)	48(+9%)	51(+5%)	56(+10%)	61(+10%)	67(+10%)
M&A Amount (In - In, In Out; Recof data)	16(-545%)	8(-863%)	10(+230%)	7(-260%)	16(+840%)	16(+13%)	-	-	-	-
% of Companies Holding Net Cash	56.4%	59.2%	58.8%	57.2%	58.5%	57.2%	57.5%	52.5%	50.0%	47.5%
Amount of Companies' Net Cash	37(-7%)	43(+16%)	49(+12%)	52(+7%)	63(+21%)	64(+2%)	70(+9%)	68(-3%)	66(-3%)	64(-3%)
FY average of USDJPY rate	108.7	106.0	112.4	135.5	144.6	152.5	150.8	158.0	155.0	153.0
Impact on Companies' Net Profit (%; JPMe)	-1.2%	-1.5%	+3.5%	+12.7%	+5.0%	+4.4%	-1.0%	+4.0%	-1.7%	-1.1%
Impact on Shareholders' Equity (%; JPMe)	-0.4%	-0.5%	+1.3%	+4.6%	+1.8%	+1.6%	-0.4%	+1.5%	-0.6%	-0.4%

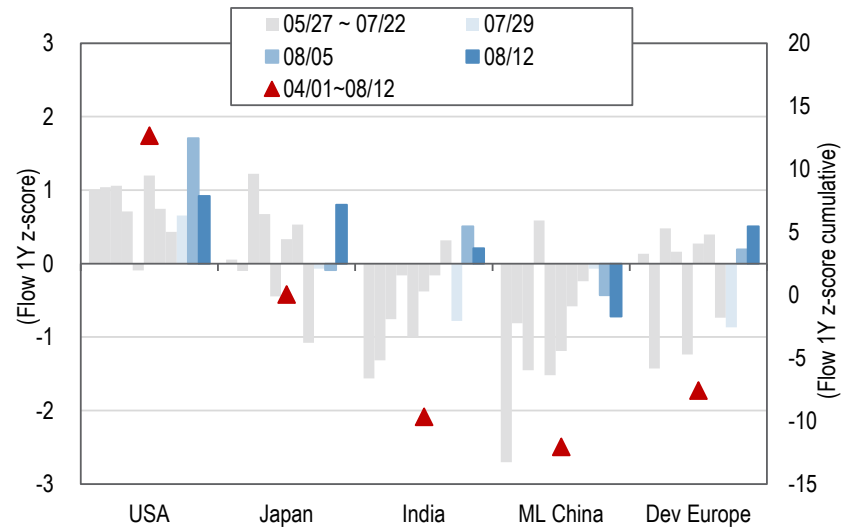
Source: Bloomberg Finance L.P., Recof, J.P. Morgan estimates and calculations

Note: Consolidated basis for TOPIX constituents, excluding subsidiaries of parent-child listings; the calculation of net cash excludes financial institutions and Japan Post; actual figures through FY24 and data from FY25 are JPM forecasts.

Fund flows: Overseas Investors

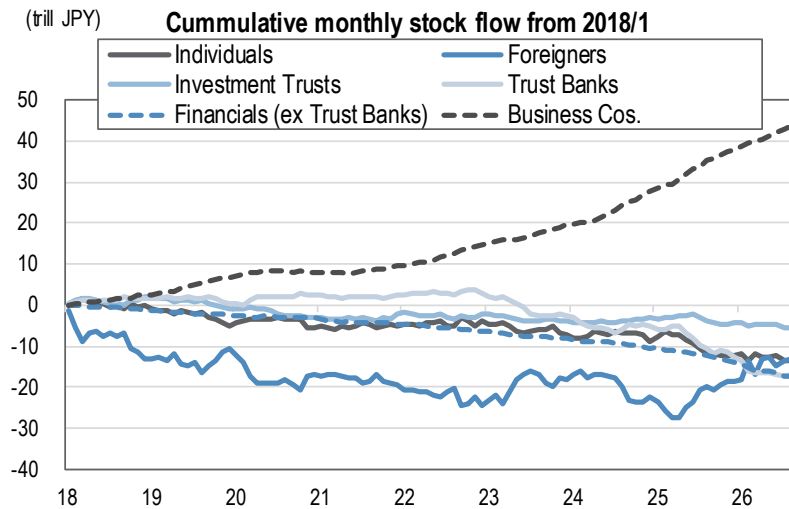
Overseas inflow continued

Overseas equity flow by region



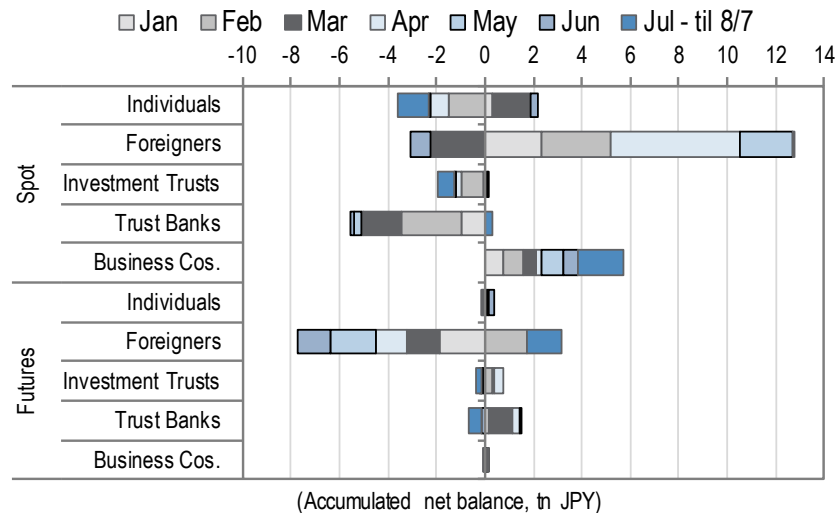
Source: EPFR, J.P. Morgan

Cumulative Flow – long-term



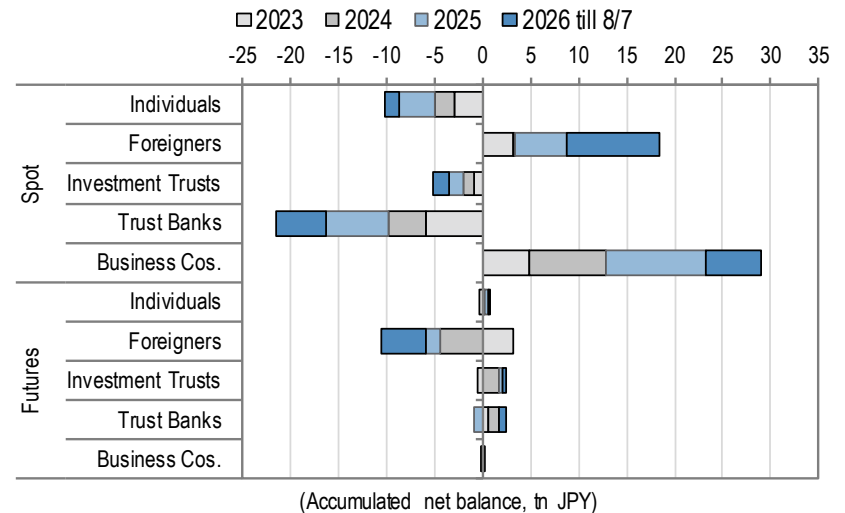
Source: QUICK, JPX, J.P. Morgan

Stock flow by entity in 2026



Source: QUICK, JPX, J.P. Morgan

Stock flow by entity (annual)

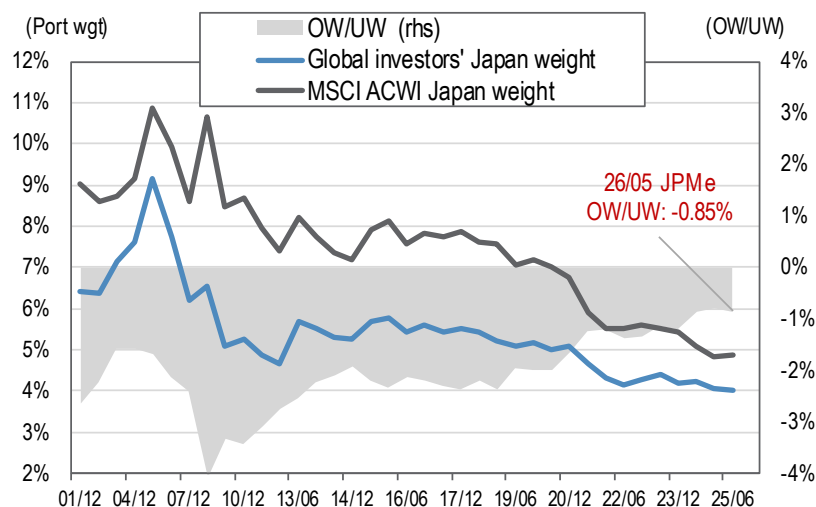


Source: QUICK, JPX, J.P. Morgan

Fund flows: Overseas Investors

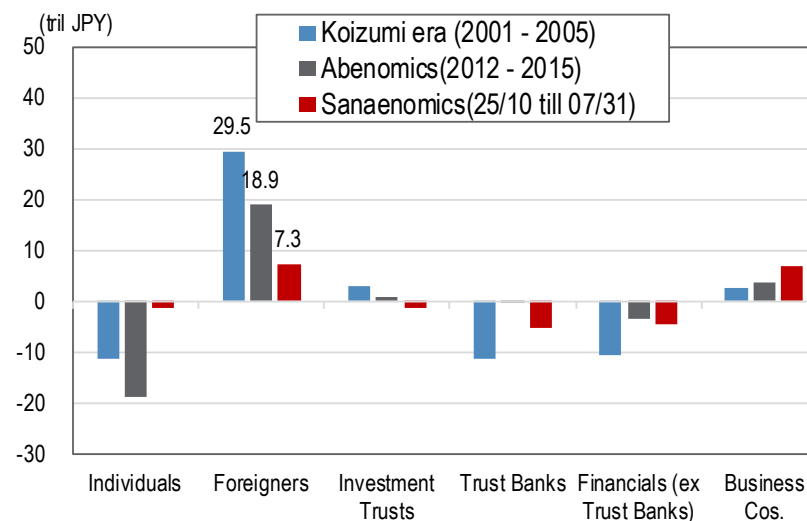
Foreign investors remain UW

Global investors allocation to Japan equities



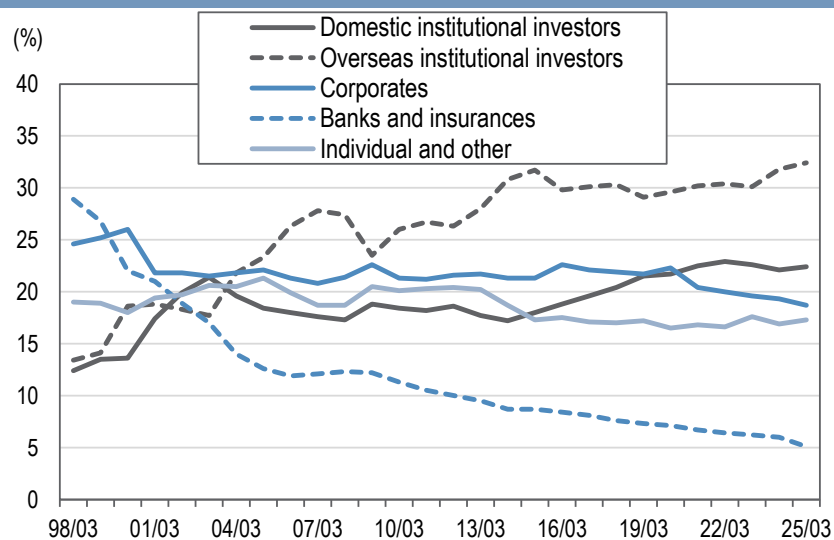
Source: JPX, J.P. Morgan

Stock flow by entity in past periods (spot + futures)



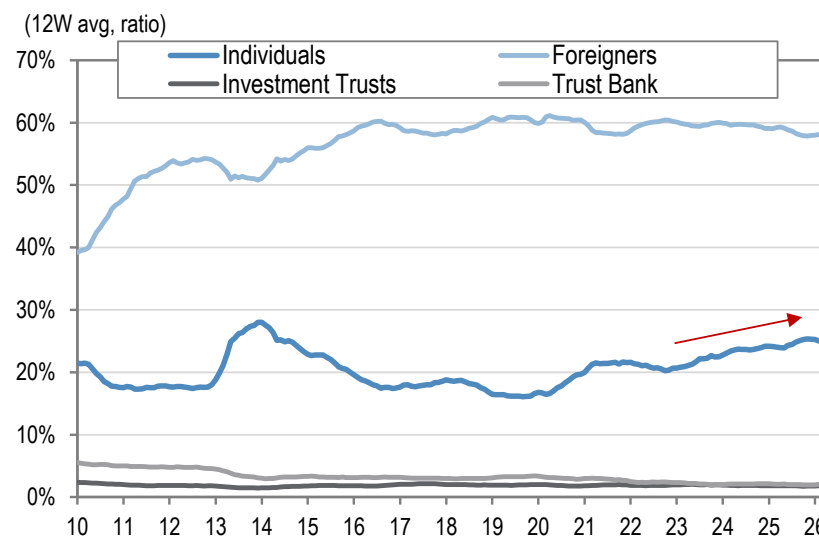
Source: QUICK, JPX, J.P. Morgan

Ownership of Japanese stocks by entity



Source: JPX, J.P. Morgan

Share of Cash Equity Turnover by Investor Type

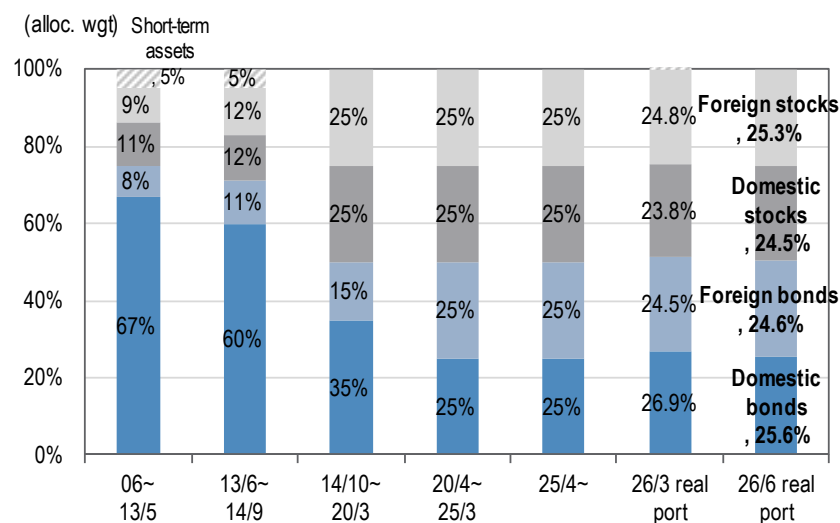


Source: QUICK, JPX, J.P. Morgan

Fund flows: GPIF

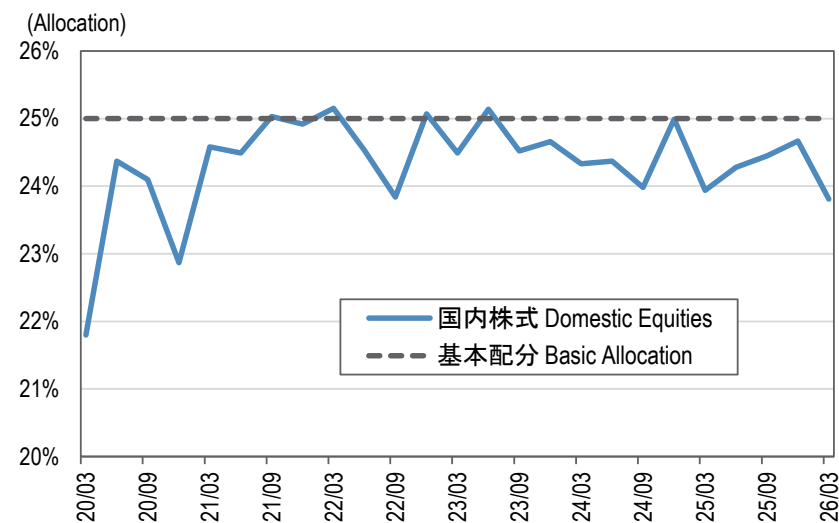
GPIF rebalance and adjustment of policy portfolio

Policy allocation of GPIF



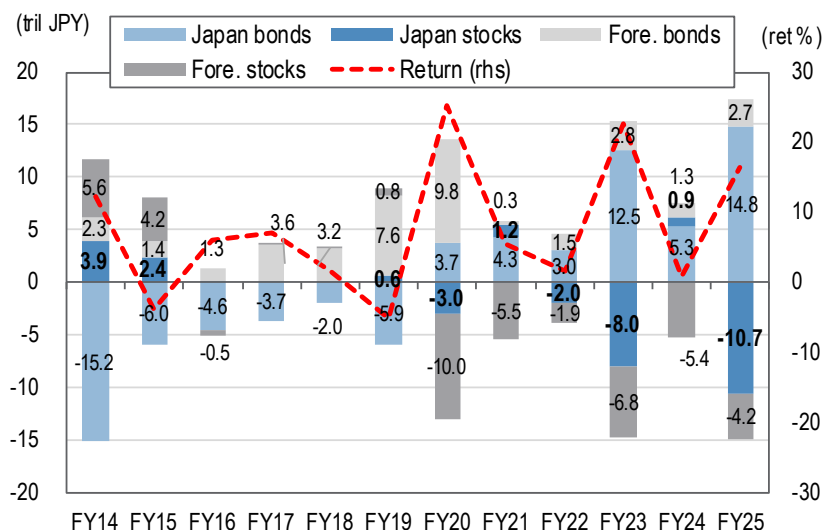
Source: GPIF, J.P. Morgan
Note Total AUM for GPIF including the reserve funds managed under the Pension Special Account

GPIF's allocation to Japanese stocks



Source: GPIF, J.P. Morgan
Note Total AUM for GPIF including the reserve funds managed under the Pension Special Account

Rebalance flow of GPIF fund and annual return



Source: GPIF, J.P. Morgan

GPIF Basic Portfolio Deviation (JPM Estimate)

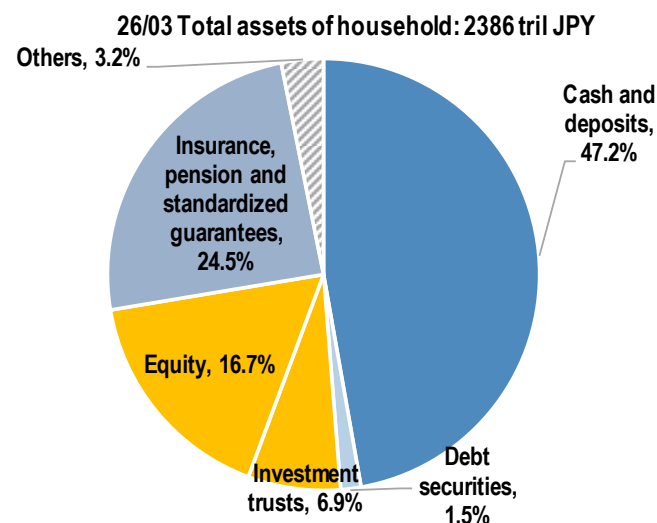
Portfolio market value: 320.37 tril JPY (as of 2026/06-end)					
Asset Mix	Policy Portfolio from Apr 2025 (limit range)	Actual portfolio	Portfolio details (tril JPY)	JPM wgt as of 2026/08/12	JPM rebalance (tril JPY)
Domestic Bonds	25.0% (±6%)	25.6%	82.0	25.2%	(0.7)
Foreign Bonds	25.0% (±5%)	24.6%	78.8	23.9%	3.5
Domestic Equities	25.0% (±6%)	24.5%	78.4	25.2%	(0.7)
Foreign Equities	25.0% (±6%)	25.3%	81.2	25.6%	(2.0)

Source: GPIF, Bloomberg Finance L.P., J.P. Morgan estimates
Note Total AUM for GPIF including the reserve funds managed under the Pension Special Account

Fund flows: Household

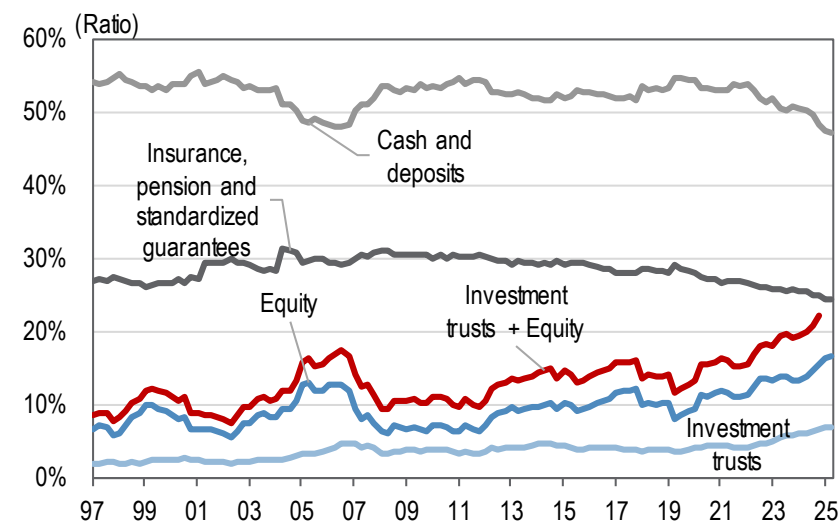
NISA flows continue

Constituents of Japan household financial assets



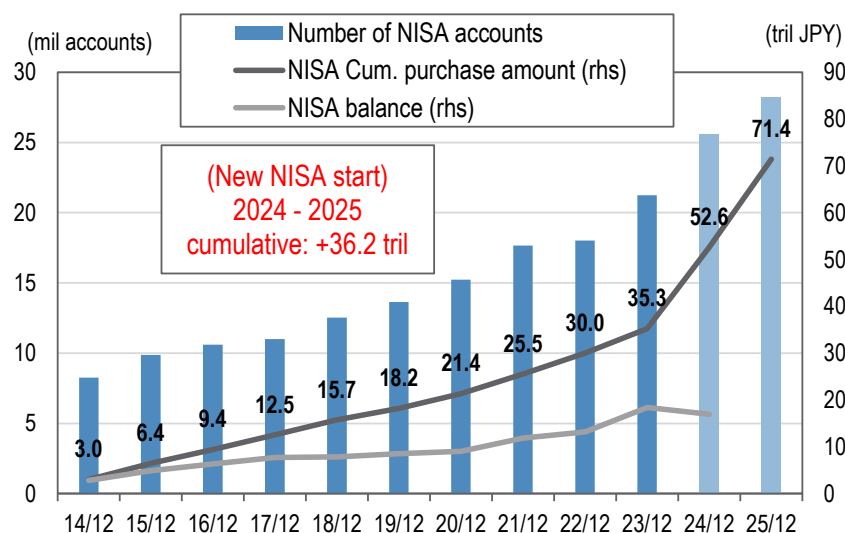
Source: Bank of Japan, J.P. Morgan

Trend of households' financial assets



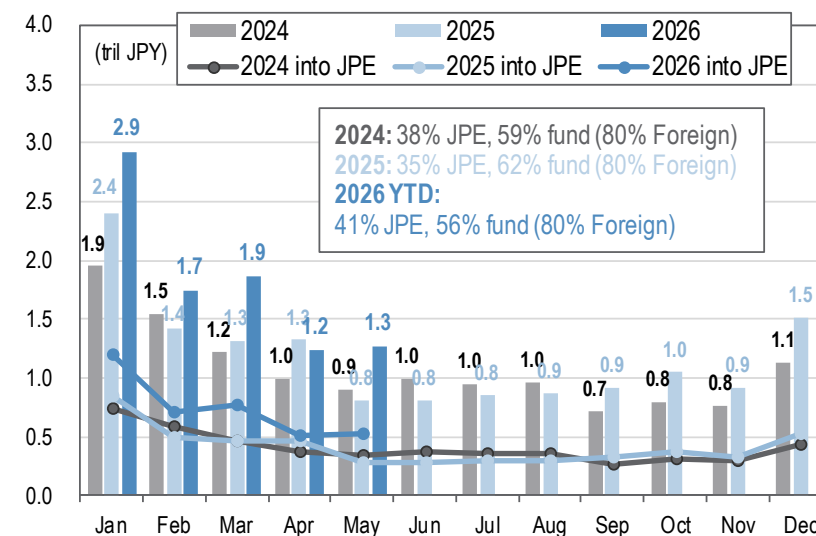
Source: Bank of Japan, Bloomberg Finance L.P., J.P. Morgan

Number of NISA accounts



Source: FSA, J.P. Morgan

Monthly NISA flows



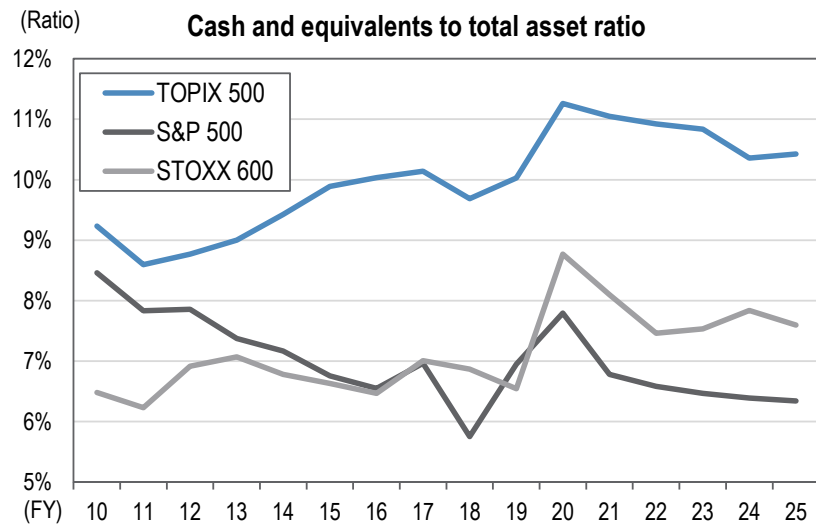
Source: Japan Securities Dealers Association, J.P. Morgan

Reference Data

Long-term catalysts

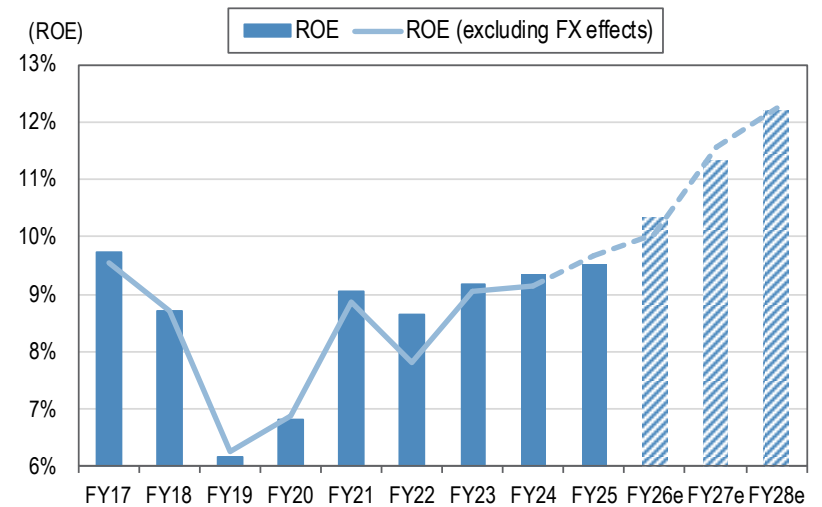
Structural shifts and capital flows

Trend of TOPIX companies' cash ratio



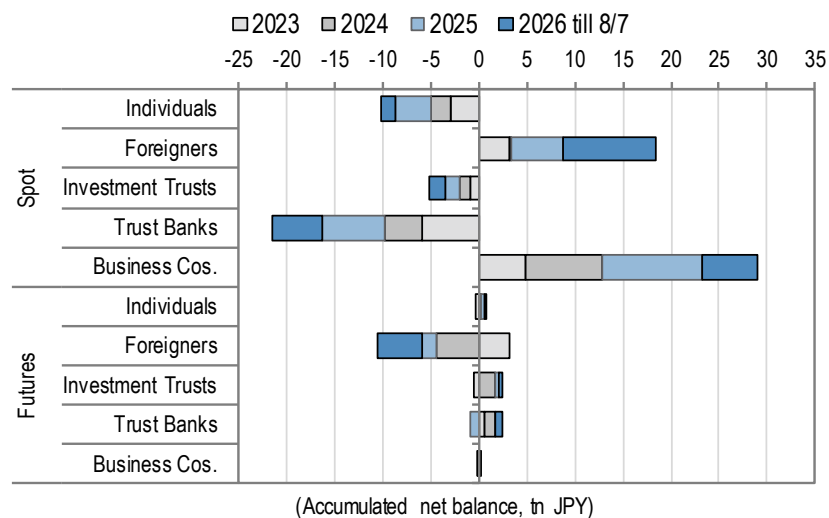
Source: Bloomberg Finance L.P., J.P. Morgan

TOPIX ROE estimates



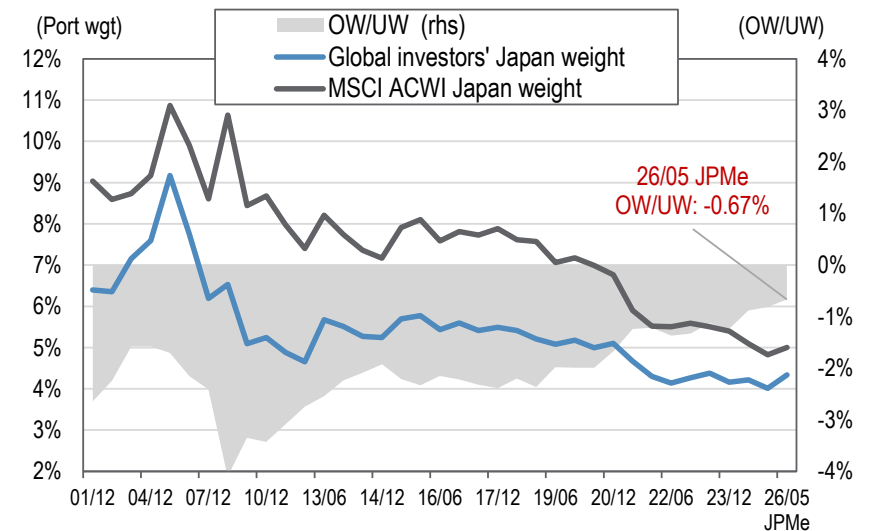
Source: Bloomberg Finance L.P., J.P. Morgan estimates

Stock flow by entity (annual)



Source: QUICK, JPX, J.P. Morgan

Global investors allocation to Japan equities



Source: IMF PIP survey, Bloomberg Finance L.P., J.P. Morgan estimates

Stock performance and macro conditions

Major market indicators

Indicators (as of 2026/08/14)	2026	Quarterly					Monthly																Weekly			
		25-Q3	25-Q4	26-Q1	26-Q2	26-Q3	25-Aug	25-Sep	25-Oct	25-Nov	25-Dec	26-Jan	26-Feb	26-Mar	26-Apr	26-May	26-Jun	26-Jul	26-Aug	07/24	07/31	08/07	08/14			
TOPIX	23.1%	10.0%	8.6%	2.6%	14.2%	5.1%	4.5%	2.0%	6.2%	1.4%	0.9%	4.6%	10.4%	-11.2%	6.6%	6.2%	0.9%	5.1%	4.8%	2.3%	-0.2%	1.8%	3.0%			
Nikkei 225	36.5%	11.0%	12.0%	1.4%	37.2%	-1.9%	4.0%	5.2%	16.6%	-4.1%	0.2%	5.9%	10.4%	-13.2%	16.1%	11.9%	5.6%	-1.9%	6.8%	0.7%	-0.4%	1.9%	4.7%			
Nikkei Semiconductor Index	95.0%	12.3%	21.1%	18.9%	109.7%	-21.8%	-2.5%	14.7%	24.0%	-7.4%	5.4%	28.7%	9.4%	-15.5%	36.2%	23.5%	24.7%	-21.8%	11.0%	1.7%	-8.9%	2.0%	8.9%			
Nikkei Domestic-demand 50	8.9%	13.6%	6.4%	2.7%	2.2%	3.8%	8.1%	1.6%	-0.7%	7.5%	-0.3%	1.8%	12.6%	-10.4%	-0.8%	-0.9%	3.9%	3.8%	0.7%	1.2%	-0.6%	0.3%	0.4%			
Nikkei Overseas-demand 50	31.3%	11.8%	11.6%	-1.0%	39.2%	-4.7%	3.8%	4.9%	8.9%	1.0%	1.4%	4.6%	11.2%	-14.8%	12.6%	17.0%	5.6%	-4.7%	6.8%	0.6%	-1.9%	2.2%	4.6%			
S&P500	13.7%	7.8%	2.3%	-4.6%	14.9%	3.8%	1.9%	3.5%	2.3%	0.1%	-0.1%	1.4%	-0.9%	-5.1%	10.4%	5.1%	-1.1%	3.8%	4.0%	-0.6%	1.0%	3.6%	0.4%			
US Magnificent 7	3.8%	17.5%	4.4%	-12.1%	11.6%	5.8%	1.9%	9.0%	4.9%	-1.2%	0.7%	0.6%	-7.3%	-5.7%	14.9%	6.6%	-8.9%	5.8%	3.6%	-5.7%	4.2%	4.7%	-1.0%			
S&P500 ex. Mag 7	16.6%	4.1%	1.7%	-1.0%	15.9%	1.7%	2.2%	1.9%	0.5%	1.4%	-0.2%	2.2%	2.1%	-5.2%	7.9%	4.4%	2.9%	1.7%	4.2%	0.8%	-0.3%	3.0%	1.2%			
Nasdaq	15.0%	11.2%	2.6%	-7.1%	21.4%	2.0%	1.6%	5.6%	4.7%	-1.5%	-0.5%	0.9%	-3.4%	-4.8%	15.3%	8.4%	-2.8%	2.0%	5.3%	-2.1%	1.6%	5.2%	0.1%			
The Philadelphia Semiconductor	75.3%	14.8%	11.2%	7.1%	87.8%	-12.8%	1.1%	12.4%	13.5%	-2.8%	0.8%	12.9%	1.2%	-6.3%	38.4%	22.1%	11.0%	-12.8%	9.8%	1.2%	-4.3%	9.2%	0.5%			
NY Dow	11.8%	5.2%	3.6%	-3.6%	12.9%	2.7%	3.2%	1.9%	2.5%	0.3%	0.7%	1.7%	0.2%	-5.4%	7.1%	2.8%	2.5%	2.7%	2.4%	-0.4%	1.0%	3.0%	-0.6%			
Russel 2000	23.6%	12.0%	1.9%	0.6%	21.2%	1.5%	7.0%	3.0%	1.8%	0.8%	-0.7%	5.3%	0.7%	-5.2%	12.2%	4.3%	3.6%	1.5%	4.7%	-1.1%	0.0%	3.5%	1.1%			
Euro STOXX 600	11.1%	3.1%	6.1%	-1.5%	10.0%	2.5%	0.7%	1.5%	2.5%	0.8%	2.7%	3.2%	3.7%	-8.0%	4.8%	2.4%	2.5%	2.5%	1.3%	0.5%	0.7%	1.7%	-0.4%			
CSI300	0.8%	17.9%	-0.2%	-3.9%	11.9%	-6.3%	10.3%	3.2%	0.0%	-2.5%	2.3%	1.7%	0.1%	-5.5%	8.0%	1.8%	1.8%	-6.3%	1.7%	2.7%	-1.3%	2.3%	-0.6%			
KOSPI	65.6%	11.5%	23.1%	19.9%	67.8%	-17.7%	-1.8%	7.5%	19.9%	-4.4%	7.3%	24.0%	19.5%	-19.1%	30.6%	28.4%	0.0%	-17.7%	5.8%	-1.9%	-1.4%	5.1%	11.5%			
UST2Y (%)	4.17	3.61	3.48	3.80	4.18	4.17	3.62	3.61	3.57	3.49	3.48	3.52	3.38	3.80	3.87	4.01	4.18	4.17	4.17	4.33	4.29	4.20	4.17			
UST10Y (%)	4.69	4.15	4.17	4.32	4.47	4.69	4.23	4.15	4.08	4.02	4.17	4.24	3.94	4.32	4.37	4.44	4.47	4.69	4.69	4.68	4.74	4.65	4.69			
JGB10Y (%)	2.87	1.64	2.06	2.35	2.67	2.87	1.59	1.64	1.66	1.81	2.06	2.24	2.11	2.35	2.52	2.66	2.67	2.87	2.87	2.80	2.79	2.79	2.87			
USDJPY (Yen)	159.3	147.9	156.7	158.7	162.6	159.3	147.1	147.9	154.0	156.2	156.7	154.8	156.1	158.7	156.6	159.3	162.6	159.3	159.3	163.8	157.4	157.8	159.3			
VIX	14.3	16.3	15.0	25.3	16.5	14.3	15.4	16.3	17.4	16.4	15.0	17.4	19.9	25.3	16.9	15.3	16.5	14.3	14.3	18.6	16.0	14.9	14.3			
Overseas flow (Spot)	9.75	0.20	2.82	2.92	6.78	0.05	(0.12)	(1.41)	3.44	(0.34)	(0.28)	2.36	2.84	(2.28)	5.34	2.22	(0.77)	0.43	(0.38)	0.35	(0.49)	(0.38)	-			
Overseas flow (Future)	(4.31)	2.75	(0.79)	(1.30)	(4.47)	1.46	1.30	0.46	(2.12)	0.98	0.35	(1.67)	1.72	(1.36)	(1.26)	(1.85)	(1.36)	0.88	0.58	0.00	0.52	0.58	-			
Overseas flow (Total)	5.44	2.95	2.03	1.61	2.32	1.51	1.18	(0.96)	1.32	0.64	0.07	0.69	4.56	(3.64)	4.08	0.37	(2.13)	1.31	0.19	0.36	0.03	0.19	-			
Individual flow (TSE flow)	(1.43)	(2.63)	(0.16)	0.21	(0.23)	(1.41)	(1.05)	(0.24)	(0.22)	(0.00)	0.06	0.08	(1.51)	1.64	(0.78)	0.05	0.49	(1.26)	(0.15)	(0.63)	(0.50)	(0.15)	-			
Individual flow (IT flow)	1.82	(0.50)	0.16	0.97	0.10	0.76	(0.36)	0.40	0.53	(0.62)	0.26	0.26	0.08	0.63	(0.07)	0.01	0.16	0.70	0.05	0.10	0.15	0.05	-			
Individual flow (Total)	0.39	(3.13)	0.01	1.19	(0.14)	(0.66)	(1.42)	0.16	0.31	(0.62)	0.32	0.34	(1.43)	2.28	(0.85)	0.06	0.65	(0.56)	(0.10)	(0.53)	(0.35)	(0.10)	-			

Source: Bloomberg
Finance L.P., QUICK,
ITA, J.P. Morgan

Sector performance

TOPIX 17 sector return

Sector (as of 2026/08/14)	Wgt	2026		2025-2026 Quarterly				Monthly												Weekly				
		Perf	Contri.	4Q25	1Q26	2Q26	3Q26	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	7/17	7/24	7/31	8/7	8/14
TOPIX	100%	23.1%	-	8.6%	2.6%	14.2%	5.1%	2.0%	6.2%	1.4%	0.9%	4.6%	10.4%	-11.2%	6.6%	6.2%	0.9%	0.2%	4.8%	-2.9%	2.3%	-0.2%	1.8%	3.0%
Elec Appl. & Prec.	23.4%	40.9%	9.6%	14.0%	-3.2%	48.0%	-1.6%	5.5%	17.0%	-2.5%	-0.1%	5.1%	8.0%	-14.7%	19.0%	16.5%	6.7%	-8.9%	8.1%	-8.4%	1.5%	1.4%	1.6%	6.4%
Autos & Trans. Equip.	5.5%	-2.4%	-0.1%	11.2%	-7.2%	-5.3%	11.1%	0.1%	6.3%	1.2%	3.4%	2.8%	8.7%	-17.0%	-1.9%	3.8%	-7.0%	10.4%	0.6%	2.1%	0.0%	5.0%	0.5%	1.1%
Machinery	6.0%	23.5%	1.4%	4.6%	9.7%	10.9%	1.6%	3.0%	10.5%	-4.1%	-1.3%	14.7%	16.0%	-17.5%	12.7%	-3.8%	2.3%	-3.8%	5.6%	-5.5%	3.0%	-1.8%	2.8%	2.7%
Steel & Nonfer	3.1%	51.8%	1.6%	21.2%	27.9%	25.6%	-5.5%	4.7%	17.9%	-0.9%	3.7%	13.1%	34.5%	-15.9%	23.8%	1.0%	0.4%	-16.9%	13.8%	-8.6%	5.5%	-3.5%	9.1%	4.2%
Raw. & Chem.	5.0%	23.4%	1.2%	2.7%	7.3%	14.5%	0.5%	1.7%	-0.2%	2.2%	0.7%	4.5%	15.0%	-10.7%	6.4%	9.6%	-1.9%	-4.9%	5.6%	-1.3%	0.7%	-3.3%	4.0%	1.5%
Retail Trade	3.9%	4.6%	0.2%	9.2%	-2.4%	3.8%	3.3%	-0.3%	5.3%	6.0%	-2.2%	-2.4%	9.0%	-8.2%	-1.6%	3.5%	1.9%	2.4%	0.9%	1.9%	1.9%	2.0%	1.0%	-0.1%
Foods	2.9%	22.2%	0.6%	2.1%	7.9%	6.2%	6.7%	1.8%	1.2%	4.5%	-3.4%	1.7%	12.0%	-5.3%	0.2%	1.7%	4.2%	2.6%	4.0%	0.4%	-0.2%	2.2%	1.7%	2.2%
Transprt. & Logi.	2.8%	4.7%	0.1%	1.7%	1.6%	-5.0%	8.5%	-0.6%	-2.0%	2.8%	0.9%	-0.1%	7.4%	-5.3%	-4.4%	-0.2%	-0.5%	8.5%	0.1%	3.3%	0.7%	1.4%	1.6%	1.6%
IT & Service	12.5%	15.2%	1.9%	-2.2%	-11.5%	13.0%	15.2%	-0.2%	5.5%	-5.5%	-1.9%	-3.9%	-2.5%	-5.6%	5.1%	12.2%	-4.2%	5.6%	9.2%	-0.9%	1.0%	2.3%	3.1%	5.8%
Const. & Mater.	3.2%	7.6%	0.2%	15.8%	3.9%	10.8%	-6.6%	1.2%	4.6%	9.3%	1.3%	4.7%	17.4%	-15.4%	6.4%	1.7%	2.3%	-7.9%	1.5%	-5.0%	1.0%	-2.8%	0.4%	1.9%
Elec. Pwr. & Gas	1.1%	1.8%	0.0%	13.6%	10.3%	-10.3%	2.9%	-2.0%	6.7%	11.7%	-4.7%	1.3%	14.5%	-4.9%	-6.2%	-2.7%	-1.7%	2.8%	0.1%	-0.5%	2.7%	-0.3%	1.6%	1.7%
Pharmaceutical	3.2%	3.4%	0.1%	13.2%	8.3%	-9.1%	5.1%	-1.3%	2.6%	10.5%	-0.2%	1.9%	13.4%	-6.2%	-5.9%	-0.5%	-2.9%	1.3%	3.7%	0.7%	1.2%	-2.6%	3.8%	-0.1%
Energy Reso.	0.8%	16.6%	0.1%	16.9%	35.4%	-23.0%	11.8%	5.7%	3.8%	11.0%	1.5%	14.0%	12.9%	5.2%	-9.5%	-6.5%	-9.0%	10.6%	1.0%	0.1%	7.9%	-1.2%	0.3%	1.4%
Comm. & Wholesale	7.2%	17.4%	1.3%	13.4%	19.8%	-11.2%	10.4%	3.6%	4.0%	4.6%	4.3%	8.4%	17.6%	-6.0%	-1.0%	-0.7%	-9.6%	8.8%	1.4%	0.8%	5.8%	0.5%	2.5%	1.0%
Banks	12.4%	48.1%	6.0%	11.6%	6.1%	23.3%	13.2%	3.7%	-0.7%	7.4%	4.6%	13.2%	8.5%	-13.6%	9.0%	6.0%	6.7%	7.7%	5.1%	-2.1%	7.9%	-5.2%	1.5%	3.5%
Fin ex Bank	5.5%	26.7%	1.5%	6.1%	8.1%	8.6%	7.9%	-1.2%	-3.5%	3.8%	5.9%	2.4%	12.4%	-6.1%	1.7%	3.7%	3.0%	10.4%	-2.2%	-1.0%	6.1%	-0.3%	0.6%	1.7%
Real Estate	1.5%	-6.9%	-0.1%	9.5%	4.1%	-7.4%	-3.4%	4.0%	-2.8%	11.9%	0.7%	2.6%	20.8%	-16.1%	1.9%	-9.6%	0.5%	0.4%	-3.7%	0.4%	0.8%	-0.3%	1.8%	2.0%
Sector return dispersio	-	38.1%	-	14.5%	25.2%	37.1%	15.6%	5.8%	13.5%	13.2%	7.1%	13.3%	15.2%	13.2%	19.8%	14.3%	11.1%	18.2%	9.5%	7.7%	7.6%	6.0%	5.8%	5.5%

2026 YTD performance

Global equities performance in 2026

Sector absolute return in 2026 As of:2026/08/14	TOPIX			S&P500			STOXX 600			MSCI EM		
	1W	1M	YTD	1W	1M	YTD	1W	1M	YTD	1W	1M	YTD
Automobiles & Components	2.2%	6.2%	-1.5%	3.6%	-11.4%		-1.0%	3.5%	-16.0%	-1.5%	7.4%	-0.9%
Banks	3.1%	1.6%	46.8%	1.9%	5.1%	12.8%	0.5%	5.7%	23.4%	-0.6%	2.2%	5.4%
Capital Goods	1.4%	7.7%	19.1%	0.8%	3.3%	24.8%	0.7%	6.3%	17.1%	-4.5%	9.5%	20.4%
Commercial & Professional Services	20.0%	23.6%	67.8%	0.0%	5.5%	-3.8%	-2.1%	1.7%	-10.3%	-5.5%	8.4%	-27.9%
Consumer Durables & Apparel	5.6%	14.1%	20.1%	-4.1%	3.9%	-6.3%	-3.4%	-2.0%	-14.2%	-1.8%	6.6%	5.0%
Consumer Services	1.6%	11.5%	7.5%	0.5%	7.0%	1.6%	-0.3%	3.1%	4.4%	-3.4%	6.9%	-17.6%
Diversified Financial	0.1%	0.8%	23.4%	1.2%	3.3%	2.6%	-0.5%	2.9%	7.5%	-0.8%	1.3%	3.6%
Energy	1.2%	4.4%	17.6%	7.4%	8.7%	37.7%	2.3%	5.4%	33.2%	0.0%	2.8%	5.9%
Consumer Staples	-1.3%	0.9%	-26.5%	1.9%	3.0%	9.0%	-2.5%	-3.8%	2.8%	-1.7%	1.5%	-8.8%
Consumer Discretionary	2.5%	7.7%	9.6%	-1.9%	1.8%	0.0%	-2.8%	0.8%	-10.9%	-2.3%	5.8%	-10.3%
Food, Beverage & Tobacco	2.6%	8.6%	30.7%	1.0%	3.9%	14.3%	-2.4%	-1.7%	3.2%	-1.3%	1.8%	-2.6%
Health Care Equipment & Services	6.9%	9.5%	9.0%	1.2%	5.0%	-1.0%	-0.7%	4.9%	-16.4%	-1.3%	2.1%	-5.5%
Household & Personal Products	-2.9%	9.7%	20.6%	-0.9%	0.6%	3.9%	-2.1%	0.8%	-2.8%	-1.8%	1.6%	-7.8%
Insurance	-2.8%	1.4%	33.4%	-1.6%	0.8%	5.7%	0.1%	1.7%	6.2%	-1.2%	1.7%	4.1%
Materials	0.8%	-1.3%	20.1%	-0.7%	3.5%	14.4%	-2.4%	1.0%	13.7%	-1.8%	6.5%	3.3%
Media & Entertainment	8.7%	23.5%	-9.5%	-1.3%	-4.7%	0.7%	2.7%	3.7%	-9.7%	-6.6%	-1.7%	-25.3%
Pharmaceuticals, Biotech	-0.2%	4.0%	3.7%	0.7%	5.7%	12.2%	-3.5%	-1.7%	0.6%	0.8%	10.9%	11.5%
Real Estate	-2.5%	-6.7%	-10.0%	0.8%	2.0%	11.6%	-1.1%	2.3%	2.4%	-0.5%	0.2%	-3.4%
Retailing	-2.5%	-0.4%	25.3%	-4.0%	5.0%	8.9%	-5.3%	2.1%	-8.8%	-5.1%	4.2%	-15.5%
Semiconductors & Semiconductor Equ	10.4%	-8.1%	82.3%	0.3%	0.6%	43.3%	4.3%	-2.0%	72.1%	-5.5%	-2.1%	75.2%
Software & Services	5.1%	12.9%	-8.7%	0.4%	20.6%	-0.6%	6.4%	30.9%	-1.1%	-0.6%	9.9%	-25.2%
Technology Hardware & Equipment	6.3%	3.3%	60.4%	-0.6%	-0.7%	26.7%	3.8%	-1.7%	21.0%	13.6%	9.5%	93.6%
Telecommunication Services	1.5%	-4.9%	17.6%	3.6%	10.4%	0.7%	-0.2%	2.0%	9.0%	-0.1%	-1.0%	1.6%
Transportation	1.9%	5.4%	2.3%	0.9%	0.4%	17.1%	2.8%	-4.0%	6.3%	-3.0%	-0.6%	2.9%
Utilities	1.4%	-0.3%	2.1%	1.5%	-3.2%	3.3%	-2.1%	-5.0%	11.5%	-3.4%	-3.9%	-1.1%
Market Index (Local currency-based)	3.0%	3.9%	23.1%	0.4%	3.2%	13.7%	-0.4%	2.5%	11.1%	2.6%	2.9%	21.1%
Market Index (USD-based)	2.0%	5.8%	21.1%	0.4%	3.2%	13.7%	-0.3%	3.8%	9.4%	2.6%	2.9%	21.1%

Source: Bloomberg
Finance L.P. J. P.
Morgan
Note: Sector
performance is MSCI
sector index basis.

Global equities EPS/valuation

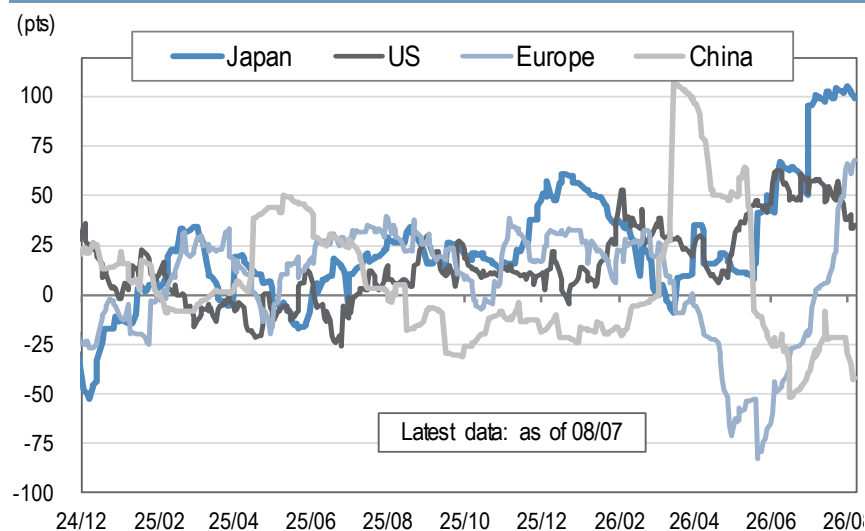
Global equities EPS/valuation

Updated: 2026/8/13	FY2025		FY2026			FY2027			FY2028			12m forward			
Units:	Mixed		Forecast			Forecast			Forecast			Forecast			
EPS: Local currency YoY, revision: %, ppt	EPS	yoy%	EPS	yoy%	1M rev %	EPS	yoy%	1M rev %	EPS	yoy%	1M rev %	P/E (x)	P/B (x)	ROE (%)	Dividend Yield(%)
Global	45.7	8.0	60.8	32.9	5.3	70.1	15.4	-2.4	79.1	12.9	0.2	17.0	3.3	19.5	1.7
Developed Markets	46.8	8.0	59.3	26.5	4.9	67.2	13.4	-3.0	76.2	13.4	0.3	18.7	3.6	19.5	1.6
Japan	208.4	10.4	240.0	15.2	1.1	268.4	11.8	0.2	297.6	10.9	0.5	15.7	1.6	10.4	2.3
US	262.8	12.1	346.9	32.0	6.9	398.7	14.9	-4.6	458.3	15.0	0.2	19.9	4.7	23.8	1.1
UK	687.5	8.5	820.9	19.4	1.5	874.6	6.5	-1.7	948.0	8.4	-0.3	12.7	2.2	17.0	3.5
Europe	151.4	-3.1	180.1	19.0	2.3	198.3	10.1	-0.4	219.6	10.7	0.4	15.0	2.3	15.6	3.1
Germany	1436.2	6.3	1539.8	7.2	-1.8	1785.8	16.0	0.2	2042.6	14.4	0.1	15.2	1.9	12.6	2.9
France	387.4	-22.4	562.2	45.1	0.5	617.8	9.9	0.4	680.4	10.1	0.3	14.5	1.9	13.4	3.3
Italy	2101.9	-35.4	3739.5	77.9	2.1	4139.1	10.7	-0.6	4571.5	10.4	0.3	13.4	1.9	13.9	4.3
Spain	1161.0	5.3	1306.3	12.5	1.4	1462.6	12.0	0.2	1604.3	9.7	-0.2	14.2	2.2	15.3	3.7
Canada	836.7	-1.5	930.6	11.2	3.2	1077.1	15.7	-0.9	1241.3	15.2	0.0	21.0	3.0	14.3	1.4
Emerging Markets	84.7	7.4	143.9	69.9	7.6	178.2	23.9	-0.1	197.6	10.9	0.1	9.9	2.0	19.6	2.5
APxJ	39.8	5.5	68.1	70.9	8.2	84.9	24.6	-0.1	93.9	10.6	-0.1	10.8	2.0	18.6	2.3
Korea	92.1	35.3	395.7	329.7	18.4	538.2	36.0	-1.6	559.3	3.9	-0.4	4.8	1.5	31.9	1.1
Taiwan	57.6	20.0	88.8	54.1	8.9	115.2	29.8	1.4	147.5	28.0	1.1	18.4	4.5	24.4	2.0
China	5.7	-3.7	6.5	13.9	0.7	7.4	14.3	-0.7	8.4	13.2	-0.3	10.9	1.3	11.7	2.7
India	122.1	13.3	134.5	10.1	-0.7	159.1	18.3	0.3	182.4	14.6	0.8	20.7	3.0	14.3	1.4
LATAM	238.1	0.8	307.9	29.3	0.7	320.4	4.1	-0.6	346.5	8.1	1.1	9.8	1.9	19.3	5.6

Note: Estimates are I/B/E/S consensus estimates. EPS is denoted in local currency based
Source: DataStream, J.P. Morgan

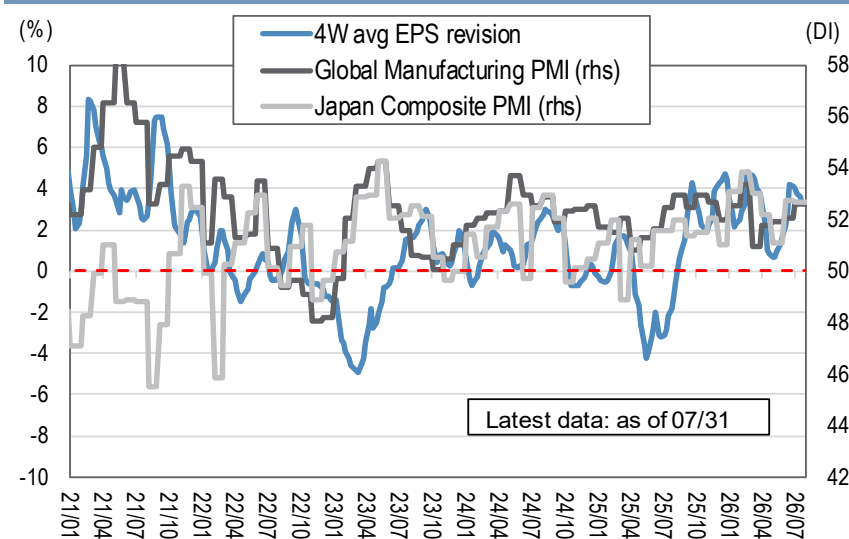
Global economy trend

Economic surprise index



Source: Bloomberg Finance L.P., J.P. Morgan

TOPIX revision index and PMI



Source: Datastream, Bloomberg Finance L.P., J.P. Morgan

Manufacturing PMI

Manufacturing	25/10	25/11	25/12	26/01	26/02	26/03	26/04	26/05	26/06	26/07
Global PMI	50.8	50.5	50.4	50.9	51.8	51.3	52.6	52.7	52.2	52.2
DM PMI	50.6	50.5	50.5	51.4	51.8	52.0	53.8	53.9	53.2	53.2
Japan	48.2	48.7	50.0	51.5	53.0	51.6	55.1	54.5	54.8	54.5
U.S.	52.5	52.2	51.8	52.4	51.6	52.3	54.5	55.1	53.9	53.9
U.K.	49.7	50.2	50.6	51.8	51.7	51.0	53.7	53.9	52.5	51.9
Euro Area	50.0	49.6	48.8	49.5	50.8	51.6	52.2	51.6	51.4	51.9
EM PMI	51.1	50.5	50.4	50.6	52.0	50.7	51.6	51.6	51.4	51.4
China	50.6	49.9	50.1	50.3	52.1	50.8	52.2	51.8	51.7	50.9

Source: Bloomberg Finance L.P., J.P. Morgan
Note: Data over 50 in grey, under 50 in red

Non-manufacturing PMI

Service	25/10	25/11	25/12	26/01	26/02	26/03	26/04	26/05	26/06	26/07
Global PMI	53.5	53.2	52.4	52.8	53.4	50.8	51.2	51.3	51.7	51.7
DM PMI	53.8	53.3	52.1	52.6	52.1	50.1	50.4	49.8	50.6	50.6
Japan	53.1	53.2	51.6	53.7	53.8	53.4	51.0	50.0	52.2	51.9
U.S.	54.8	54.1	52.5	52.7	51.7	49.8	51.0	50.7	51.2	53.6
U.K.	52.3	51.3	51.4	54.0	53.9	50.5	52.7	49.3	48.8	51.8
Euro Area	53.0	53.6	52.4	51.6	51.9	50.2	47.6	47.7	49.4	51.6
EM PMI	53.0	53.3	53.0	53.0	56.1	51.9	52.7	54.0	53.5	53.5
China	52.6	52.1	52.0	52.3	56.7	52.1	52.6	54.4	54.1	54.1

Source: Bloomberg Finance L.P., J.P. Morgan
Note: Data over 50 in grey, under 50 in red

Domestic policy-related stocks

Domestic policy-related stocks

Code	Company Name	TOPIX 33 sector	Analyst Name	Rating as of 08/14	Market Cap (bil JPY) as of 08/14	Stock price (JPY) as of 08/14	Actual PBR (x) as of 08/14	2026 YTD return
Cutting-edge technologies (AI, semiconductors, data centers)								
8035	TOKYO ELECTRON LTD	Electric Appliances	Mio Shikanai	OW	27,675	59,130	12.55	72.3%
6146	DISCO CORP	Machinery	Mio Shikanai	N	7,103	65,470	12.20	35.9%
6857	ADVANTEST CORP	Electric Appliances	Mio Shikanai	OW	26,989	36,870	25.60	87.8%
6920	LASERTEC CORP	Electric Appliances	Mio Shikanai	N	3,660	38,820	14.10	30.9%
4063	SHIN-ETSU CHEMICAL CO LTD	Chemicals	Yasuhiro Nakada	OW	12,648	6,372	2.60	30.8%
7741	HOYA CORP	Precision Instruments	Mio Shikanai	OW	8,922	26,645	8.78	12.5%
6758	SONY GROUP CORP	Electric Appliances	Junya Ayada	OW	23,336	3,912	2.74	-2.8%
7735	SCREEN HOLDINGS CO LTD	Electric Appliances	Mio Shikanai	OW	2,723	14,275	5.43	87.3%
6963	ROHM CO LTD	Electric Appliances	Akinori Kanemoto	OW	2,025	5,016	2.50	125.9%
6501	HITACHI LTD	Electric Appliances	Junya Ayada	OW	26,157	5,767	3.92	17.6%
Digital Transformation (DX)								
6702	FUJITSU LIMITED	Electric Appliances	Junya Ayada	OW	6,682	3,841	3.27	-11.3%
6701	NEC CORP	Electric Appliances	Junya Ayada	OW	7,050	5,168	3.07	-2.7%
6501	HITACHI LTD	Electric Appliances	Junya Ayada	OW	26,157	5,767	3.92	17.6%
9432	NTT INC	Info. & Comm.	Matthew Henderson	N	14,733	163	1.34	3.2%
6981	MURATA MANUFACTURING CO LTD	Electric Appliances	Akinori Kanemoto	OW	16,165	8,235	5.43	153.7%
9434	SOFTBANK CORP	Info. & Comm.	Matthew Henderson	OW	11,279	235	3.86	9.4%
Nuclear power and renewable energy businesses								
8058	MITSUBISHI CORP	Wholesale Trade	Jiro Iokibe	N	17,696	4,769	1.81	33.0%
8031	MITSUMI & CO LTD	Wholesale Trade	Jiro Iokibe	OW	13,822	4,825	1.52	3.9%
8001	ITOCHU CORP	Wholesale Trade	Jiro Iokibe	N	16,360	2,065	2.13	4.5%
5020	ENEOS HOLDINGS INC	Oil & Coal Products	Jiro Iokibe	OW	3,494	1,291	0.92	16.6%
9503	KANSAI ELECTRIC POWER CO INC	Electric Power & Gas	Not covered	Not covered	2,677	2,401	0.75	-2.2%
9507	SHIKOKU ELECTRIC POWER CO	Electric Power & Gas	Not covered	Not covered	373	1,799	0.75	16.0%
9508	KYUSHU ELECTRIC POWER CO INC	Electric Power & Gas	Not covered	Not covered	888	1,873	0.85	11.5%
Aerospace and defense businesses								
7011	MITSUBISHI HEAVY INDUSTRIES	Machinery	Not covered	Not covered	14,351	4,254	4.51	10.8%
7012	KAWASAKI HEAVY INDUSTRIES	Trans. Equip.	Not covered	Not covered	2,499	2,850	2.69	37.3%
6701	NEC CORP	Electric Appliances	Junya Ayada	OW	7,050	5,168	3.07	-2.7%
6503	MITSUBISHI ELECTRIC CORP	Electric Appliances	Junya Ayada	OW	13,003	6,153	2.76	34.2%
6702	FUJITSU LIMITED	Electric Appliances	Junya Ayada	OW	6,682	3,841	3.27	-11.3%
7013	IHI CORP	Machinery	Not covered	Not covered	3,279	3,028	4.61	9.9%
6301	KOMATSU LTD	Machinery	Not covered	Not covered	6,793	7,302	1.85	46.0%

Source: Bloomberg Finance L.P., J.P. Morgan

Note: These focus stocks are picked by the Japan Equity Strategy team based on each theme. Stock prices, valuations, etc., are based on the August 14 closing prices. See report ["Inauguration of Takaichi cabinet and rapid progression of Takaichi policy: First female prime minister demonstrates speed and leadership"](#) (Oct 23)

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